These certificates[20] issued by a third party certify that a specified amount of electricity has been generated from renewable sources. Other than in exceptional few cases, renewable energy from the certificates we use is generated in the same electricity market where the electricity is consumed.

In 2023, more than 90% of the energy attribute certificates we acquired met the requirements established by benchmark organisations, such as CDP.

Phasing out fossil fuels

Our decarbonisation strategy aims to reduce the use of fossil fuels such as natural gas. To achieve this we promote the electrification of fossil fuel-based systems. This strategy, combined with our work on renewable electricity, implies a near 100% reduction in emissions.

In 2023 we launched a collaborative project with Naturgy and EDAR Bens, the publicly owned water treatment utility that operates in the metropolitan area of A Coruña, to convert the biogas generated by wastewater into biomethane.

We are also currently developing new lines of research such as process optimisation, hydrogen generation, and the inclusion of new effluents (sludge). At the same time, we are always on the lookout for similar projects that will allow us to completely eliminate fossil fuel consumption at our headquarters and distribution centres by 2035.

6.1.4.2. Efficiency initiatives and optimisation

Efficiency in corporate headquarters, own logistics centres and own factories

Energy efficiency helps us to control the consumption of resources with the aim of reducing it and mitigating our impact on the environment. Hence, we make the necessary investments in all our headquarters and platforms, and we promote best practices in our teams and processes

Among these best practices is the application of bioclimatic and sustainable architectural criteria in the design and construction of our headquarters. In fact, since 2009 we have been certifying our flagship spaces in accordance with the most widely recognised sustainable construction standards, such as the LEED certifications developed by the US Green Building Council[21].

[20] The acquisition of these certificates, to the extent that they cover the energy consumption of the period, are incorporated into the consolidated income statement under the heading of Operating Expenses at the time of their acquisition.
[21] All the certifications are currently valid.

LEED and BREEAM certification in distribution centres and headquarters

LEED Platinum 2 Certified

/ Inditex Data Processing Centre in Arteixo
/ Zara.com studios in Arteixo

LEED Gold 11 Certified

/ Inditex Group's Central Services in Arteixo (phase IV)
/ Zara Logística offices
/ Zara Logística canteen
/ Pull&Bear headquarters
/ Canteen in the Pull&Bear headquarters
/ Cabanillas logistics platform
/ Massimo Dutti headquarters
/ Massimo Dutti logistics centre
/ Oysho headquarters
/ Stradivarius headquarters
/ Logistics connection hub at Lelystad

LEED Silver 2 Certified

/ A Laracha fabrics warehouse
/ Lelystad ironing facility

LEED CI Certified 1 Certified

/ Inditex Group's Central Services facilities in Arteixo (phases I, II, III)

BREEAM ES In Use 1 Certified

/ Tempe 3 building

In addition, we continue to certify our facilities in Spain under the international standard ISO 50001, which distinguishes efficient and sustainable energy management processes. In 2023, our Central Services, the A Laracha logistics platform and CPD, Indipunt, Europe logistics platform, León logistics platform and Meco logistics platform have renewed or obtained this certification.

Efficiency and sustainability in our stores

Energy efficiency and the implementation of best practices are priorities in our physical and online stores.

Accordingly, we periodically review our standards to align them with best practices and implement new programmes for continuous improvement and progress in the sustainability of our stores.

At present, 8 stores have LEED Platinum certification, 27 have LEED Gold certification and 1 has BREEAM certification.

Also notable is that by the end of 2023, 80% of our own stores were connected to the central Inergy platform, which allows us to monitor and optimise energy consumption in order to boost energy efficiency.

Atmospheric emissions and noise pollution

Atmospheric emissions from combustion equipment at our logistics centres, such as heating boilers and steam boilers, are subject to regular checks and inspections by authorised control bodies. This ensures that our atmospheric emissions of gases such as carbon monoxide (CO), nitrogen oxide (NO_x) or sulphur dioxide (SO_2) remain within the established limits.

Moreover, to mitigate the noise levels associated with the distribution and supply of our products at night, we have an Unloading Equipment Protocol in place.

Supply Chain

The Supply Chain Transformation Plan is vital to advance the achievement of the climate objectives that we have set. One of the essential tools of the Plan lies in the environmental improvement plans that are developed in collaboration with the main facilities of the suppliers and manufacturers in our supply chain.

Furthermore, in relation to energy management, the objectives to be achieved by the facilities participating in the improvement plans are the following:

/ To increase the purchase and/or generation of electricity coming from 100% renewable sources.

/ To reduce thermal energy consumption in relation to stationary thermal sources.

The facilities that participate in this program propose an action plan to achieve these objectives from their starting point, on which quarterly monitoring of energy consumption is carried out.

To evaluate its degree of progress, we rely on a network of experts who, together with our internal teams, analyse the viability of the action plan, validate its implementation, conduct follow-ups and provide advice at all times.

In addition to the environmental improvement plan, we have implemented a number of measures to provide lower impact consumption alternatives in our supply chain.

These efforts focus on three key areas:

/ Reducing energy consumption

We provide information to our suppliers on the best ways to reduce energy consumption through an online platform which is accessible to the entire industry through our corporate website.

We use this same channel to make available to them the knowledge acquired through our collaboration with third parties on potential innovative solutions. For example, new dyeing and washing methods using fewer resources and, therefore, lowering the associated emissions.

Other measures include replacing equipment with more efficient iterations, the proper maintenance of equipment or changes to production processes.

/ Replacing fossil fuels

Some production processes require the use of energy to generate steam. That is why we encourage our suppliers to electrify their equipment and, where no other options are available, to use alternative fuels such as certified biomass from agricultural waste solely as a valid solution for generating thermal energy.

We also ensure that no facilities in our supply chain install new coal-burning boilers, by means of proprietary tools such as our pre-assessment audit or the Green to Wear standard. Our goal is to eliminate the use of coal in our supply chain by 2030.

/ Use of renewable energies

To foster the deployment of renewable energy in our supply chain, we provide information to our supplier clusters regarding the availability of renewable energy, the relevant regulations, the necessary procedures and the estimated costs.

By doing so we aim to give them the tools and knowledge to introduce renewable energy sources in their operations.

As a result, we expect that by 2030 at least 50% of the electricity used in manufacturing processes in our supply chain will come from renewable sources, reaching 100% by 2040.

Other collaborations to reduce emissions in the supply chain

In 2023 we have joined two specific programmes of the United Nations Fashion Industry Charter for Climate Action:

/ **Bangladesh Peer Action Group**: aims to collectively move towards a planned strategy to phase out the use of coal. In addition, at Inditex we contribute to the promotion and development of renewable energy sources in the fashion industry.

/ **Net Zero Pakistan**: aims to make the textile supply chain in Pakistan more resilient and reduce the emissions intensity of the Pakistani textile industry.

In addition, we have participated in the **Fossil to Clean** campaign by signing the open letter presented at COP28 in Dubai. This call from more than 200 companies urges governments to address the complete elimination of the use of fossil fuels and the increase in the use of renewables and energy efficiency.

Efficiency in transport and distribution

At Inditex we are endeavouring to make our transport more efficient and sustainable.

That is why we have several lines of action linked to transport, which will help us to minimise its impact and reduce emissions from our distribution and logistics operations in the following ways:

/ Electrification, new fuels and fleet efficiency
/ Analysis of shipping flows and promotion of multimodality
/ Transport optimisation

In 2023 we signed an agreement with Maersk to reduce our carbon footprint in maritime transport. This agreement ensures that the freight company will use alternative fuels in their vessels, such as green methanol or second-generation biofuels, reducing emissions by 80% for every litre of fuel consumed, according to research by Maersk. Our goal is to use alternative fuels for at least 90% of our maritime shipping by 2025.

At the end of October an agreement was reached by Atlas Air and Repsol to supply sustainable aviation fuel (SAF) so as to decarbonise a portion of the cargo flights the air freight company carries out for Inditex from Zaragoza Airport. As a first step, Atlas Air will initially incorporate 5% of this fuel produced by Repsol in all its cargo flights for Inditex out of Zaragoza.

We have also collaborated with Maersk, RENFE and Cepsa to promote a new rail link in southern Spain. This corridor links Algeciras and Madrid using second-generation biofuels in the non-electrified section between Algeciras and Cordoba, and renewable electric power between Cordoba and Madrid.

Likewise, we collaborate with CFL multimodal, KLOG Logistics and Ikea on an intermodal connection between Sète (France) and Poznań (Poland). This connection is used in the distribution of our physical and online store products.

In 2023 we renewed our collaboration with the NGO Smart Freight Centre, whose mission is to help quantify impacts, identify solutions and disseminate decarbonisation strategies in freight transport. As premium partners we are members of the Sustainable Freight Buyers Alliance (SFBA) to promote the transition to a zero-emission freight transport, in partnership with supply chains.

We also promote sustainable alternatives for our employees' commutes, such as the 344 electric vehicle charging stations in central services, logistics centres and our own factories that in 2023 supplied more than 875,000 kWh[22] from renewable sources (more than 397,000 kWh in 2022).

[22] Electrical consumption by electrical vehicle charging points in Group central services facilities, own logistics centres and own factories.

6.1.5. Risks and opportunities arising from climate change

GRI 201-2; 3-3; 302-1; 302-2; 302-5

The assessment and management of climate change risks and opportunities gives us essential information to improve our decisions and achieve an efficient management.

Furthermore, this process helps us to foster collaboration in climate change action, enhancing the transparency of our endeavours on this front.

Our framework for managing and disclosing risks and opportunities is aligned with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) and other standard-setting bodies. Accordingly, there follows an outline of our actions in connection with the TCFD pillars: **governance, strategy, risk management, and metrics and targets.**

Climate risks for our Group

Physical risks

Acute

Caused by natural events, including more severe extreme weather events, like cyclones, hurricanes and floods, among others.

Chronic

Long-term changes in weather patterns that may cause an increase in sea level, chronic heat waves or changes to seasons, among other phenomena.

These physical risks may cause damage to material goods and disrupt the supply chain in the following scenarios:

/ Changes in the availability of water resources.

/ Vulnerability in respect of other specific resources or raw materials on which Inditex depends, such as cotton, viscose, etc.

/ Potential disruption in shipping routes.

/ Workers health and safety.

Transition risks

Market

The markets where we operate may be affected by climate change in different ways, but one of the main ones is through changes in the supply and demand of certain raw materials we use in our operating processes, and the products we sell to our customers.

Regulatory and legal

Government policy actions on climate change continue to evolve towards a low-carbon economy. Generally speaking, their objectives fall into two categories: initiatives aimed at reducing greenhouse gas emissions or policies designed to promote climate change adaptation. In this scenario, the Group's carbon footprint throughout its value chain (scope 1, 2 and 3 emissions) could be subject to the price of carbon.

Another mounting risk is legal in nature. In recent years, there has been an increase in litigation linked to climate change. The Group is exposed to the risk of not being able to mitigate the impacts of climate change, a lack of adaptation and/or an insufficient disclosing of the financial implications of climate change.

Technological

In today's fast-evolving technological landscape, the Group may be exposed to the possibility of having to undertake sizeable investments in operations and infrastructure to adapt to climate change. It will also have to manage the depreciation and/or obsolescence of existing assets in its own operations that are not suited to a low-carbon economy. The members of our value chain face the same risk, which could eventually be passed on to the Group through higher sales and operating costs.

Reputational

As the pace of society's transition to a low-carbon economy speeds up and public opinion changes, the Group's individual contribution may come under increasing scrutiny, especially if the Group's transition, or that of our industry, towards a low-carbon economy fails to meet the market's expectations.

6.1.5.1. Climate governance

Our climate governance is aimed at ensuring that the risks and opportunities linked to climate are adequately tackled to meet the challenges posed by climate change.

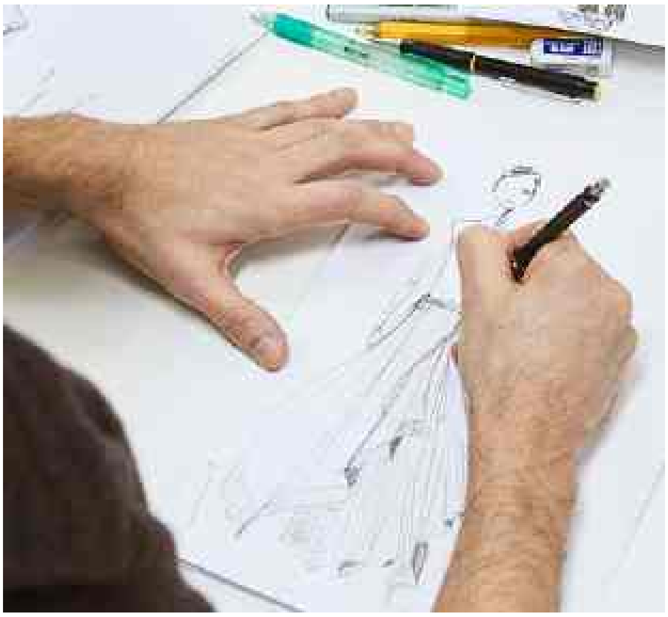
In this regard, our sustainability strategy and our climate change policies are approved by the Board of Directors, the most senior leadership, and integrated into our Company's business model and decision-making processes.

Our Sustainability Roadmap establishes our goals for advancing towards a low-carbon economy. To ensure that our sustainability actions are aligned with these objectives, the Board of Directors conducts quarterly reviews.

In this way we address the challenges of climate change by ensuring its inclusion in strategic and operational decision-making process.

Climate governance follows the same processes and is conducted through the same bodies as all other sustainability-related matters.

ⓘ More information on the organisational structure of sustainability and climate change governance, the associated responsibilities and the monitoring and oversight processes in the relevant infographic included in section 5.1.1. Good Corporate Governance of this Report.



6.1.5.2. Strategy

At Inditex, we take a comprehensive approach to risk, analysing future climate scenarios and identifying the associated risks and opportunities to ensure a resilient long-, medium- and short-term strategy.

Our climate risk assessment methodology is based on that of the University of Cambridge's Centre for Risk Studies. Accordingly, we work with its academic partner, Risilience, to design a climate risk assessment under different scenarios in the short- (0-5 years), medium- (5-10 years) and long-term (more than 10 years).

This research allows us to holistically address climate change and anticipate the risks and opportunities it presents over a time horizon that takes into account the large scale and long-term nature of climate change, as well as the asset's[23] lifespan, and the planning and business cycle of our Group.

Analysis of the scenarios

We use the analysis of scenarios to understand the potential impacts of climate change on our Company. We can then apply this knowledge to strategic planning, risk management and assessing our resilience.

In 2023 we continued our collaboration with the University of Cambridge to make further headway in the resilience of our value chain and be able to include in our analysis the mitigation measures that result from implementing our programmes to reduce our carbon footprint.

The emissions pathways used in our analysis of scenarios correspond to the latest data published in the Sixth Assessment Report from the Intergovernmental Panel on Climate Change (IPCC) in 2022.

In 2023, Risilience updated several of its models concerning physical, regulatory and legal liability risks. These updates, combined with improvements in the data showing our exposures (financial projections, facilities, etc.), provide a revised view of physical and transition risks.

To assess the potential impacts on Inditex stemming from physical and transition risks, we used five scenarios with five different emissions pathways:

/ No policies (>4ºC by 2100)
/ Current policies (3ºC by 2100)
/ Announced policies (2.5ºC by 2100)
/ Paris Agreement (2ºC by 2070)
/ Paris Agreement ambition (1.5ºC by 2050)

[23] The time horizons were established on the basis of the useful life of the assets on the balance sheet (see Consolidated Financial Statements note 3.2 Accounting Principles, b) Property, plant and equipment), which is reviewed annually. The useful life of the Group's assets is currently established as medium and long term.

Analysed Scenarios

Effect on GHG emissions

> 4ºC	3ºC	2.5ºC	2ºC	1.5ºC
200 %	-50 %	-75 %	Net 0	Net 0
in 2100	in 2100	in 2100	in 2070	in 2050
No policies	**Current policies**	**Policies announced**	**Paris Agreement**	**Paris Agreement ambition**
Assumes an increase in energy consumption and emissions by the end of the century, with anti-decarbonisation policies.	Continuation of the current trend, with no new policies or changes to the existing ones.	Includes the current commitments and objectives published, such as those defined in the Nationally Determined Contributions (NDCs).	In line with the Paris Agreement, which requires rapid and global change in the energy system, technology and behaviour.	Urgent and radical political response, requiring a swift and systemic overhaul of the energy system and sweeping changes in society, as well as more investment in technological innovation.

Each pathway develops a socioeconomic narrative regarding regulatory changes, energy prospects or technological advances based on existing data sources, and likelihood of occurrence.

In our analysis of climate risks and opportunities, we considered short (0-5 years), medium (5-10 years) and long (more than 10 years) time horizons.

According to the analysis outcome, in the short term, the most significant impacts relating to climate change are connected to transition risks. Consequently, in the next five years transition risk is likely to evolve at a faster pace as a result of changes in the regulatory framework, in energy supply and demand, or legal proceedings. The most ambitious decarbonisation pathways in terms of emissions reductions result in potentially greater transition risks.

In the short term (up to five years), physical risk deriving from climate change does not significantly vary across the five emissions pathways. Uncertainty about climate patterns over longer time horizons increases the probability of this risk.

Method of analysing financial impacts

We quantify the potential impacts of these scenarios by means of a financial representation of the Group we call its digital twin.

The digital twin is regularly updated with information regarding financial estimates, key facilities, value chain (including natural, man-made and synthetic raw materials and the geographic presence of our value chain —raw material origins, factories, distribution centres, transportation hubs, etc.), geographic breakdown of the business and greenhouse gas emissions for the Group's scope 1, 2 and 3.

Each risk is analysed independently, assuming there are no interdependencies or trade-offs between them.

The result of this methodology yields the potential losses in the estimated cash flows. The Earning Value at Risk, which is discounted to obtain its present value, facilitates the quantification of the total financial impact of each scenario.

The different items in the Group's income statement (sales, raw materials costs, transport and distribution costs, incident response costs, among others) are translated into cash flow's impacts. Furthermore, when modelling and obtaining these cash flows at risk, the Group assumes for the different scenarios of physical and transition risks the ability to transfer part of the impacts to the business activity.

In order to represent the evolution of our future cash flows over a five-year period, the Group's budget is used to build the first year, the estimated business plan for the following three years and for the period not covered we project a final year maintaining a growth rate and an expense structure similar as of the last year of the business plan, which includes the projects and capital investments[24] contemplated by the Group.

Due to the nature and long-term horizon of climate-related risks, especially in the physical dimension, the Group needs to estimate the impacts beyond the five-year time horizon. For this purpose, once the cash flows forecasted by the Group for the short term (0-5 years) have been established, this balance sheet and cash flow structure is projected statically to year 5 for the medium term (5-10 years) and to year 10 for the long term (more than 10 years).

Earning Value at Risk

Earning value at risk and the related cash flows at risk are measures of the potential impact of the risk stemming from a deviation of the expected cash flows as a result of climate risk.

The estimated global value of the Company's cash flows for the next five years—resulting from climate-related risks—was modelled without yet including mitigation actions. We are working on quantifying the mitigation measures, many of which come from our sustainability strategy, so as to be able to assess the residual risk.

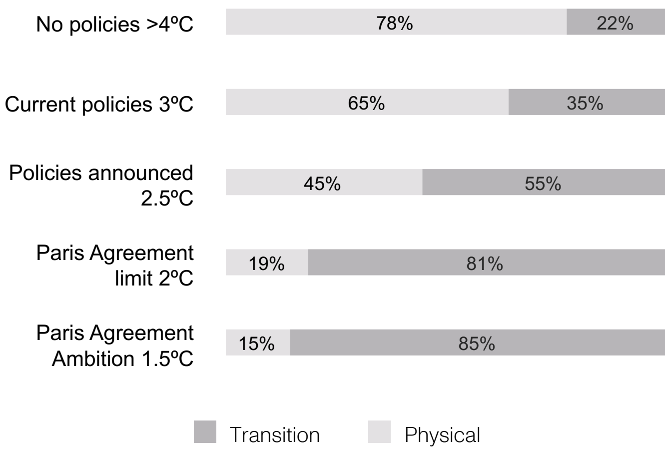
In the 'Current policies' scenario, the second-least severe when it comes to transition risks, the aggregate risk from climate change is considered strong in the Group's critical risk map in terms of its impact and probability.

ⓘ More information in section *5.1.3. Responsible risk management* of this Report.

The identification and assessment of physical and transition climate risks are subject to numerous uncertainties, arising, among other things, from the complexity of anticipating how the climate may evolve over the years. These uncertainties mean that the data contained in this report may be inaccurate in the future, depending on how the climate evolves and the scientific consensus regarding the process of climate change. Such data therefore represent the best estimate that can be made using existing climate information and models.

Thus, climate modelling is a complex discipline that is subject to three major uncertainties: the natural variability of the climate, the adjustment of the climate model to reality, and the adjustment of the emissions evolution scenario to reality. Climate scenarios are not forecasts, predictions or sensitivity analyses, but hypothetical constructions of plausible futures based on science, aimed at assessing the resilience of a company's assets, business model and strategy in the face of such scenarios.

With respect to total estimated risk, the table below shows the profile of each of the risk dimensions for the five pathways used, distinguishing between physical and transition risks in the short term:



a) Physical risks

There are three possible types (dimensions) of physical risks from climate change:

/ Acute risks: caused by extreme weather events.

/ Chronic risks: the result of gradual changes in long-term weather patterns.

/ In some cases, there may be a combination of both acute and chronic.

The analysis of physical risks was conducted on 16,000 own and third-party facilities in our value chain. The facilities analysed are of different types: factories, logistics centres, offices, airports, ports, logistics hubs, stores, etc.

Each facility has recovery curves assigned to it, depending on the severity of the scenarios, their vulnerability and resilience to each climate phenomenon.

[24] See Note 2 of the Consolidated Annual Accounts in 'Significant estimates and assessment of uncertainty'.

Seven climate phenomena are considered in the analysis: heatwave, freeze, water stress, river flooding, coastal flooding, 'temperate' storm[25] and tropical storm. The choice of these physical phenomena is based on Cambridge University's relevance criteria for our business.

Each threat is evaluated using a base-case scenario (year 2000) and a change forecast. The base-case scenario is compiled using the historical meteorological series of the last 40 years, while the forecasts are based on a risk estimate through 2030, 2040 and 2050. In order to weigh the financial impacts of extreme weather events caused by climate change, the changing probability and severity of each event is used to quantify the increase or reduction of the physical impacts expected at bin level. The base-case scenario also makes it possible to assess existing risks, especially water stress in the river basins where the Group's own or third-party facilities are located, particularly in Spain, where the Group's main assets are concentrated[26].

Over the course of this year our stores have been affected by nine natural disasters due to extreme weather events (six in Spain, two in Italy and one in South Korea), mainly heavy rain, snow or hail. Although they have caused damage to our stores and disrupted the normal cycle of our operations, their impact on the Group was immaterial.

[25] Flash flooding was not considered this time as a result of the IPCC Assessment Report update, but will be included again in future analyses.
[26] For more information, see our responses to the CDP Water questionnaires, available at www.cdp.net.

Financial impact of physical climate risks[1]

Physical dimension: Acute

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario envisages the possibility that extreme or catastrophic weather events (such as storms, floods, freezes, etc.) may reduce the productivity of the Group's activities, disrupt its normal performance and/or increase the costs of operations and processes. Using geolocation of the facilities, the scenario quantifies the projected impacts of various climate threats that could affect our value chain over a five-year time horizon, weighted by their probability of occurrence. The impact is assessed in terms of estimated lost cash flows. It is a function of the severity and duration of the disruption of the facility or facilities. The vulnerability of facilities to different climate hazards depends on their typology and/or their relevance to the value chain. Depending on these attributes, the scenario translates into different impacts and speeds of recovery of the facilities until they return to a normal operating condition.	The impact of extreme weather events on the Group's activities includes physical damage to, or even destruction of, facilities, considering both the asset itself and the goods that are dependent on the facility or facilities affected. The impact on expected cash flows tends to be expressed in terms of the total cost of the physical assets destroyed, normally as the cost of their repair or reconstruction and/or the loss of market value of the damaged goods. **Impact on revenues and costs:** the disruption may trigger a decrease in expected cash flows due to a decline in Group sales depending on the operations' level of dependence on the affected facility or facilities, possible impairment of property, plant and equipment and loss of inventories.	/ Each key facility is assigned a degree of dependence and contribution to Group revenues commensurate with its participation in our value chain. The scale of the disruption translates into the corresponding loss of income. / Extreme weather events are modelled independently, assuming that they are uncorrelated. / The current portfolio of key facilities is assumed to remain static over the five years of projected impact. / The vulnerability functions of key facilities have been parametrised on the basis of expert knowledge grounded on empirical data. The functions are homogeneous for all geographies. For a limited group of especially relevant assets, specific recovery curves are applied. Work is underway to develop specific curves for other asset types.	/ Most of the facilities are related to the supply chain and our commercial network so there are technical contingency systems in place that would mitigate the consequences of a disruption or shutdown. / Continuous review systems, along with the insurance policies, would cover loss of profit and resulting expenses. / In the specific case of logistics centres, they have been configured so as to be able to take on storage and distribution capacity for other centres in the event of a contingency caused by extreme weather events. ⓘ More information in chapter *5.1.3. Responsible risk management* of this Report.

Financial impact of physical climate risks(1)

Physical dimension: Acute and Chronic →

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario envisages the possibility that unexpected extreme weather events may cause disruptions in estimated revenue in the short term due to changes in consumer demand. Consumers could change their shopping behaviour due to weather conditions, and traffic in stores could also decrease as a result of weather conditions, or if the distribution of merchandise to points of sale is interrupted. The scale of the impact depends on the usual climate of a particular market or geography (for example, extreme heat generally causes more problems in typically moderate climates than it does in hot areas).	The vulnerability/sensitivity of the Group's product portfolio to different extreme weather events is also modelled. Their aggregate global impact varies in accordance with the sensitivity of the demand for the Group's various products and retail formats, as well as the dependence of sales either in physical stores or online. **Impact on earnings and costs:** extreme weather events can impact short-term normal earnings flows. Sales may be affected by changes to demand if consumers change their behaviour due to the weather, reduced retail traffic or if the value chain experiences local disruptions.	/ The risk of disruption to market demand is parametrised for three types of extreme weather events: heat wave, drought and freeze (other threats that affect limited areas and whose impact should not be material, such as storms, are not considered). / Each product category is assigned a vulnerability function for various severity levels. These functions determine the severity of changes in demand.	/ All areas of the Group are geared towards satisfying customer needs and guaranteeing the best shopping experience, which is why our activity begins by actively listening to our customers and identifying their demands and expectations. / Flexible, integrated and innovative business model that affords a competitive advantage when it comes to analysis and response in the short, medium and long terms. ⓘ More information in chapter *5.2.1. Business model and strategy of this Report.*

Financial impact of physical climate risks[1]

Physical dimension: Chronic →

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario envisages changes in long-term weather patterns affecting the agricultural productivity of the crops from which the different textile fibres used by the Group are derived (cotton, linen, wool, leather, cellulosic fibres and cashmere; work is ongoing to add other relevant raw materials). Changes in weather patterns may make it unviable to produce certain crops in some regions of the world in the future or may significantly reduce their yields. The effect of such phenomena would be a potential change in the supply and availability of raw materials. The financial impact on cash flows at risk is estimated over a five-year time horizons.	The Group is exposed to potential disruptions in agricultural value chains due to chronic changes in weather patterns, which could jeopardise the supply of raw materials needed to manufacture our products. In some cases the production of these raw materials is concentrated in limited or even exclusive geographic areas, making their replacement difficult or impossible. **Impact on earnings and costs:** losing the supply of these raw materials would disrupt business, potentially resulting in a decrease in sales if the shortage caused by the event cannot be recovered and/or selling costs rise due to a reduced or absent supply of the raw materials.	/ In the analysis of agricultural risks, for each crop type the impact on yield was modelled in accordance with a range of variables (precipitation patterns and shortage, temperature variations, extreme temperature, etc.) / Crop vulnerability functions are parametrised using the FAO (Food and Agriculture Organization) and Ecocrop database to determine the suitability of a specific environment by optimal conditions for the growth of the various crops. / In order to estimate the financial impacts (decrease in sales or increase in procurement costs), the degree of dependence on the different raw materials analysed at retail format and Group level is considered. / The Group's degree of dependence on the raw materials analysed is static over the five years of projected impact.	/ The Group's collaboration with other organisations and institutions to increase the range of materials with better environmental performance, which make more efficient use of natural resources with recycled content. / We have the Fibres Plan, with exacting commitments for the use of materials with lower impact, also known as preferred materials. / The Group's efforts and work to foster the development of technologies to improve the sustainability of the raw materials and their subsequent recycling.

(1) The risk trend reflected here corresponds with the short term.

Transition risks

Transition risks are financial and reputation risks associated with the transition to a low-carbon economy. These risks take into account the nature, speed and trend of changes in policies, legal frameworks, technologies, reputation and market.

Transition risks vary significantly depending on the level of ambition of each pathway analysed and affect all areas of our business.

To calculate their financial impact, we have examined five dimensions of transition risks in the short, medium and long term:

/ Regulatory
/ Legal liability
/ Technology
/ Market
/ Reputation

Financial impact of transition risks(1)

Transition dimension: Regulatory

Scenario	Impact on business model	Model assumptions	Main mitigations
Establishing an explicit carbon price is a key mechanism to incentivise the transition to a low-carbon economy. These policies are currently determined and implemented both at national and regional level. The aim is to gradually obtain some degree of international coordination. As a result, the carbon prices used in our models vary from country to country with the aim of covering all global emissions by 2025.	In this scenario, the Group would pay a price for the emissions generated throughout its value chain. The Group's carbon footprint in each of the countries in which it operates is considered and the carbon price in each jurisdiction is applied. This includes scope 1 (direct emissions from sources owned by the Company), scope 2 (indirect emissions from the electricity purchased) and scope 3 (other indirect emissions related to the Group's value chain). **Impact on cost:** the Group’s financial impact stems from the increase in production and distribution costs, and the cost of raw material procurements, in terms of the increase per unit of product.	/ The scenario applies greenhouse gas (GHG) emissions in accordance with production, defined as fossil fuel consumption in the country for the industrial production of goods and services, as well as energy generation. / All emissions are subject to a carbon price. The price for different economic sectors is given separately. / The increased costs associated with carbon price mechanisms are transmitted through the Group's routine overheads, i.e. its general expenses, distribution expenses and raw materials costs. / There are no financial or fiscal incentives or benefits derived from carbon price revenue. Public administrations allocate most of the revenues to environmental expenditures, the economic benefits of which are not incorporated in this model. / Suppliers are assumed to pass on 100% of their cost increases to us. The Group passes on a portion of these to its end customers.	/ Group Sustainability Roadmap that reflects Inditex's firm commitment to progressing towards a low-carbon economy model. The goal of net zero greenhouse gas emissions by 2040, science-based decarbonisation targets (SBTs) by 2030, and the commitment to using 100% renewable electricity at our own facilities, achieved in 2022. ⓘ More information in section *8.3.3. Monitoring, assessment and continuous improvement* of this Report.

Financial impact of transition risks[1]

Transition dimension:
Legal liability

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario considers developments in climate-related litigation, a consequence of scientific advances that allow climate change to be linked to specific events, paving the way for potential attributions of liability. The scenario assumes that major lawsuits are filed against the Group, claiming damages based on its relative contribution to global greenhouse gas emissions. As lawsuits start to proliferate in different jurisdictions, initially in the most emissions-intensive sectors, the textile industry becomes a potential target for litigation.	Damages are estimated based on the scale of our operations, and translate into claims. On average, cases are assumed to take several years to be resolved. Plaintiffs aim to pressure the Group beyond the potential legal ruling, exerting increased media and reputational pressure. **Cost impact:** the intensity of lawsuits related to GHG emissions and climate change that the Group may experience will vary depending on the different emissions pathways. Their probability of occurrence and potential impact will also vary depending on the estimated impact (settlement, legal costs, severance pay, etc.).	/ The model uses a decision tree to evaluate a range of potential outcomes, each with a probability of occurrence and leading to different impacts. The model harnesses historical data from other sectors that serve as a 'benchmark', and experts' opinions, all based on the company's specific characteristics. The model's output is the estimated financial impact given the conditional probability of each outcome.	/ Inditex's Sustainability Policy establishes that all the Group's activities will be conducted in the most environmentally-friendly way possible, fostering the conservation of biodiversity and the sustainable management of natural resources. ⓘ More information in section *5.2.2. Sustainability strategy* of this Report. / Solid Compliance System in place and a robust corporate governance system that ensures compliance with regulations, guidelines and best practices in this connection. ⓘ More information in sections *8.1. Corporate ethical culture and solid Compliance architecture* of this Report and *F.1.2.* of the Annual Corporate Governance Report.

Financial impact of transition risks[1]

Transition dimension: Technology

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario analyses how the Group's competitiveness might be affected by the development and use of new technologies that are less GHG-intensive, considering their operating costs and the demand for our products. The Group must decide how and when to invest to reduce emissions in its value chain so as to attain an optimal combination of profitability and early adoption to design its R&D strategies.	In a fast-moving technology market, the Group must invest to ensure its operations and infrastructure do not lag behind. At the same time, it must manage the potential obsolescence of existing assets. The value chain faces the same challenge as the Group. Costs relating to the renewal of the value chain are ultimately expected to be passed on to the Group. **Impact on cost:** stemming from the depreciation and liquidation value of assets, additional CapEx and increased raw materials costs.	/ This model considers the costs to the Company of investing in low-emission technologies and boosting the efficiency of operating assets, as well as distribution costs. Asset improvements include new transportation assets (trucks, etc.), as well as the factory upgrades to improve energy efficiency. For each technology, the model assumes that a portion of the total global assets are updated according to the different emissions pathways at a specific cost. / The costs of technological improvements are compared with current average unit costs. The model takes into account basic balance sheet data in connection with the Group's buildings, facilities and equipment. In addition, key supply chain facilities are also considered. The model assumes that the Group carries out technology upgrades at key facilities and in the Group's vehicle fleet.	/ Innovation is an inherent and transversal value throughout the Inditex business model, which is why we collaborate with our suppliers and other organisations to find innovative solutions that may be applied throughout the value chain and life cycle of our products. Inditex's Sustainability Innovation Hub is clear evidence that it is seeking to foster the circular economy, contribute to decarbonisation and maximise environmentally-friendly development. More information in *section 6.4.1. Initiatives to progress towards a circular model of this Report.*

Financial impact of transition risks[1]

Transition dimension: Market ↑

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario envisages an increasing market interest in sustainable products and services. Certain consumer segments change their shopping habits to enhance their environmental and social impact. Carbon-intensive companies and sectors are coming under increasing market scrutiny. Potential changes in supply and demand patterns jeopardise the Group's market share and cost of capital.	Consumer preferences are trending towards alternative products and services that produce lower emissions. This could lead to the emergence of new competitors that propose innovations that transform demand, resulting in a loss of market share and potentially an increase in the Group's cost of capital. **Earnings and costs impact:** impact on demand is expressed as the loss of earnings and/or failure to comply with growth targets. Investor sentiment translates into an increase in the cost of capital and in the cost of financing. The different emissions pathways determine the scale of these impacts.	/ Market adoption rates of sustainable products have been parameterized in the model based on a series of key attributes (market potential, innovation coefficient and imitation coefficients). / The Group's product portfolio remains static over the different time horizons. Sales of sustainable products are growing at a moderate pace in the short term. It is assumed that the potential scale of sustainable products does not encompass all consumers, although the rate of adoption varies according to the level of ambition of the different pathways. / The model assumes that changes in consumption patterns affect every sector. The Group is able to pass-though some of the losses to customers. / It is assumed that the impact on consumer demand outweighs the impact on investors, as the market remains focused on industries with higher emissions.	/ The Group's commitment to customers also implies anticipating their demands in matters such as diversity, sustainability or transparency, issues in which the aim is to involve them in the efforts and progress made.

Financial impact of transition risks(1)

Transition dimension: Reputation →

Scenario	Impact on business model	Model assumptions	Main mitigations
This scenario considers a context in which we do not advance towards a low-carbon economy. The widespread frustration with the failure to meet emission reduction targets causes a negative shift in public opinion towards large companies, especially in those sectors that have historically been the most emissions-intensive. Negative sentiment is fuelled and amplified by media campaigns. Large consumer segments engage in climate activism, focusing on specific companies through sustained campaigns and boycotts with considerable repercussion. In extreme circumstances, the shift in consumer sentiment unleashes a deterioration in investors' perception, with consequences for the Group's access to markets. This trend runs parallel to the growth of sustainable shopping, as reflected in the Market scenario. When sustainable alternatives gain traction, those retail formats that do not adapt tend to experience a significant decline in customer demand. In contrast to the Market dimension, impacts are idiosyncratic and consumers avoid the Group or specific brands.	The main impact for the Group is a decline in demand for its products and/or brands, which varies according to specific trends, with the resulting loss of sales and market share. Investor sentiment, meanwhile, weighs on the Group's share price and financial situation. Financing costs (capital and debt) worsen. There is a risk of becoming a target for the increasingly numerous 'consumer activists'. The scale of the impacts depends on the level of ambition of the different pathways. **Earnings and costs impact:** the impacts on demand are materialised through the loss of earnings and/or failure to comply with growth targets. Market sentiment translates into impacts on the cost of capital and financing.	/ Two key factors define the model: the change in our customers' preferences towards more sustainable products and the level of activism among consumers. The model considers two opposite trends. On the one hand, activism, which increases inversely to the level of ambition: the lower the ambition, the more activism there is. On the other hand, consumers' preference for more sustainable products, which is greater in more ambitious pathways, thereby reducing the demand for conventional products.	/ Inditex's Sustainability Roadmap includes ambitious targets and actions aimed at achieving the long-term goal as a lever of transformation. The Group collaborates with all the actors in the value chain and with stakeholders to tackle global challenges from a holistic standpoint.

(1) The risk trend reflected here corresponds with the short term.

Climate risks over the short, medium, and long term

To estimate the short-, medium- and long-term climate-related risks, we calculated each of them as per the five emissions pathways for our Company.

Medium- and long-term risks are estimated by translating the five-year cash flow estimates from the short term to the two corresponding future horizons.

In doing so, we seek to understand how our business model would behave under the climate conditions of each pathway. In this way we can understand what impact comes from climate evolution[27].

Short-term climate risk assessment (0-5 years)

		No policies >4ºC	Current policies 3ºC	Policies announced 2.5ºC	Paris Agreement 2ºC	Paris Agreement ambition 1.5ºC
Transition	Technology	Minor	Moderate	Minor	Minor	Minor
	Reputation	Minor	Moderate	Moderate	Minor	Minor
	Legal liability	Minor	Moderate	Moderate	Minor	Minor
	Market	Minor	Moderate	High	Acute	High
	Regulatory	Minor	Minor	High	High	Moderate
Physical	Disruption of facilities and physical assets	Moderate	Acute	Acute	High	Moderate
	Market disruption	Minor	Minor	Minor	Minor	Minor
	Drop in raw materials	Minor	Minor	Minor	Minor	Minor

Minor Moderate High Acute

Over the next five years, the financial impacts of physical risk are relatively limited and slightly lower than those reported in the previous year, mainly due to a decrease in the impacts caused by our key facilities to extreme weather events. This decrease is due mainly to changes in climate models and the improvement in the estimation of exposure in our value chain key facilities.

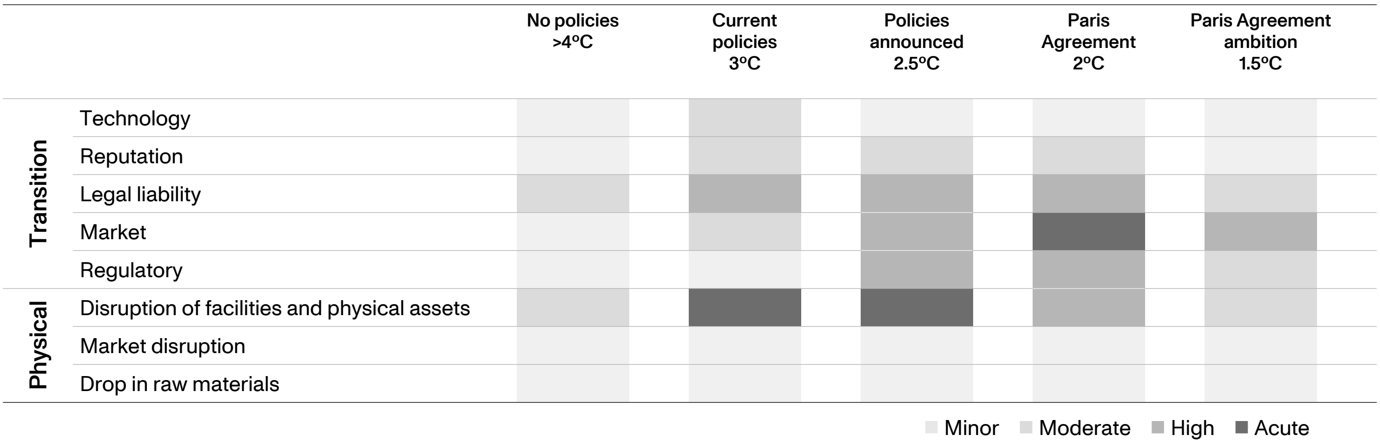
The frequency and severity of physical risks as a result of the step-up from CMIP5 to CMIP6 has increased. Even so, the probability that acute events could cause significant losses ('catastrophic physical tail risks') remains low at present.

The most impactful weather events for the Group are heatwaves, river flooding and drought or water stress.

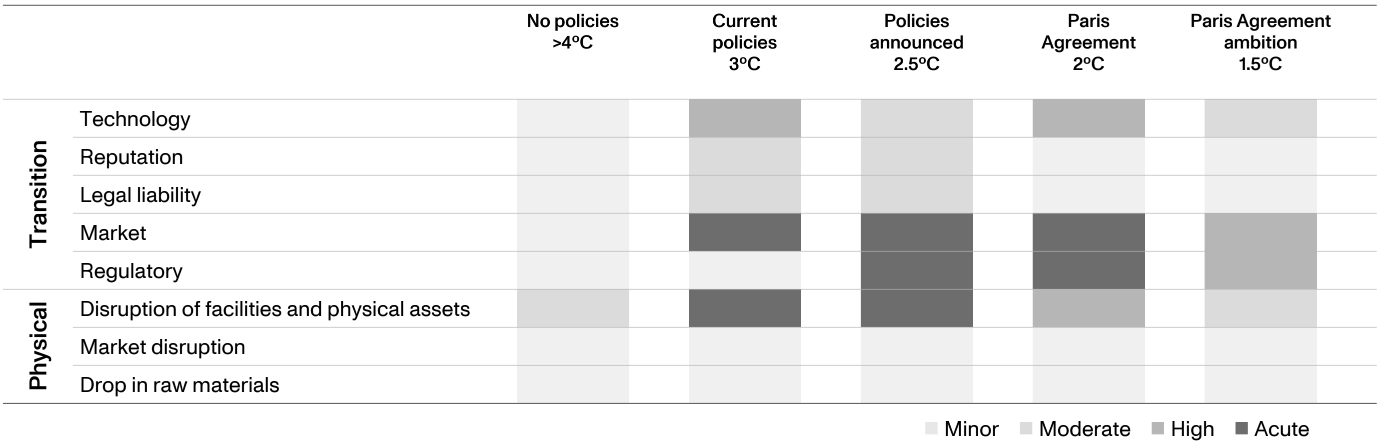
In the short term, around 70 % of physical risk, in its different manifestations, comes from our own operations. The remaining 30 % corresponds to third-party transactions.

[27] The impacts reflected by each climate risk typology, emissions trajectory and horizon are adjusted for the probability of occurrence of each of the emissions trajectories.

Medium-term climate risk assessment (5-10 years)



Long-term climate risk assessment (+10 years)



Opportunities arising from climate change[28]

At Inditex, we want to progress towards a better impact. In this process it is essential to reduce our exposure to climate change-related risk and, at the same time, to identify the opportunities offered to us by a low-carbon economy to ensure our Company's resilience and capacity to be a part of the transformation of our industry.

[28] For more information, see our responses to the CDP Climate Change questionnaires, available at www.cdp.net.

Opportunities for Inditex in a low-carbon economy

Opportunity	Description of the opportunity
Integrated business model	We continually update all our formats to introduce cutting-edge technology in our integrated platform of physical and online stores, creating an efficient, sustainable and integrated economic model. We create opportunities for improvement to strengthen our entire ecosystem while minimising resource consumption. ⓘ More information in section *5.2.1. Business model and strategy* of this Report.
Continuous strategic transformation	Our integrated business model gives us a consolidated overview of our customers and their needs at all times. Our strategy capitalises on this advantage to evolve our model towards economic, sustainable and integrating improvements. We start by aiming to maintain the level of commercial success achieved, driven by the opportunities afforded to us by digitalisation processes and our sustainability commitments. ⓘ More information in section *5.2.1. Business model and strategy* of this Report.
Innovation	The complexity of the global challenges we face and the path towards a more sustainable model require the increasing introduction of innovation, science and technology in our initiatives. For example, through our platform Sustainability Innovation Hub, we work to provide the industry with new materials, manufacturing processes and initiatives to improve circularity, use or end of life. ⓘ More information in section *6.4.1. Initiatives to progress towards a circular model* of this Report.

Opportunities for Inditex in a low-carbon economy

Opportunity	Description of the opportunity
Customer orientation	We use a process of continuous interaction with our customers as the main tool for identifying the latest trends and developing products that meet their demands, whether in clothing, footwear, accessories or household products. We maintain high standards through a combination of design, quality and sustainability at affordable prices. This constant connection has allowed us not only to adapt to new needs, but also to gradually add new services, technologies and channels. ⓘ More information in section *7.4. Our customers* of this Report.
Transformation of the sector	We have established a unique business model distinguished by its flexibility and efficiency, constant innovation, the creativity of our staff and our focus on sustainability integrated in every process involved. On that basis, we resolutely and collaboratively strive to promote the transformation of the sector, generating a positive impact on society, the industry and our environment. ⓘ More information in section *5.2.1. Business model and strategy* of this Report.
New business models	In keeping with our commitment to using resources more efficiently, we are developing innovative solutions that allow our customers to request repairs, or sell or donate Zara garments they have at home through our Zara Pre-Owned platform, already available in certain markets. ⓘ More information in section *6.4. The transition to a circular economy: resources, products and waste* of this Report.
Collaboration	To address the paradigm shift that is crucial to tackle the challenges linked to the fight against climate change, circularity or the sustainable development of communities, it is imperative that we join forces with all the actors involved. In this connection, we take an open approach in which collaboration is a key pillar for transformation. Examples of this are our partnership with entities such as the United Nations Global Compact, The Fashion Pact, Ellen MacArthur Foundation or Zero Discharge of Hazardous Chemicals, among others. ⓘ More information in section *5.3.1. Stakeholder engagement* of this Report.
Efficient consumption of natural resources	In our commitment to sustainable development, at Inditex we strongly advocate circularity, an economic, management and production approach aimed at balancing growth with conserving natural resources and progressing in the decarbonisation of the entire value chain. For us, circularity is a differential model of production and consumption encompassing all stages from a product's design to its end of life. This approach fosters the reuse and recycling of articles, extending their life cycle and minimising the use of natural resources, energy consumption and waste generation. ⓘ More information in section *6.4. The transition to a circular economy: resources, products and waste* of this Report.
Energy efficiency	Energy efficiency is a priority in both our designs and our day-to-day operations. In this regard we are constantly reviewing our standards to reflect cutting-edge practices and implementing new programmes to advance on the path of continuous and sustainable improvement in our operations. We work closely with our suppliers and other organisations to promote the rational and efficient use of energy throughout the value chain. ⓘ More information in section *6.1. Climate change* of this Report.

Opportunities for Inditex in a low-carbon economy

Opportunity	Description of the opportunity
Generation of renewable energies	The generation and acquisition of energy from renewable sources plays a central role in our energy strategy. For this purpose, we invest in generating renewable energy at our own operating facilities. We have solar thermal, solar photovoltaic or wind energy, as well as infrastructure to harness geothermal energy. This diversification reduces our dependence on third parties in these aspects, and also introduces innovative concepts, such as additionality in the implementation of new power generation infrastructure in the grid. ⓘ More information in section *6.1.4. Lower-impact consumption and efficiency and optimisation initiatives* of this Report.
Sustainable building	We make the investments needed in all our headquarters, platforms and stores to oversee, reduce and mitigate the impact of the consumption of resources. When building our headquarters, we follow bioclimatic criteria, encouraging the installation of photovoltaic panels, the collection of rainwater for non-drinking uses and the implementation of self-regulating lighting systems in accordance with outside light conditions, as specific examples of our sustainable practices. ⓘ More information in section *6.1. Climate change* of this Report.

6.1.5.3. Climate risk management

At Inditex we manage our risks through our Risk Management and Control Policy, approved in 2020. This policy establishes our Integrated Risk Management System, which helps us to manage and control the risks that impact our Company, including those linked to climate change.

Although the management of climate risks follows general risk management principles, their specific characteristics are taken into account when it comes to assessing and quantifying them. Accordingly, we approach climate risks effectively, acknowledging their importance in the current context.

ⓘ More information in sections *5.1.3.1. Risk management framework* and *5.1.3.2. Risk map* of this Report.

6.1.5.4. Metrics and targets

Targets

At the 2023 Annual General Meeting of Inditex, we presented the latest update of our sustainability commitments which includes new and stringent pledges with a view to achieving net zero emissions by 2040.

In keeping with these targets, in 2023 we also submitted to the Science-Based Target Initiative (SBTi) the latest update of our 2030 climate commitments and our 2040 net zero emissions target for their validation. We have also devised our new Climate Transition Plan, which details our decarbonisation strategy, the resources we estimate will be needed and the collaborative initiatives we will launch to advance our commitment to addressing climate change.

ⓘ More information in section *6.1. Climate change* of this Report

Decarbonisation mechanisms

As well as setting decarbonisation targets, we promote mechanisms to advance in their achievement, such as our variable remuneration system.

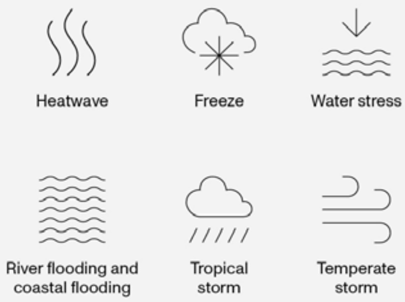
This system links our teams' remuneration to the attainment of the Company's objectives, including our sustainability commitments. For example, both our CEO and senior management have specific incentives associated with emission reductions.

ⓘ More information in section *5.1.1. Good Corporate Governance* of this Report.

Metrics

Assessment of climate change risks

Physical risks



Physical asset damage

Cost to repair and replace property, equipment and inventory damaged by extreme weather events.

Raw material supply

Agricultural products and water supply are affected by extreme weather phenomena and chronic climate changes.

Key facility operations

Disruption to output of production and activities from extreme weather phenomena.

Disruption of earnings

Extreme weather events affect consumers' buying habits.

Transition risks

Regulatory dimension

/ **Carbon pricing:** carbon pricing policies vary in each of the jurisdictions so as to incentivise decarbonisation. Organisations pay a price for emissions throughout their value chain.

/ **Carbon markets:** the development of emissions markets, still largely voluntary, is experiencing an increase in demand.

Market dimension

/ **Consumers preference for sustainability:** consumers tend to prefer alternative products and services that are sustainable. Competitors may emerge who propose innovations that transform demand and threaten to capture market share from the established players.

Technological dimension

/ **The pace of adoption of low-carbon technologies,** and the resulting 'green premium', may affect the competitiveness of companies as a consequence of the impact in terms of operating expenses and the value of the assets. Investments must seek a balance between innovation and profitability.

Legal liability dimension

/ **Lawsuits from emissions and climate damage:** a generalisation of lawsuits against companies for their liability in emitting greenhouse gases and the damaging economic and environmental consequences thereof.

Reputational dimension

/ **Climate activism and stigmatisation by consumers:** a negative change in public opinion towards companies with carbon-intensive activities. Consumer demand is affected by climate activism, which also affects investor confidence and access to capital.

Summary of climate change risk

TCFD Framework	Dimensions	Upstream raw materials supply	Supply chain and operations	Final stages value chain	Group financial risks
Physical risks	Acute risks: extreme weather events	Short-term disruptions in the supply of raw materials	Operational interruption and damage to physical assets	Short-term demand disruption	
	Chronic risks: gradual changes in weather patterns	Viability of raw materials supply in certain regions	Threats to the value chain in certain regions as a result of water stress and heat waves	Dependence on demand for certain products in certain regions	
Transition risks	Regulatory risks: carbon pricing	Increased emissions cost in early stages of the value chain	Increased cost of fossil-fuel-dependent activities	Pass-through of higher costs as a result of demand elasticity	
	Technological: innovation in low-carbon technologies	Cost of decarbonisation in early stages of the value chain	Devaluation of carbon-intensive physical assets	Disruptive competition that erodes market share	
	Market: consumers' preference for sustainability			Consumer preferences shifting towards sustainable alternatives	
	Reputation: climate activism and stigmatisation			Consumers' perception of the Group and its brands	Investment market's perception of the Group's sustainability strategy
	Market: investor sentiment				Market shock resulting from divestment in carbon-intensive sectors
	Liability: climate litigation				Lawsuits linked to the contribution to climate change

6.2 Water management

Material topic: Pollution; Water management

6.2.1. Ambition and goals concerning water

GRI 3-3; 303-1; 303-2; 303-3; 303-4

At Inditex we are aware of the critical importance of water for life and ecosystems and the challenges posed in terms of availability and quality. To address those challenges, we conduct out initiatives on our own and in partnership with our stakeholders to reduce our environmental impact and preserve marine and freshwater ecosystems.

Our approach to water management takes into account water all the dimensions related to our direct and indirect activities. That is why, in 2023, we signed a commitment with CEO Water Mandate to preserve fresh water through collective action in 100 water-stressed river basins around the world by 2030.

Furthermore, we prioritise reducing water consumption in our operations and supply chain. Consequently, we have set ourselves the goal of reducing water consumption in our supply chain by 25% in 2025, as compared with 2020. This will help preserve water as a natural resource and lower our greenhouse gas (GHG) emissions by reducing energy use in related processes.

We are currently working to update our Global Water Management Strategy, aimed at ensuring sustainable and efficient water usage across our value chain while promoting activities linked to the protection and restoration of river basins and other aquatic ecosystems.

Within the framework of this strategy, we have different lines of action focused on the analysis of impacts and their mitigation, including:

/ The efficient and responsible use of water through the implementation of the best available technologies, reuse and recycling of water.

/ Improving the quality of the discharge and its responsible management such as the use of safe and sustainable chemical products.

/ The implementation of a fibre plan that involves the use of organic and regenerative practices with the use of raw materials with a lower impact on water.

/ The protection of aquatic ecosystems and the restoration of deteriorated water basins.

Another relevant initiative is the work around the Green to Wear standard to expand knowledge about the water context in our supply chain. Parameters such as water stress, the source and distribution of the water used and water reuse and recycling help us to propose a strategy contextualised to suit the local situation of water resources at each facility.

6.2.2. Water management initiatives in own operations

GRI 3-3; 303-1; 303-2; 303-3; 303-4; 303-5

At our facilities, water is mainly consumed for cleaning and sanitary purposes. In addition, our industrial plants use water, mainly for steam generation and cooling by means of closed-loop systems. We can therefore estimate that the amount of water consumed is directly equivalent to the amount discharged. Furthermore, wastewater in all our facilities is channelled to the appropriate wastewater systems. On that basis, our water usage and management does not have an impact on protected habitats.

In 2023, water consumption in own facilities—corporate headquarters, factories, logistic centres and stores—amounted to 1,767,463 cubic metres, i.e. 1% less than in 2022. The water consumption at our centres is calculated through direct meter readings and bill charges from public water utilities companies[29].

Water consumption

Year	Water consumption (m^3)	Relative water consumption (litres/m^2)	Relative water consumption (ml/€)
2023	1,767,463	234	50
2022	1,780,190	240	55

Moreover, we have initiatives in place such as the use of storm tanks at our centres in Cerdanyola, Arteixo and Lelystad. In 2023 these tanks collected 35,356[30] m^3 of water, i.e. 41% more than in 2022; this water was used for irrigation and sanitation.

6.2.3. Water management initiatives throughout the supply chain

GRI 2-28; 3-3; 303-1; 303-2; 303-3; 303-4

Our supply chain encompasses one of the most water-intensive areas of our value chain, namely wet processes (dyeing, washing, finishing and printing, among others). Mindful of the importance of these processes in water management, in 2023 we implemented initiatives aimed at reducing water consumption and improving discharge quality, including:

/ Proposal for updates to our Green to Wear standard that allows it to be adapted to the new production processes, as well as to foster, to the extent possible, even greater savings in water usage.

/ Devising improvement plans in conjunction with wet process facilities to optimise water usage and improve the quality of wastewater discharges.

/ Publishing best practices in water management and in the improvement of discharge quality.

/ Creating a network of partner facilities to implement measures and technologies derived from the innovation developed by the Group in collaboration with companies from various sectors and with the purpose of saving water and improving discharge quality.

By implementing these initiatives, we have been able to cut water consumption by 20% in our supply chain[31], compared to 2020. We are committed to achieving a 25% reduction by 2025.

Year	Relative water consumption (litres/kg garment)(1)
2023	77
2022	79
2020 (base year)	96

(1) Consumption for 2022 and 2020 has been recalculated based on the improvements made to the corporate systems that provide greater detail of the production processes.

Environmental improvement plans

A fundamental pillar of our Supply Chain Transformation Plan rests on environmental improvement plans. These plans serve the facilities of our suppliers and manufacturers to advance in minimizing impacts and transforming the sector.

In relation to water, the participating facilities must fundamentally achieve the following objectives:

/ Reduction of water consumption until reaching the 'excellent' level, in accordance with our internal standards.

/ Alignment of the wastewater discharge quality with the ‘foundational’ level of the discharge standard developed by Zero Discharge of Hazardous Chemicals (ZDHC).

/ Use of ZDHC level 3 certified chemicals.

[29] Water consumption at corporate headquarters and logistics centres was calculated using primary data. As for consumption by own stores, it was estimated based on the net expenditure per store. We have used the specific average price of 20 markets, and for all other markets, we have used the average of m^3/m^2 per concept.

[30] The volume of water collected in storm tanks was calculated using flow meter measurements

[31] Supply chain water consumption is calculated for all production facilities in our supply chain that perform a wet process. The calculation methodology includes real consumption data collected in factories, for example, through environmental audits. For cases in which the information is not available, it has been estimated from the averages of the environmental audits.

The facilities propose an action plan to achieve these objectives that includes concrete measures, implementation dates and a quantification of the reduction of impacts. A network of internal and external specialists analyses the viability of the plan and the scope of each of the proposed actions. Once validated, the facilities have, at all times, technical support and monitoring of these plans by this network of specialists.

The environmental improvement plans integrate the Care for Water plans. Throughout 2023 we have collaborated with 118 facilities to improve their water consumption through this programme.

New requirements for water management in our supply chain

We have included new requirements related to water management in our environmental preliminary assessment (EPA), which is carried out at the facilities in our supply chain subject to the Green to Wear standard, once they have passed the pre-assessment. Consequently, facilities that do not have the means to control their overall water consumption and the individual consumption of their machinery are barred from our production. Likewise, neither are facilities which do not implement measures to prevent water loss or reuse water accepted in our production chain.

Knowledge transfer platform

The platform provides information for wet process facilities to improve their water consumption and the quality of wastewater discharges. The measures to improve water consumption include optimising the production process, using certain chemical products or the possibilities of reusing and recycling water, always tailored to the production process at each facility.

In addition, among other things, facilities can access information on the investment needed, the estimated impact on water consumption and even potential constraints in the implementation of the measures. The platform also provides information on the benefits of the proposed new technologies over conventional ones.

This tool was developed through a collaborative approach open to the entire textile industry, which is why we have made the platform publicly accessible via our corporate website to anyone interested.

In 2023, we added more than 30 new measures for the production of both textile and leather articles, ranging from innovative technologies and chemicals to easy-to-implement, zero-cost measures that boost efficiency at facilities. Likewise, many other measures already included in previous years have been reviewed and updated.

Network of collaborating facilities in the implementation of own R&D

At Inditex, we work with several facilities to roll out various innovative measures and technologies aimed at improving efficiency in water consumption and/or to enhance discharge quality.

Along with improving water consumption, this innovation and development network aims to prove that new measures and technologies work on an industrial scale. At the same time, information is provided to compile case studies to demonstrate the improvements achieved, paving the way for their rollout at other facilities.

With this goal in mind, in 2023 we conducted pilot projects at various facilities in Portugal and Türkiye. Although focused on reducing water consumption, these initiatives also delivered improvements in energy consumption, productivity and lowered production costs.

A case study was carried out in Türkiye in which two measures published on our knowledge transfer Platform were implemented:

/ 'Cold washing after the dyeing process with reactive dyes', which reduces the water needed to rinse after dyeing.

/ 'One-step exhaust dyeing', which involves simultaneously pre-treating and dyeing the fabric.

The results obtained from the joint implementation of both measures in the various tests carried out showed very significant savings:

/ Water consumption reduction: up to 41%.

/ Steam generation reduction: up to 60%.

/ Electricity consumption reduction: up to 30%.

/ Reduction of process duration: up to 32%.

R&D+i for the prevention of microfibre shedding

In 2023 we worked to develop a number of measures to prevent both synthetic and natural microfibre shedding in the two areas of the value chain where this shedding and subsequent release into wastewater is especially relevant: wet processing and domestic laundry.

This year, we presented the Air Fiber Washer, developed in partnership with the Spanish company Jeanología, which aims to help prevent the release of microfibres in domestic washing. Using an innovative, air-based technology, this new development makes it possible to remove, prior to selling textile articles, a large part of the microfibres that would otherwise be released later in domestic washing. Furthermore, this is achieved without increasing water and energy consumption or compromising the quality of the treated fabrics.

Also in 2023 we launched The Laundry by Inditex on an industrial scale. This household detergent is designed to reduce microfibre shedding in domestic washing. This solution, jointly developed by Inditex and BASF Home Care and I&I Solutions, can reduce microfibre shedding by up to 80%, depending on the type of fabric and washing conditions.

In addition, we work with other industries to develop new technologies or production systems with a lower impact on water resources. A good example is the joint development of *PIGMENTURA* by CHT, an innovative dyeing solution that not only slashes water consumption by up to 96%, but also prevents microfibre shedding. This novel development, which is the result of our research partnership with CHT that commenced in 2020 and that we launched on an industrial scale this year, is based on a pigment dye that does not require washing and drying processes, thereby reducing the energy needed to heat the water used in conventional production processes. This can save up to 60% of energy compared to other, continuous dyeing technologies.

6.2.3.1. Collaborations with external initiatives

In order to optimize environmental management in our supply chain, we collaborate with the Institute of Public & Environmental Affairs (IPE) of China, which disseminates environmental information, provided by both Government and factories and brands.

In addition to the environmental performance of the textile factories, the IPE monitors suppliers of raw materials and chemicals, as well as the wastewater treatment plants and the results of wastewater analyses. In 2023 the IPE recognised our Company's efforts to improve environmental performance in our supply chain, ranking it third both globally and in the textile sector in the index it publishes annually.

Furthermore, we have adopted the Manufacturing Restricted Substances List (MRSL) by the Zero Discharge of Hazardous Chemicals (ZDHC) Foundation. This regulates the quality of discharges, facilitating compliance with requirements for both chemical suppliers and the facilities that use them. We also integrated our The List, by Inditex programme in ZDHC's chemical product control strategy, providing key information to determine whether a particular chemical is compliant with MRSL discharge parameters as well as applicable legal requirements.

ⓘ More information in the document *Innovation, collaboration and continuous improvement for chemical safety* available on Inditex's corporate website.

With the desire to advance in the evaluation of impacts and the setting of objectives around the protection of water and nature, we have carried out a pilot with the new reference framework of the Science Based Targets Network (SBTN).

Throughout 2023 we have worked with World Wildlife Fund (WWF) to update our Water Management Strategy, as well as to seek collaborative actions with other companies and organizations.

In 2023 we joined the Alliance for Water Stewardship (AWS), an organisation at the forefront of water governance, with the aim of exchanging knowledge and experience with other leading companies in water management in different sectors, as well as taking joint action with some of them in those river basins shared by our activities.

6.3. Biodiversity and ecosystems

Material topic: Biodiversity and ecosystems

6.3.1. Our Biodiversity Strategy

GRI 2-23; 3-3; 304-2

At our Company we understand how important it is to preserve ecosystems to sustain society and life. That is why we are committed to protecting natural ecosystems in all areas of our value chain, but also wherever it is important for the welfare of communities and for biodiversity itself.

In 2013 we published our Biodiversity Strategy based on the principles of the United Nations Convention on Biological Diversity, aimed at protecting and preserving biodiversity in all areas of our value chain. This strategy is complemented by the Global Energy Strategy and the Global Water Management Strategy, aimed at reducing energy and water usage and cutting harmful discharges and greenhouse gas emissions and, with them, their adverse effects on biodiversity.

We currently have reference new frameworks in place to guide and strengthen our work on biodiversity and ecosystems, such as the Science Based Targets Network (SBTN) and the Taskforce for Nature-related Financial Disclosure (TNFD).

In this regard, we follow the AR3T (Avoid, Reduce, Restore & Regenerate, and Transform) framework, proposed by the SBTN, a comprehensive framework encompassing actions across five dimensions:

/ Avoid
/ Reduce
/ Restore
/ Regenerate
/ Transform

Inditex's commitment to biodiversity

As part of our new sustainability commitments, we aim to protect, restore, regenerate, or promote other management approaches to improve biodiversity in an area of five million hectares.

To achieve this, we work with different organisations such as Conservation International whose Regenerative Fund for Nature fosters regenerative farming and practices. Another such organisation is the World Wildlife Fund (WWF), which we support in restoring endangered ecosystems in Europe, Asia, Africa and Latin America.

In 2021, we launched the #bringyourownbag (#*traetubolsa*) initiative and began charging for recycled paper bags and envelopes in our stores, with the aim of raising awareness among our customers about the importance of using reusable alternatives, and thus reducing waste generation and minimizing consumption. of raw materials, water and energy.

This initiative, currently present in 77 markets (59 markets in 2022), has made it possible to reduce the number of bags and envelopes delivered to our stores by 47%. Likewise, the collection obtained for environmental projects since 2021 has been 79 million euros, of which we have allocated, at the end of the year, 54 million euros[1] to projects in 21 countries.

(1) Due to the lag between the collection of funds and the formulation of the initiatives, currently the amount collected is higher than the contribution allocated to projects.

6.3.1.1. Avoid: thus preventing damage in the first place

The most important measure in fostering biodiversity is to first prevent potential negative impacts on nature, especially in the most sensitive areas.

With this aim in mind, we implement actions designed to avoid negative impacts on ecosystems of high biodiversity value, such as primary forests or the habitats of endangered species. To avoid these impacts we use two fundamental tools:

/ **Forest Product Policy.** Forests play a pivotal role as a haven for biodiversity while also contributing to the water cycle, acting as greenhouse gas sinks and, sometimes, they are natural and heritage areas of huge importance to the local communities. That is why we ensure that all forest material that we use—such as wood or pulp—comes from responsible farming and not from primary and endangered forests.

This Policy specifies that our paper or wood products and the wooden furniture in our stores must be certified by the Forest Stewardship Council (FSC) or Programme for the Endorsement of Forest Certification (PEFC).

Moreover, we only work with suppliers of fibres derived from cellulose pulp that are not sourced from primary and endangered forests, classified as 'green shirts' in the Hot Button Report by Canopy, an organisation we have been working with since 2014 to better protect primary and endangered forests.

We are currently revising this Policy to expand its scope to other materials potentially linked to deforestation risk, such as leather.

/ **Animal Welfare Policy.** At Inditex we want to avoid having a negative impact on animals and their natural habitat. That is why those of our products that contain material of animal origin must come from animals bred on farms for the purpose of obtaining meat and, under no circumstances, from animals that are killed to market their skins, shells, horns, bones, feathers or down. Furthermore, these animals must be treated ethically and responsibly, in accordance with the internationally accepted "Five Freedoms" of animal welfare (free from thirst, hunger and malnutrition; free from fear and distress; free from discomfort and exposure; free from pain, injury and disease; free to express normal behaviour).

6.3.1.2. Reduce: how we minimise our impact on biodiversity

After avoiding negative impacts, our next focus is to reduce those impacts that might arise as a result of our activity. To achieve this goal, we prioritise materials and production processes that reduce potential negative impacts on biodiversity, through:

/ **Progress towards decarbonisation:** we work to help reduce the adverse effects of climate change on ecosystems and biodiversity, acknowledging their interdependence.

ⓘ More information in section *6.1. Climate change* of this Report.

/ **Reducing water usage:** we undertake to reduce the water consumption in our supply chain by 25% in 2025. We also strive to minimise the impact of wastewater through our commitment to the Zero Discharge of Hazardous Chemicals (ZDHC) initiative. We also work to improve water quality and reduce the load of microfibres that can be released into water through industrial and domestic washing processes, contributing to innovation in this regard.

ⓘ More information in section *6.2. Water management* of this Report.

/ **Implementation of initiatives to progress towards a circular economy model:** we prioritise innovation in recycled materials, production processes and use and end of life, with the aim of reducing impacts throughout our products' life cycle. These initiatives allow us to reduce land use, preventing the conversion of ecosystems, and the use of natural resources, minimising the environmental impact associated with the supply and end of life of garments. In this regard, our goal is that by 2030, 40% of our textile products and raw materials should be sourced from conventional recycling, and another 25% from new-generation fibres.

ⓘ More information in section *6.4. Transition to a circular economy: resources, products and waste* of this Report.

/ **Use of organic raw materials or those in transition:** we use raw materials that exclude pesticides and chemical fertilisers that degrade fertile soil, pollute water and hamper biodiversity and communities. We estimate that 25% of the raw materials we use will come from organic or regenerative farming by 2030.

ⓘ More information in section *6.4.2. Design and selection of raw materials* of this Report.

6.3.1.3. Restore: we support the conservation and restoration of ecosystems

In keeping with our 2030 commitment of attaining five million hectares protected, restored, regenerated or under other forms of management for biodiversity improvement, we aim to restore degraded natural areas to a state as close as possible to their original state.

To achieve this, in 2023 we were involved in various projects of this kind:

/ **Restoration and conservation of ecosystems:** we contribute to projects to restore and conserve ecosystems worldwide in partnership with WWF. Accordingly, we support the restoration of forests like the Datça-Bozburun, in Türkiye, the holm oak forest in the Cratere degli Astroni nature reserve in Italy, or the Dadia-Lefkimi-Soufli Forest National Park in Greece. We also contribute to the recovering of river basins and freshwater ecosystems in North Africa—in the Sebu basin in Morocco and the Guerbes-Sanhadja plains in Tunisia and Algeria—as well as the Mekong Delta in Vietnam.

In Spain, we have joined the new public-private fund to mitigate the risk of forest fires, set up by the Galicia Regional Government in 2023. This project is focused on restoring areas affected by forest fires and the deployment of fire prevention work.

/ **Restoration and protection of habitats of endangered fauna:** we are working with WWF on actions to restore and protect the habitats of endangered fauna, such as the Gran Chaco tropical forest and Pantanal wetlands in South America, as well as various natural areas in Mexico to conserve endangered native species such as the Monarch butterfly and the jaguar. In China, we support projects in the Taihang-Yan mountains and the Amur-Heilong region to protect the habitats of the leopard and the Amur tiger, respectively.

/ **Promoting sustainable forestry:** our goal is to improve forestry management through sustainable forestry models. We launched this initiative in 2018 with the Pico Sacro demonstration forest project in Spain. Since then we have expanded this line of action to include other demonstration forests in various locations. In Galicia, in collaboration with the Galician Forestry Association; in Portugal, with the Portuguese Forestry Association, Forestis; and in Castilla-La Mancha with WWF.

6.3.1.4. Regenerate: revitalising ecosystems to protect biodiversity

At Inditex we know how important it is to nurture productive areas in which biodiversity and communities can thrive.

To that end, we promote regenerative agricultural and land management practices aimed at fostering a balance between productive land use and healthy ecosystems. These initiatives promote the preservation of nutrients in the soil and enhance its capacity to absorb carbon, positively addressing climate change, as well as improving water management and quality and the conservation of local biodiversity.

In 2023 we contributed to these regenerative practices on various fronts:

/ **Investment in innovative agricultural projects:** we work with the Regenerative Fund for Nature in collaboration with Conservation International and the Kering Group, investing in innovative projects in connection with our raw materials, aimed at transforming the fashion industry's relationship with nature. To achieve this, the fund invests in agricultural communities, project leaders and NGOs so as to implement regenerative approaches that not only preserve the viability of the land but also benefit farmers, enhance animal welfare and the health of ecosystems, and foster climate change mitigation and resilience.

Specifically, in 2023 we supported two projects that foster regenerative practices in India and Pakistan through the Organic Cotton Accelerator (OCA). We also supported a project focusing on cattle in conjunction with Fundación Solidaridad in the Gran Chaco forest region of Argentina.

Also in this sphere, we continue to take action in India, supporting the transition to regenerative practices and nature restoration in an area spanning 300,000 hectares in the Indian states of Madhya Pradesh and Odisha, in partnership with Action Social Advancement (ASA), , together with Laudes Foundation, IDH - The Sustainable Trade Initiative and WWF India.

6.3.1.5. Transform: key to protecting biodiversity in the long term

The transformation of our way of working as a society and industry is essential to preserve ecosystems and biodiversity. This is why we support initiatives aimed at driving this transformation, in particular through coordinated and collective action between key agents.

Among them, we highlight the following initiatives:

/ **Business for Nature:** in 2023 we joined more than 80 companies calling on European leaders to be highly ambitious regarding the new European Nature Restoration Law. Specifically, this platform is calling for more regulation and greater efforts to protect and restore nature, and to foster the sustainable use of resources, with clear roadmaps and support for communities.

/ ***Arctic Corporate Shipping Pledge:*** promoted by the Ocean Conservancy, encourages major logistics operators and global brands to undertake to avoid shipping routes through the Arctic, as well as to find ways to reduce the emissions from global shipping.

/ ***LEAF Coalition:*** coordinated by Emergent, aims to encourage countries to promote measures geared to curbing deforestation in tropical and subtropical countries. The idea is to halt the loss of biodiversity and avoid the greenhouse gas emissions deriving from deforestation.

/ **The Deforestation-Free Call to Action for Leather:** In 2023 we joined this collective action initiative in the sector, led by Textile Exchange and the Leather Working Group (LWG). This initiative urges brands to commit to obtaining their bovine leather from deforestation-free supply chains by 2030 at the latest, investing to foster best practices in this regard.

/ ***The Fashion Pact:*** this sector-specific initiative is aimed at improving the fashion industry's impact on nature by protecting biodiversity, taking climate action and preventing microplastic ocean pollution.

6.4 The transition to a circular economy: resources, products and waste

Material topic: Pollution; Circular economy and efficient use of resources; Health, safety and well-being

6.4.1. Initiatives to progress towards a circular model

GRI 2-28; 3-3; 301-2; 306-1; 306-2

Our sustainability strategy covers our aim to progress towards a circular economy model that transforms waste into resources. Not only is circularity a transformative aspect in our Company and industry, but it represents an opportunity to improve our long-term resilience and efficiency. That is why we endeavour to integrate it at every level of our organisation, from design and production processes to managing our stores, logistics and offices.

To achieve this, we believe in innovation in materials, production processes and the use and end of life of our products. We base this innovation on collaboration with universities, startups, companies from different sectors and social organisations.

Indeed, implementing these innovative projects and providing the sector with fibres and processes that have a lower impact than traditional ones is one of the drivers of our circularity strategy.

Sustainability Innovation Hub

In 2023 we continued to work on our Sustainability Innovation Hub (SIH), a centre for innovation whose purpose is to minimise the environmental impact of the raw materials and processes used in the textile industry. To achieve this, we join forces with startups, academic institutions and other industrial and technological organisations in proposals that are assessed based on their impact on social aspects, circularity, biodiversity and animal welfare, as well as being subjected to a life-cycle environmental analysis. This assessment covers 16 impacts in areas such as emissions, water and land use.

Thus, in 2023 and in the field of collaboration with start-ups, this platform expanded considerably, going from 200 to 350 emerging companies working to incorporate new materials, improve production processes and make headway in connection with traceability, packaging and use and end of life. Furthermore, the Hub advanced in the environmental, technical and commercial analysis of 23 new startups and conducted 30 life cycle analyses.

The SIH also focused on being a catalyst for pilot projects and demonstrations in 2023. As a result, we carried out pilot projects for more than 35 innovations and launched on the market collections with various startups, such as NILIT and CIRC with Zara Woman, Circular Systems with Zara Home and Ambercycle with Zara Athleticz, as the first milestone in our ongoing collaboration with them.

In addition, we have also signed a forward purchase agreement with the American startup Ambercycle for the purchase of its recycled polyester chips made from 100% textile waste, valued at more than 70 million euros. Production at the new commercial plant is scheduled to commence in 2025.

A notable milestone for SIH was an agreement to incorporate the first 2,000 tonnes of Circulose® pulp, a new textile pulp produced from recycled cotton waste using a chemical process invented by the Swedish recycling company Renewcell. This adoption will mark the first step in our plan to phase Circulose® fibre into our portfolio of innovation fibres.

In 2023, we also launched LOOPAMID® x ZARA, a capsule in which we have collaborated with various companies, including BASF chemistry. For this launch, ZARA Studio has developed a single-material jacket made entirely with LOOPAMID®, a polyamide entirely created from textile waste. The fabric, padding, zipper, buttons and even the velcro are made from this innovative material created from textile waste.

Collaboration to scale production of recycled polyester from textiles

In 2023, we signed a three-year agreement to purchase cycora®, a recycled polyester made from textiles.

We have formed a strategic partnership with Ambercycle, an innovative materials startup, to help scale the production of recycled polyester made from textiles. This agreement includes the purchase of a significant portion of the annual production of cycora®—an innovative material made from post-industrial and post-consumer polyester waste—for more than **70 million euros, over a three-year period.**

Thus, the construction of Ambercycle's first commercial-scale textile regeneration factory will be supported, whose molecular regeneration technology will make recycled synthetic materials more widely available and accessible in the textile industry. The first commercial cycora® plant is expected to commence production in 2025, with a view to incorporating this fibre into Inditex's product range in the following three years.

As part of this agreement, Zara Athleticz has launched its first capsule collection in partnership with Ambercycle, which includes technical garments made with up to 50% cycora®. This collection shows the potential of innovative materials to create highly functional products with a lower environmental impact.

At Inditex we want to advance in the use of recycled materials, which avoid the need to extract new raw materials and reduce waste generation. This, in turn, eases pressure on natural resources such as water and fertile land and helps preserve the environment and reduce greenhouse gas (GHG) emissions.

That is why we are committed to using 40% recycled fibres by 2030, as part of our goal to use 100% lower-impact textile raw materials by that date.

This is a challenging goal for our Company and for the textile industry. At present, textile waste collection and sorting technologies and infrastructure are not capable of recovering large volumes of waste and transforming it into resources. An additional challenge is to ensure that recycled fabrics maintain a quality comparable to the original fabrics.

At Inditex we are addressing this problem through our own textile recycling projects and in collaboration with other organisations.

We also collaborate with organisations like the Ellen MacArthur Foundation, Circular Fashion Partnership, Global Fashion Agenda and Fashion for Good, on initiatives like design for recyclability, the assessment of infrastructure to process waste or new forms of textile recycling.

In this sense, during 2023, we participated in the following initiatives:

/ **ReHubs Europe:** an international non-profit organisation dedicated to promoting textile recycling in collaboration with the European Apparel and Textile Confederation (Euratex). ReHubs Europe emerged after three years of groundwork and the publication of the ReHubs Techno Economic Master Study (TES) on the technical and economic viability of expanding textile waste recycling in Europe (the ReHubs Initiative).

ReHubs Europe comprises member companies and organisations from across the textile value chain, including textile manufacturers, fashion brands, waste managers, recyclers, chemical industry representatives and technology providers, with the aim of promoting the development of projects that generate industrial capacity and expertise on post-consumer textile waste recycling in Europe. Inditex is an active participant in the working groups.

/ **SCRAP**: together with other brands, we co-founded the Association for the Management of Textile Waste with the aim of creating a Collective Extended Producer Responsibility Scheme (SCRAP) for textile and footwear waste in Spain. In 2023, further steps were made in defining aspects relating to SCRAP's governance, collection model and reporting. Inditex takes part in the various working groups set up.

Partnerships to develop circular solutions

We maintain industrial partnerships with more than 20 companies across diverse sectors to find new disruptive circular solutions. To that end, we are involved in every necessary phase: exploration, research, development, pilot testing and implementation.

Also in this connection, we maintain stable relationships with the leaders of various industries to fast-track and transfer solutions in raw materials, production processes and phases of use. This allows us to steer the systemic transformation our industry needs.

An example of this work is our collaboration with BASF, under the framework of a pioneering research partnership in the industry launched in 2019. One of the first results of this collaboration has been the commercial development of recycled polyamide (CCycled and BMB Ultramid®) from waste tyres—which cannot be reused in its own industry—and agricultural waste, respectively. We have launched collections using this polyamide: Oysho already used CCycled Ultramid® in 2022 and Zara adopted BMB Ultramid® in 2023.

A model tailored to demand

Our work is centred on designing high quality, affordable and durable fashion garments. We know that, in order to progress towards an efficient circular model, we need to maximise the life of each garment and optimise the use of materials in their manufacture. To achieve this, it is crucial to understand our customers' needs and to take action at every stage of the textile process.

That is why our product teams work to anticipate the purchasing requirements of our customers. This means keeping an adjusted inventory to be able to adapt to demand over time.

So as to guarantee an agile and effective response to this demand, a very significant portion of our garments are manufactured in proximity markets near our headquarters, such as Spain, Portugal, Morocco and Türkiye. We also combine inventory from our physical stores and online platforms, enabling our customers to access all of our products through our store network or online, which maximises the chances of selling every item.

This flexible and innovative business model helps us to meticulously manage garment inventories to avoid surpluses. In 2022[32], our surpluses represented 0.79% of total articles sold, and the majority of them were donated to charitable organisations such as UNHCR, the Red Cross and Caritas.

We also have for&from stores that operate as charity shops managed by non-profit organisations such as *Fundació El Molí d'en Puigvert*, Galician Confederation of People with Disabilities (COGAMI), *Fundació Privada per la Inclusió Laboral Auria,* Association of People with Mental Disabilities of Alicante (APSA), *Fundación Prodis, Fondazione Cometa and Associação VilacomVida*. These stores offer stable employment to people with physical, intellectual and mental disabilities, and their profits are reinvested entirely in projects run by these community organisations.

ⓘ More information in section *7.3. Communities* of this Report.

6.4.2. Design and selection of raw materials

GRI 3-3; 301-1; 301-2; 306-1; 417-1; AF18; AF20

Raw material design and selection influences the impact of our products and is therefore key to our commitment to using lower-impact materials. As part of this, in 2023 we unveiled our Fibres Plan—a cornerstone for improving our impact and advancing our sustainability strategy—to shareholders at the Annual General Meeting.

Our consumption of raw materials according to their origin is divided into two categories: fibres and non-fibres. The fibres category comprises three groups: natural[33] , synthetic[34] and man-made[35] fibres.

Raw materials	2023	2022
Fibres	88%	88%
Natural	53%	50%
Synthetic	38%	40%
Man-made	9%	10%
Non-fibres	12%	12%

[32] Surplus figures are shown for 2022 as the 2023 winter campaign is ongoing in stores at the time of writing this report, and therefore the surplus inventory has not yet been fully processed.
[33] Natural fibres are filaments obtained from natural sources that can be threaded to obtain strands, threads or twine.
[34] Synthetic fibres are made of polymers that are not naturally produced, but fully created in a chemical plant or a laboratory, almost always using petroleum or natural gas by-products.
[35] Man-made fibres are made using a natural component as a raw material that undergoes a number of processes in a chemical plant or a laboratory.

We use the following raw materials in our products[36]:

Raw material	Tonnes	% of total tonnes of raw material
Cotton	277,831	43%
Man-made cellulosic fibres	52,511	8%
Polyester	165,956	26%
Linen	13,141	2%
Other raw materials[37]	136,183	21%
Total	**645,623**	**100%**

Careful selection of fibres

We aim to encourage the design of products that last over time and can be recycled at the end of their useful life. With this in mind, we train our designers and sales teams in sustainability criteria and foster materials with a lower impact on biodiversity, land use, water consumption and the associated greenhouse gas (GHG) emissions.

Accordingly, we have undertaken, by 2030, to only use lower-impact raw materials, which we call preferred[38] materials in line with the definition of industry benchmark organisations like Textile Exchange. In this definition we also include fibres that meet other requirements of excellence established by other relevant organisations such as Canopy and Changing Markets.

This commitment is especially important for our Company, as textile raw materials account for 88 % of the materials we use. The remaining 12 % are non-textile raw materials, such as iron and porcelain.

Our commitment to lower-impact fibres

By 2030, 100% of our textile products will only use lower-impact materials.

/ We estimate that around 25% will be new generation fibres that do not yet exist on an industrial scale and that we are helping to develop.

/ 40% of the textile fibres we use will come from conventional recycling.

/ Another 25% will come from organic or regenerative agriculture.

/ The remaining 10% will include other preferred options in line with the indicators specified by benchmark organisations.

These goals are enshrined in our Fibres Plan, which we announced at the 2023 Annual General Meeting.

In recent years we have worked to promote the use of fibres from preferred sources. As a result of our efforts in this regard, in the last campaign of 2023 the consumption of preferred raw materials was 68% of the total, an increase of 8 percentage points with respect to the previous year.

[36] All purchases from the 2023 summer and winter campaigns are included. The figure includes the raw material used in the final product; it does not include any wastage that may have occurred during the production process. Raw material consumption is calculated based on the garment's weight and percentage composition.
[37] In the summer and winter 2023 campaigns, this category includes 190 raw materials such as wool, leather, glass, wood, paper or certain metals, among others.
[38] Textile Exchange defines a preferred material as "a raw fibre or material that delivers ongoing beneficial outcomes and impacts for climate, nature, and people through a holistic approach to transforming raw fibre and material production systems".

This milestone is founded on the Join Life standard we introduced in 2015 to raise awareness among our customers and staff, and which distinguished products which involved raw materials and processes with a lower environmental impact. Having met our initial aim, and having exceeded our commitment to ensure that 50% of our garments were Join Life by 2022, we no longer distinguish our products with this label.

From now on, our strategy is based on our new Fibres Plan, which sets targets by volume of lower-impact fibres used in the products of each of the Group's brands.

Alongside this strategy, Inditex has developed a new classification of fibres and materials, which is constantly being reviewed and updated, and to which our teams, as well as our suppliers and manufacturers, have continuous access.

We have shared our Fibres Plan on the suppliers' Extranet, including our fibre targets by 2023, 2025 and 2030, and the raw materials currently considered to be lower-impact. We also provide information on international standards certifying the presence of raw materials by type of fibre. This document also presents the suppliers of recycled synthetics and man-made fibres that have so far been identified.

The progress towards the intermediate milestones of our Fibres Plan at year end, in the winter 2023 season, is presented below:

Commitment	Source[(4)]	% of total tonnes of this raw material	Type of fibre	%
100% preferred cotton in 2023	Preferred	96%	Organic cotton (OCS/GOTS)	7.9%
			Cotton in conversion/transition (OCS/GOTS)	1.6%
			BC cotton[(1)] (BC)	75.6%
			Recycled cotton (RCS/GRS)	10.4%
	Conventional	4%	Conventional	4.5%
100% preferred man-made cellulosic fibres by 2023, supporting the Changing Markets Commitment	Preferred	85%	Recycled (RCS/GRS)	0.1%
			Other third-party standards (Canopy, Changing Markets[(2)] or FSC)	85.2%
	Preferred (Canopy only)[(3)]	7%	Other third-party standards (Canopy)	7.2%
	Conventional	8%	Conventional	7.6%
100% preferred polyester in 2025	Preferred	52%	Recycled polyester (RCS/GRS/Repreve)	51.6%
	Conventional	48%	Conventional	48.4%
100% preferred linen in 2025	Preferred	84%	European linen (European Flax certificate)	83.6%
			Recycled linen (RCS/GRS)	0.2%
	Conventional	16%	Conventional	16.2%

(1) BC cotton is not physically traceable to the final product, as it uses a mass balance system. The percentage of use has been estimated on the basis of the information available in Inditex's systems.
(2) Man-made cellulosic fibres that meet the requirements specified in the Changing Markets' Roadmap towards responsible viscose & modal fiber manufacturing.
(3) Cellulosic fibres from suppliers classified as "green shirts" with a score of 25 or above in the Hot Button Report compiled by CanopyStyle, a Canopy Planet initiative.
(4) Preferred raw materials are only considered to be those for which the corresponding certificate has been received within the time and manner established in accordance with our internal procedures.

Cotton

Cotton is the most widely used raw material at our Company. In keeping with our commitment to preserve natural resources and biodiversity, we have adopted various strategies regarding our cotton consumption.

We use **organic cotton**, i.e. cotton that does not involve the use of synthetic fertilisers and pesticides, or of genetically modified seeds, that is certified by the Organic Content Standard (OCS) and Global Organic Textile Standard (GOTS).

With the aim of promoting organic cotton growing, we are a founding member of the Organic Cotton Accelerator (OCA) initiative, which supports organic cotton farmers from growing to marketing. Likewise, we assist farmers as they transition to organic crops.

In addition, we are members of **Better Cotton (BC)**, an initiative involving actors in the cotton supply chain aimed at training farming communities in best practices for growing cotton.

We are also committed to using **recycled cotton**, which is made from production cutting scraps or post-consumer waste and which undergoes a recycling process to make it into new cotton fibre.

During the last campaign of the year, we have achieved that 96 % of the cotton used meets our objective. The remaining cotton has been classified as conventional since we cannot prove its origin according to our internal procedures.

Preferred man-made cellulosic fibres

Our goal with the artificial cellulosic fibers used in our products is that they meet the following conditions in line with our Forest Products Policy. Firstly we require our suppliers to use man-made cellulosic fibres (viscose, modal, lyocell and acetate) in our products that are sourced from fibre manufacturers rated as 'green shirts' with a score of 25 or higher in the CanopyStyle initiative's Hot Button report, led by the Canopy Planet organisation. Secondly, we continue our endeavours to ensure that, from this year onwards, cellulosic fibres are sourced from manufacturers who are committed to the *Roadmap towards responsible viscose & modal fibre manufacturing* promoted by the Changing Markets Foundation.

In the last campaign of the year, 85% of the man-made cellulosic fibres used in our products met both requirements.

The difficulties in sourcing preferred man-made cellulosic fibres in certain markets has hampered the execution of orders for preferred fabric in 2023. Consequently, we continue to work with cellulose pulp manufacturers in connection with the commitment to the Changing Markets Roadmap. Nine facilities of large fibre manufacturers have already implemented the best available techniques (BATs) in their production processes, and three other facilities will have them in place at the end of 2024 and early 2025. Fibre obtained without BATs is classified as 'preferred – Canopy only' [39].

Meanwhile, we have classified as conventional the fibre whose source we have not been able to prove.

Linen and polyester

We are advancing towards our goal of using only polyester and linen from preferred sources by 2025. In 2023, 52% of the polyester and 84% of the linen we used in our products came from this kind of source.

Recycled materials

When we updated our sustainability commitments we pledged to source 40% of our textile fibres from conventional recycling by 2030, as one of our targets to help ensure that 100% of our textile products use only lower-impact materials. In this sense, in 2023 our products already contain 18% recycled materials (13% in 2022).

Furthermore, through our Sustainability Innovation Hub (SIH) we research alternative and innovative materials obtained from second- and third-generation waste. These materials are designed to ensure the technical and durability standards required in certain products, thereby contributing to sustainability and reducing the environmental impact in our supply chain.

In 2023 we also worked on producing a guide to threads and yarns that contain mechanically recycled cotton fibre, mainly post-industrial cotton, with information on the possibilities and limitations of using recycled materials. This guide is intended as a support tool for our sales teams and suppliers, helping them to make product design and procurement decisions.

The guide will cover a variety of threads and yarns, classified by yarn type and percentage of recycled content, recommended for different types of products based on the purchases made in our Company's concepts. The information compiled is based on the characteristics of the recycled fibre, including fibre length and short fibre content, as well as on the spinning technology used, differentiating between Open-end spinning and ring spinning.

Although Open-end spinning is now quite common in the process of spinning recycled fibres, ring spinning still requires research to be fully integrated into the recycling loop. This allows us to include recycled content in product families where there is currently a knowledge shortfall.

This publication not only provides guidance for decision making, but it also encourages giving value to textile waste. The mechanical textile recycling process involves the sorting and processing of waste into recycled fibres, which are then used in the production of threads, fabrics and garments, saving raw materials, reducing costs and having a better impact on the environment.

[39] Cellulosic fibres from suppliers classified as 'green shirts' with a score of 25 or above in the Hot Button Report compiled by CanopyStyle, a Canopy Planet initiative.

6.4.3. Health and safety of products

GRI 2-28; 3-3; 413-2; 416-1; 416-2; AF19

We strive to ensure that the products we market are safe and healthy. To achieve this, we have specific product standards, that are of general application and mandatory for all the articles we sell[40]. These standards go beyond the requirements of international legislation and cover processes from design to manufacturing.

We currently have eight product standards, each with a different scope:

Product standards

	Scope
Safe to Wear	Garments, footwear, accessories, including the trimmings and fabrics used for their manufacture
Physical Testing Requirements	Garments, footwear, accessories and home textiles
Clear to Wear	Garments, fabrics, footwear, accessories and home textiles
i+Cosmetics	Cosmetics
i+Food Contact Materials	Products in contact with food
i+Home Fragrance and Candles	Ambiance products for the home Decorative candles and their accessories
i+Child Care Furniture	Children's furniture and child care articles
Active to Wear	Garments and fabrics

In 2023 we launched our Active to Wear standard, a product quality tool that defines the minimum requirements for fabrics or garments labelled with a functional property that enhances their performance under certain conditions of use or activities such as the water repellency.

We also published the new guide to best manufacturing practices free of perfluoroalkyl and polyfluoroalkyl substances (PFAS). This guide provides information on the sources and common uses of these synthetic compounds, a clear testing method at both the chemical and textile application level using more sensitive analytical techniques, and guidelines to prevent cross-contamination at manufacturing sites.

In 2023 we launched a new version of the Clear to Wear (CtW) standard to bring it into line with the latest regulatory developments and to further our alignment with the Apparel and Footwear International RSL Management (AFIRM)'s Restricted Substances List (RSL). This standard covers restricted chemicals present in finished products.

We have also published a new edition of our Physical Testing Requirements (PTR), the standard which establishes the physical-chemical parameters for textile quality testing.

To verify compliance with our standards, we work with technology companies, research centres and laboratories of international reference to test that they are being properly applied. We also conduct our own programmes to analyse our articles, as well as audits at manufacturing centres.

In this connection, we focus our efforts on ensuring compliance with our standards at every stage of the product: design, raw material selection and manufacturing processes. To strengthen compliance with our Safe to Wear standard, we provide our suppliers with manufacturing guidelines that include measurement tables with specific safety requirements, such as the position of appliqués and cords or maximum lengths of free ends.

Our network of in-house testing laboratories plays an important role in this process, testing pursuant to the most demanding international standards. This way we ensure comprehensive product control, anticipating potential non-conformities with our product health and safety standards, and we improve textile quality in product durability terms.

With regard to the prevention of non-conformities, it is worth highlighting our **Picking** inspections programme aimed at ensuring that our articles are made in accordance with our health and safety standards. This programme identifies potential non-conformities by means of a representative sample at the supplier's facilities and an analysis conducted by external laboratories approved by our APPLABS programme. In 2023, 60,685 Picking inspections were carried out, and 821,934 analyses and tests were performed[41] (51,288 inspections and 721,980 analyses and tests en 2022).

[40] Articles that are outside the scope of Inditex's health and safety standards are subject to minimum requirement reports specifically compiled in accordance with the statutory requirements which apply to the type of product and the markets where they are sold.
[41] This includes tests and inspections carried out in 2023 as part of the Picking programme for all the Group's brands. The calculation methodology includes primary data obtained through statements from the service provider.

We also have our **APPLABs** external laboratory approval programme. This initiative ensures that the analysis process and the results provided by these laboratories on our articles are accurate and according to the particularities of our model. This confidence is crucial because this information determines whether a production meets our standards. In 2023, a total of 57 on-site audits[42] were carried out at external laboratories and 47 comparison exercises, which involved analysing 6,821 samples (56 on-site audits, 35 comparison exercises and 5,951 samples in 2022).

In addition to these inspections, since 2017 we have been deploying **Minilabs**, a portable laboratory that allows our external auditors to conduct, at the supplier's own facilities and at any stage of the production process, up to six screening tests for substances and parameters regulated in the Clear to Wear standard and Physical Testing Requirements. In 2023, we performed 3,656 Picking inspections with Minilab and carried out 31,268 analyses and screening tests[43] (3,743 inspections and 33,029 analyses and screening tests in 2022).

Furthermore, we strive to improve the supply chain through our **Root Cause Analysis** (RCA), which enables us to conduct technical audits when we identify a non-compliance in the course of Picking inspections. These audits, which are carried out by specialists, are aimed at finding the root cause of the non-compliance in wet process facilities (dyeing, washing, tannery and printing, primarily) and proposing an action plan to remedy the defect.

In 2023, 36 RCA audits[44] were conducted (17 audits in 2022). The results showed that cross-contamination with other productions was one of the main causes of non-compliance. This programme allows us to generate and strengthen our expertise so as to be able to tackle and correct the causes of non-conformities and continue to improve our supply chain.

ⓘ More information in the document *Innovation, collaboration and continuous improvement for chemical safety* available on Inditex's corporate website.

Collaborations

We are advancing, with our suppliers and the rest of the industry, in adopting best practices, particularly the selection of safe chemicals and wastewater management. We think that sharing our know-how and aligning requirements across the industry is essential to ensure compliance with our standards and to improve facilities in line with Greenpeace's Clean Factory Approach. We are also members of the Board of Zero Discharge of Hazardous Chemicals (ZDHC) and we are involved in AFFIRM, among other initiatives. We also collaborate with prestigious technological centres and universities.

In order to drive the transformation of our sector, we have made available to the industry The List, by Inditex programme through ZDHC's Gateway platform. This is a procedure for classifying chemicals that improves production processes and the health and safety of final garments. We have also adopted ZDHC's Manufacturing Restricted Substances List (MRSL), which specifies the chemicals whose intended use is banned from the manufacturing process.

Also alongside ZDHC, we have been involved in its new Chemicals to Zero programme to foster safer chemical formulations, which includes three certification levels: Foundational, Progressive and Aspirational. The recently launched 5th edition of The List, by Inditex has received official certification at the Progressive level, ensuring compliance with MRSL (ZDHC) restrictions and helping to safeguard compliance with the restrictions applicable to finished products (AFIRM's RSL and CtW).

We also devise best manufacturing practice guidelines and provide regular training to our suppliers, especially those involved in wet processes. Thus, we continue to move forward in the proper selection, acquisition, handling, storage and use of chemical products.

ⓘ More information in section *9.1.3. Health and safety indicators of our products* of this Report.

[42] This includes audits carried out in 2023 as part of the APPLABs programme. The calculation methodology includes primary data obtained through statements from the service provider.
[43] This includes tests and inspections carried out in 2023 using the Minilab for all the Group's brands. The calculation methodology includes primary data obtained through statements from the service provider.
[44] The calculation methodology includes primary data obtained through statements from the service provider.

6.4.4. Use, end of life and waste management

GRI 3-3; 301-3; 306-1; 306-2; 306-3; 306-4; 306-5; AF18

Use and end-of-life of our garments

One of the major challenges facing the textile sector is to lengthen the useful life of garments. At Inditex we want our products to accompany our customers a long time. So we want to help customers extend the life of their garments and we strive to make our products durable, thereby contributing to a circular economy. With this goal in mind, we are working on actions that offer innovative options and alternatives to maximise the useful life of our products.

One such initiative is Zara Pre-Owned, a platform we launched in 2022 to provide repair services and facilitate customer-to-customer sales and donations. At present, in line with our goal of make the platform available in all key markets by 2025, Zara Pre-Owned is available in 16 markets: Spain, Germany, Austria, Belgium, Croatia, Slovakia, Slovenia, Finland, France, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal and the United Kingdom.

/ **Repairs:** this service allows customers to request the repair of any used Zara garment from any season. Our customers can request services such as button and zip replacements or seam repairs either online or in the Zara store of their choice.

/ **Customer-to-customer sales:** using this service, anyone can buy and sell Zara garments from any season. The space is organised by product category and provides detailed information on each item, including Zara's original information on the garment and current images from the seller.

/ **Donation:** customers can request the collection of clothes from their home to be donated to charitable entities. All collected items are delivered to local organisations that sort them for reuse where possible or to be recycled if they have reached the end of their life cycle. This supports the development of projects in local communities, as explained in the next section.

Another pioneering project in this regard was the launch in 2022 of The Laundry by Zara Home in collaboration with BASF. The Laundry is the first detergent designed to reduce microfibre shedding in washing, and it is available in the brand's stores and online. This detergent is especially effective at low temperatures, yielding additional benefits such as lower energy consumption in washing or improved colour fastness, prolonging a garment's life. In 2023 we made progress in extending the patent to include markets such as Canada, the US and Brazil.

Clothing Collection Programme

The Clothing Collection Programme allows our customers to donate items they no longer use to more than 90 local community organisations in the markets where we operate. Donation is made through the containers located in our stores or Zara.com's home collection services, available in Spain, the UK, New York, Paris and several cities in Mainland China. In Switzerland and Hungary, where we have not yet established any agreement with non-profit organisations, we work with third parties specialising in textile recycling. In Spain we also work with Caritas to enable the donation of garments by means of containers located in the streets of a number of cities.

These non-profit organisations receive the donated garments and footwear from our facilities. The aim of this programme is that these articles are classified in accordance to the principle of waste hierarchy. Thus, garments in good condition will be donated to people in vulnerable situations or resold to finance these organisations' community projects. Those products that cannot be reused will be transformed into new textile fibres (upcycling) or, as a last resort, are made into new materials for industrial use (downcycling).

In 2023, our clothing collection programme recovered a total of 20,259 tonnes of garments and footwear (17,015 tonnes in 2022) that were donated to our partners in their entirety. To foster transparency in connection with these donations, our partners report to us regularly regarding how the articles received are used. In 2023, they informed us that:

/ 67% of all garments were reused via donations to people in vulnerable situations or by reselling to finance community projects.

/ The remaining 33%, which could not be reused due to their characteristics or condition, were sent to recycling projects (mainly downcycling), or, as a last resort, were used in energy recovery.

Waste and resources management model

We know that our responsibility for the sustainability of our products does not stop at our stores. Consequently, we are working towards a circular economy model in which waste is turned into useful resources, maximising its value and improving our impact.

In our day-to-day operations we focus on the life cycle management of the waste generated by our activities. We have implemented projects to prevent the generation of waste materials where possible, and to enable the recovery, reuse and subsequent recycling of those that are ultimately generated. Thus, we transform these materials into resources that can continue to be used.

Our commitment to reducing the impact of our products also includes those items that accompany our garments, such as packaging. To achieve this, we have set public targets based on the waste hierarchy within the framework of our waste management programme.

Prevention

In 2019, we have set ourselves the goal of eliminating single-use plastics reaching customers by 2023. The elimination of unnecessary materials and the quest for potential alternatives has been crucial in this process, and has involved numerous teams in the Company.

Thanks to their efforts, in 2023 we were able to find alternatives to all the single-use plastics that previously reached our customers[45]. We estimate that the implementation of these alternative solutions have enabled us to eliminate 95% of the weight of single-use plastics.

Interim exemptions apply to some of the eliminated items that temporarily allow them to be used: when these are products sold on non-Group platforms that have their own operations that include single-use plastics, or in case of continuity products purchased before 2023.

Our commitment in this sphere implies a continuous effort in innovation to avoid using single-use plastics in new product lines, at suppliers and in other Group operations.

In 2020 we already eliminated the use of plastic packaging in stores and online orders. In 2021, we launched the #bringyourownbag (*#traetubolsa*) initiative and started charging for our recycled paper bags in stores, with the aim of raising awareness among our customers about the importance of using reusable alternatives, reducing the generation of waste and minimizing the consumption of raw materials, water and energy.

ⓘ For more information on the environmental projects our customers are financing, see section *7.3.5. Key programmes* of this Report.

In this regard, in 2021 we also signed a commitment with the Ellen MacArthur Foundation (EMF) to reduce by 50% our plastic footprint by 2025 compared to 2019. This commitment underpins our teams' efforts to promote the disposal, reuse and recycling of plastics.

[45] There are three items that cannot be eliminated for legal or safety reasons.

Preparation

We are careful to properly manage and separate materials that arrive at our facilities: packaging and other items. We see this waste as resources that can be reused or recycled and we are committed to its proper management to prevent it from ending up in landfills.

This approach is not confined to properly sorting materials for processing and recycling, but includes rethinking our processes to reduce waste generation at every stage: design, logistics, store and end of life.

Our goal is that the waste generated at our corporate headquarters, logistics centres, and own factories and stores to be properly collected and managed by 2023. In this regard, in 2023, 100% of the waste generated in these facilities are collected, classified and managed by an authorised manager, to allow its reuse or recycling and avoid its deposit in a landfill.

We continue to make every effort to ensure the traceability of waste in the most challenging cases, such as in our stores located in shopping centres where a combined waste management is carried out.

In 2023 we have been working to be able to integrate the waste generated in our stores into our systems. Based on the data we have available[46] at the time of publication of this Report, we have estimated that around 89,000 tons of waste could have been generated through the Group's own stores in 2023. We continue to collect information to have more data for a complete year and being able to address the different singularities of store type by market.

Furthermore, in 2023, we have 14 TRUE certifications, processed by Green Business Certification Inc. for our headquarters, logistics centres and own factories (9 Platinum and 5 Gold certifications). TRUE certification identifies "environmentally responsible spaces which have achieved an average 90% or greater overall diversion from landfill or incineration".

Management of materials

Our goal by 2023 onwards is for all packaging materials to be collected for reuse or recycling in our supply chain. In this regard, the separation of packaging at our facilities is essential for their subsequent reuse or recycling.

For example, our goods are packed in cardboard boxes for shipping to ensure that they arrive in good condition from our suppliers to the customer. Our objective is for this packaging to be reused wherever possible and, where it is not, for it to be recycled and reintroduced into the production cycle as a raw material. In 2023, 100% of the cardboard and paper collected in our centres, especially boxes, was allocated for reuse and/or recycling.

In addition, with the aim of going one step further, we are rolling out a service allowing our Zara online customers to choose whether they wish to receive their orders in reused boxes. The service is active in various geographic areas and we are working to expand its scope into new markets forthwith.

Our Green to Pack programme has been a key tool in achieving this goal, as it establishes the quality and environmental standards that our boxes must meet to allow their reuse and subsequent recycling. The programme also takes into account the social aspect and respect for human and labour rights in the manufacturing process. Consequently, any manufacturer wishing to be authorised as a supplier of Green to Pack boxes must pass a social audit in which compliance with our Code of Conduct for Manufacturers and Suppliers is verified.

Waste management and future purposing

Waste generation at our headquarters, logistics centres and own factories is presented below[47]:

[46] Data on waste generated in 1,055 stores in different markets in Europe and Asia and from all the Group's brands have been used.
[47] These data do not include waste generated in our own stores and construction and refurbishment works of the Group as this information is not available at the required level of detail in the Company's systems. We have several projects underway to report this information in future years. The information included is derived from primary data.

Type of waste	2023 (KG)	2023 (%)	2022 (KG)	2022 (%)
Cardboard and paper	14,985,836	69%	13,713,321	66%
Wood	2,859,440	13%	2,773,840	13%
Other non-hazardous waste	2,545,777	12%	2,951,460	14%
Plastic	682,771	3%	680,725	3%
Textile waste	233,623	1%	245,018	1%
Metal	246,913	1%	232,293	1%
Hazardous waste	51,648	0%	35,623	0%
Total	**21,606,008**	**100%**	**20,632,280**	**100%**

The destination of this waste was as follows, according to its treatment

Non-hazardous waste destination	2023 (KG)	2023 (%)	2022 (KG)	2022 (%)
Diverted from disposal	**20,028,082**	**93 %**	**18,811,731**	**91%**
Recycling	19,685,985	91 %	18,607,803	90%
Preparation for reuse	342,097	2 %	203,928	1%
Directed to disposal	**1,526,278**	**7 %**	**1,784,926**	**9%**
Landfilling	1,236,015	6 %	1,600,519	8%
Incineration (with energy recovery)	290,263	1 %	184,407	1%
Total	**21,554,360**	**100 %**	**20,596,657**	**100%**

Hazardous waste destination	2023 (KG)	2023 (%)	2022 (KG)	2022 (%)
Diverted from disposal	**49,282**	**95%**	**26,141**	**73%**
Recycling	34,488	67%	24,531	69%
Preparation for reuse	634	1%	1,610	5%
Other recovery operations	14,160	27%	0	0%
Directed to disposal	**2,366**	**5%**	**9,482**	**27%**
Landfilling	708	1%	7,610	21%
Other disposal operations	626	1%	1,807	5%
Incineration (with energy recovery)	969	2%	0	0%
Incineration (without energy recovery)	63	0%	65	0%
Total	**51,648**	**100%**	**35,623**	**100%**

Our efforts also focus on reducing waste in canteens at our headquarters. In this context, we promote the use of mugs, glasses and glass bottles to avoid the use of single-use plastics and we implement a number of measures to stop wasting food and to encourage the proper separation of food waste.

7
Social

7.1. Our people

Material topic: Fair working conditions; Diversity, equality and inclusion; Talent management; Health, safety and well-being.

7.1.1. About us

GRI 2-4; 2-7; 3-3; 404-2; 405-1; 405-2; AF22

At Inditex we believe that our teams are the engine of the Company's transformation and continuous growth, thanks to their talent, commitment and capacity to adapt to environmental changes.

Our aim is to help all of our people develop their full potential as part of a diverse, creative and innovative team. To achieve this, we foster opportunities for their development and training, with the aim of contributing to their professional and personal growth.

The people strategy rests on four pillars: promoting our **values** and our **culture; diversity and inclusion in our teams,** with **equal** opportunities; a firm commitment to **talent,** providing opportunities for development, internal promotion and mobility; and guaranteeing the **safety, health and well-being** of our teams, with quality, stable and stimulating jobs.

At the close of the financial year 2023, our Group comprises a team of **161,281 people employed in 57 markets and representing a total of 174 nationalities** (164,997 people, 59 markets and 182 nationalities in 2022).

The Inditex Group can be described with four features:

- **Generational and gender diversity**
- **International presence**
- **Horizontal organisation**
- **A customer-centric approach**

The Group's workforce is defined by its **gender and age diversity,** with a majority of women. At the end of 2023, **74% of our workforce are women,** while 26% are men (75% and 25% in 2022). Moreover, 0.02% of our workforce identifies as non-binary and 0.01% as unspecified gender-other[48]. With regard to their age, our teams comprise people from **various generations,** with a predominance of the youngest age groups. The average age of our workforce is 30.6 years old (29.6 years old in 2022).

The **Group's international presence,** with people employed in 57 markets is another of our strengths, as it provides us with the opportunity to define global policies, while at the same time attending to the particular characteristics of each market, enriching and strengthening our corporate culture. Multiculturalism is an opportunity to add new ideas and pool experiences, making us a more creative company and one better prepared to understand the complexity of the market. Spain, with 47,761 employees, accounts for 30% of the total workforce.

Our **horizontal organisation** fosters open communication across the entire workforce, and nurtures the creation of collaborative working environments. This continuous dialogue enables us to identify opportunities for improvement in all areas and at every level of our business. In addition, our approach to job classifications is broad, with store employees having a special relevance in this classification.

The **customer is at the heart** of our business model. Accordingly, our stores, where 86% of our people work, play a crucial role in the Company. Notably, in recent years the teams dedicated to online sales have grown strongly, which together with the rest of the Group's areas of activity (factories, logistics and central services), serves the integrated store and online platform of all seven of our brands, comprising a network of more than 5,600 stores.

[48] As part of our commitment to gender diversity and non-discrimination, from financial year 2023 we have broadened the spectrum of gender identities reported in the workforce indicators. Information from previous years for non-binary or unspecified-other gender is not available.

Our people in 2023

161,281 people

174 nationalities

Distribution by activity

	2023		2022	
	Number of employees	%	Number of employees	%
Store	138,977	86%	143,365	86%
Central services	11,612	7%	11,374	7%
Logistics	10,090	6%	9,670	6%
Factories	602	1%	588	1%
Total	**161,281**	**100%**	**164,997**	**100%**

Distribution by geography

	2023		2022	
	Number of employees	%	Number of employees	%
Americas	19,963	12%	20,909	13%
Asia and rest of the world	15,526	10%	14,457	9%
Spain	47,761	30%	46,154	28%
Europe (ex-Spain)	78,031	48%	83,476	51%
Total	**161,281**	**100%**	**164,997**	**100%**

Distribution by age

	2023		2022	
	Number of employees	%	Number of employees	%
Under 30 years old	89,690	56%	94,666	57%
30 to 40 years old	43,310	27%	44,644	27%
Over 40 years old	28,281	18%	25,686	16%
Total	**161,281**	**100%**	**164,997**	**100%**

Distribution by gender

	2023		2022	
	Number of employees	%	Number of employees	%
Women	118,925	74%	123,201	75%
Men	42,309	26%	41,796	25%
Non-binary	25	0.02%	—	—
Others/Unspecified	22	0.01%	—	—
Total	**161,281**	**100%**	**164,997**	**100%**

The table below shows the breakdown and evolution of the workforce by professional category and market. The functional description of each of the job classification groups included in this Report is as follows:

/ **Management:** employees in management positions with responsibility for interdisciplinary working groups related to the areas of design, manufacturing, distribution, logistics, stores, technology, sustainability and other general services. This category includes store managers.

/ **Supervisor:** employees who are part of interdepartmental and transversal working groups for design, logistics and stores, as well as sustainability, technology and other general services.

/ **Specialist:** employees with an impact through individual contribution related to one of the Group's activities in the areas of design, manufacturing, distribution, logistics, stores, sustainability, technology and other general services.

Distribution by job classification

	2023		2022	
	Number of employees	%	Number of employees	%
Management	9,811	6%	10,692	6%
Supervisor	14,976	9%	14,754	9%
Specialist	136,494	85%	139,551	85%
Total	**161,281**	**100%**	**164,997**	**100%**

Distribution by market[49,50]

Europe (ex-Spain)	2023	2022
Albania	310	332
Germany	5,046	4,951
Austria	1,409	1,320
Belgium	2,955	2,977
Belarus	352	370
Bosnia-Herzegovina	427	420
Bulgaria	781	750
Croatia	1,184	1,125
Denmark	295	296
Slovakia	467	469
Slovenia	228	218
Finland	174	203
France	10,975	11,302
Greece	4,065	3,930
Hungary	1,109	1,214
Ireland	1,016	1,027
Italy	10,283	9,971
Luxembourg	304	335
North Macedonia	325	315
Monaco	40	41
Montenegro	165	155
Norway	343	364
Netherlands	3,089	2,947
Poland	4,594	4,623
Portugal	6,964	7,016
United Kingdom	6,739	6,751
Czech Republic	674	676
Romania	2,899	2,879
Russia	3	5,303
Serbia	1,422	1,262
Sweden	695	716
Switzerland	1,398	1,470
Türkiye	6,496	6,622
Ukraine	809	1,127
Total	**78,031**	**83,476**

[49] As a result of the conflict in Ukraine, which began in February 2022, operations in that market have remained suspended at year end. During 2023, Inditex continues its support to the Ukrainian workforce, maintaining the full payment of salaries and the measures needed to support the staff as necessary. As regards the Russian business, the year-on-year change in the number of employees is due to the sale of our business to the Daher Group. For more information see *Note 33* of the Consolidated Annual Accounts.

[50] During 2023, the business was sold and subsequently franchised in Argentina and Uruguay, which is why the year-on-year variation in these markets is justified. For more information see *Note 33* of the Consolidated Annual Accounts.

Distribution by market[49,50]		
Asia and rest of the world	**2023**	**2022**
Australia	2,076	1,863
Bangladesh	76	75
Cambodia	4	3
South Korea	1,639	1,529
India	1,691	1,543
Japan	2,837	2,780
Kazakhstan	1,272	1,189
Morocco	42	40
New Zealand	138	106
Pakistan	11	9
Singapore	3	4
South Africa	556	496
Vietnam	18	14
Mainland China	3,887	3,771
Taiwan, China	531	450
Hong Kong SAR	702	532
Macao SAR	43	53
Total	**15,526**	**14,457**

Spain	**2023**	**2022**
Spain	47,761	46,154

Americas	**2023**	**2022**
Argentina	—	718
Brazil	3,162	2,697
Canada	2,653	3,025
Chile	992	955
United States	6,170	6,374
Mexico	6,986	6,825
Uruguay	—	314
Total	**19,963**	**20,909**

7.1.1.1. Employment

It is a priority for Inditex to create **motivating, stable and safe working environments,** with equal opportunities and development, ensuring the utmost care for the conditions of our people. We strive to adapt our responses to the local needs in the 57 markets in which our employees are present, and to guarantee quality workplaces.

Distribution of the workforce by contract type
In 2023, 81% of our people were on a permanent contract (compared with 82% in 2022).

The tables below show the different types of contract by gender, age and job classification:

Employee distribution by contract type, gender, age and job classification

	2023				2022			
	Permanent		Temporary		Permanent		Temporary	
	Number of employees	%	Number of employees	%	Number of employees	%	Number of employees	%
Distribution by gender								
Women	96,263	81%	22,662	19%	99,963	81%	23,240	19%
Men	34,910	83%	7,398	17%	34,881	83%	6,913	17%
Non-binary	25	100%	0	0%	—	—	—	—
Others / Unspecified	22	100%	0	0%	—	—	—	—
Total	**131,221**	**81%**	**30,060**	**19%**	**134,843**	**82%**	**30,153**	**18%**
Distribution by age								
Under 30 years old	64,916	72%	24,774	28%	69,358	73%	25,305	27%
30 to 40 years old	39,327	91%	3,983	9%	40,878	92%	3,770	8%
Over 40 years old	26,978	95%	1,303	5%	24,607	96%	1,078	4%
Total	**131,221**	**81%**	**30,060**	**19%**	**134,843**	**82%**	**30,153**	**18%**
Distribution by job classification								
Management	9,548	97%	262	3%	10,418	97%	276	3%
Supervisor	14,530	97%	446	3%	14,315	97%	444	3%
Specialist	107,143	78%	29,352	22%	110,111	79%	29,434	21%
Total	**131,221**	**81%**	**30,060**	**19%**	**134,843**	**82%**	**30,153**	**18%**

Distribution of the workforce by type of working hours

In terms of working hours, 58% of Inditex's employees work part-time and 42% work full time in 2023 (59% part-time and 41% full-time in 2022).

This breakdown of workers by type of working hours is typical of the retail sector, where there are sales periods with peaks of activity that require part-time reinforcements. We also often hire people who combine their work at Inditex with other activities, such as studies.

The full-time equivalent (FTE) workforce, a meaningful indicator when it comes to analysing employment quality, shows the workforce resulting from combining all full-time hours. In 2023, it represented 78%[51] of total jobs (77% in 2022).

Below is a breakdown of part-time employees by gender, age and job classification:

The distribution of part-time employees by gender, age and job classification

	2023				2022			
	Part-time		Full-time		Part-time		Full-time	
	Number of employees	%	Number of employees	%	Number of employees	%	Number of employees	%
Distribution by gender								
Women	72,620	61%	46,305	39%	76,348	62%	46,854	38%
Men	21,139	50%	21,169	50%	21,498	51%	20,297	49%
Non-binary	14	56%	11	44%	—	—	—	—
Others / Unspecified	16	73%	6	27%	—	—	—	—
Total	**93,789**	**58%**	**67,491**	**42%**	**97,845**	**59%**	**67,151**	**41%**
Distribution by age								
Under 30 years old	65,946	74%	23,744	26%	70,718	75%	23,927	25%
30 to 40 years old	18,130	42%	25,180	58%	18,483	41%	26,178	59%
Over 40 years old	9,713	34%	18,567	66 %	8,644	34%	17,047	66%
Total	**93,789**	**58%**	**67,491**	**42%**	**97,845**	**59%**	**67,151**	**41%**
Distribution by job classification								
Management	401	4%	9,410	96%	433	4%	10,263	96%
Supervisor	1,544	10%	13,431	90%	1,433	10%	13,328	90%
Specialist	91,844	67%	44,650	33%	95,980	69%	43,561	31%
Total	**93,789**	**58%**	**67,491**	**42%**	**97,845**	**59%**	**67,151**	**41%**

Leavers

The workforce in Spain at the end of 2023 totalled 47,761 people, of whom 74% were women and 26% were men.

In that period, dismissal for various reasons accounted for 776 leavers in Spain (710 in 2022). Breaking down these figures by gender, it is proportionately similar to the gender breakdown of the workforce as a whole, as the number of women who were dismissed was 551, or 71% of those dismissed, compared with 225 men, or 29% (504 women vs. 206 men in 2022).

With regard to the breakdown of dismissals by job classification, in Spain, 76% were concentrated in specialist positions, according to the classification previously provided (80% in 2022), for stores and headquarters, own factories and logistics centres alike. 13% of the dismissals were in supervisor positions, and the remaining 11% in management positions (11% and 9% in 2022 respectively). Regarding the breakdown of dismissals by age in Spain, 39% affected staff aged 30 to 40 years, the age group which accounts for 32% of staff in Spain. The proportion is consistent with the distribution of the workforce in the country where the Group's corporate services are located: 29% of the dismissals were in the over-40 age bracket (representing 37% of our workforce), and the remaining 32% in the under-30 age bracket (representing 32% of our workforce in Spain). In 2022 the age distribution of dismissals was 24% in the under 30 age group 44% in the 30-40 age group and 31% for the over-40 age group.

Globally, with a workforce of 161,281 people in 2023 (164,997 people in 2022), in 2023 there were 5,100 dismissals (5,694 dismissals in 2022). Of the total, the number of women who terminated their relationship with the Group for this reason was 3,508, 69%, compared to 1,590 men, 31%, and 2 non-binary people, 0.04% (3,976 women and 1,718 men in 2022), again consistent with the gender distribution of the overall workforce. As

[51] FTE employment data available in 2023 for 98.5% of the workforce [98.7% of the workforce in 2022. Excludes staff with non-guaranteed hours, which are located in the following markets: Australia; Mainland China; Taiwan, China; Hong Kong SAR; Macao SAR; New Zealand SAR; and New Zealand.

for the breakdown of dismissals by job classification, 88% were concentrated in specialist positions (88% in 2022), 6% in supervisor positions, and the remaining 6% in management positions, which is also consistent with our workforce distribution (7% in supervisor positions and 5% in management positions in 2022). By age, 67% of the dismissals corresponded to people under 30 years of age, a category that encompasses 56% of the Group's employees. 23% of the dismissals were in the 30-40 year age group (which accounts for 27% of our workforce), and the remaining 10% in the over-40 age group (which accounts for 18% of our people). In 2022 this age distribution of dismissals was 68% in the under 30 age group, 24% in the 30-40 age group and 8% for the over- 40 age group.

7.1.2. Our approach to diversity

GRI 2-23; 2-24; 3-3; 404-2; 405-1; AF5; AF32

At Inditex we believe in the power of diversity and inclusion as drivers of a strong corporate culture, and that is why **we design opportunities for all and we implement a zero-tolerance approach to any kind of discrimination or harassment.**

Our aim is to build diverse teams whose members bring their unique perspectives and experiences and who feel secure in an inclusive professional environment.

We strive to ensure that our teams—composed of people of different sexes, gender identities and expressions, sexual orientations, races, ethnicities, ages, educational background, socio-economic statuses, disabilities or religions, among other characteristics—, have equal opportunities and can develop their full potential, making us a more competitive, creative and innovative company.

Diversity and inclusion, grounded on essential values such as **fairness, collaboration** and **respect,** drive our business performance and facilitate the achievement of our corporate objectives, helping us to anticipate all the market's fashion needs.

To foster a **diverse, inclusive and sustainable corporate culture,** we are committed to:

/ Integrating diversity and inclusion into our tools for attracting, retaining and promoting talent, to ensure diverse profiles in all positions and at all levels of the Company.

/ Always guaranteeing equality of opportunities and non-discrimination for our people, regardless of their sex, gender identity and expression, sexual orientation, race, ethnicity, origin or different abilities, among other characteristics.

/ Fostering a spirit of collaboration, teamwork and respectful communication between people and as the core of respect for human rights, both inside and outside the Company.

/ Developing procedures and implementing appropriate initiatives and training programmes to achieve these goals.

Inditex's Diversity and Inclusion Policy, approved by the Board of Directors in 2017 and amended in 2020, establishes the framework of principles, objectives and commitments in this respect adopted by the Group. This Policy applies globally to anyone associated with the Group, whether they are employees, customers or third-parties such as contractors, suppliers, professionals involved in recruitment processes or people working in the supply chain.

This Policy is derived from the Company's Code of Conduct, whose basic tenets are, among others, respect, acceptance and equality, and it is also consistent with the Group’s Compliance Policy and Human Rights Policy. The Diversity and Inclusion Policy also aims to ensure that there is no discrimination of any kind in the Company, particularly on grounds of gender, in any position, and in particular when appointing members of the Board or Senior Management.

In this regard, the Diversity and Inclusion Policy **guides all our areas of action,** in particular with respect to people management: recruitment and selection, remuneration and profits, promotion, training and professional development. Likewise, the policy also directly impacts areas linked to our relations with people in our business model: customer services, marketing and communication, procurement, etc.

As established in this framework document, the people who work at Inditex are responsible for promoting **diverse and inclusive workplaces** that ensure equal opportunities and foster collaboration and respectful communication between people, both inside and outside the Company. All the Group’s areas, departments and subsidiaries are responsible for the proper implementation and application of these mandates on diversity and inclusion.

The department of Diversity and Inclusion promotes compliance with the Diversity and Inclusion Policy, and fosters training initiatives and programmes in this regard within the Group. Integrated in the **Culture and Values team**—which also encompasses diversity and inclusion as well as sustainability from a people perspective—the department is led by the **Chief Diversity Officer,** who coordinates an international diversity and inclusion team. Among other tasks, this team supports our **Diversity Champions,** whose mission is to act as diversity and inclusion coordinators in their countries, brands and workplaces to ensure that our Diversity and Inclusion Policy is implemented, as well as to contribute ideas and projects that feed into our strategy.

To address any questions regarding our commitment to diversity and inclusion, our people can contact us through the corporate e-mail address (d&i@inditex.com). They may also refer to the Human Resources team, the department of Diversity and Inclusion and the person designated as Diversity Champion for our various markets and brands.

In addition, to ensure transparency and independence of action, and when it comes to evaluating the various issues linked to diversity and inclusion that may arise, Inditex has an **Ethics Line** to guarantee compliance with this Policy, through which it receives and fields queries and communications made in good faith concerning the interpretation, application or enforcement of the Policy. The Ethics Line is overseen and managed internally by the **Ethics Committee**, a collegiate body that reports to the Board of Directors by means of the Audit and Compliance Committee. It conducts the necessary investigations, proposing the appropriate remediation, prevention and awareness measures. The Ethics Committee acts independently and autonomously, guaranteeing the confidentiality of the queries received. Communications concerning the interpretation, application or enforcement of the Diveristy and Inclusion Policy may be sent to the Ethics Line using the mechanisms set up for this purpose on the corporate intranet (INET) and on the website www.inditex.com.

ⓘ More information in section *8.1.2. Global Compliance Model and Criminal Risk Prevention Model* of this Report.

Because Inditex is a markedly international company, we devised the diversity and inclusion project from a global perspective, and we implement it across all our markets.

In May 2023, on the occasion of the **World Day for Cultural Diversity for Dialogue and Development,** Inditex presented to the world its **Diversity and Inclusion Manifesto,** which highlights our corporate purpose: 'We design opportunities for all'. This Manifesto also outlines the values that represent our commitment to diversity and inclusion and expresses our conviction that fashion will bring about changes in society to achieve the future we believe in.

Furthermore, as evidence of our commitment to these markets, 12 of our subsidiaries in Europe (France, Germany, Croatia, Romania, Slovenia, Italy, the Netherlands, Sweden, Greece, Portugal, Poland and Bulgaria), as well as our office in Brussels, are adhered to the European Union Diversity Charter. This European Commission initiative to foster diversity management and inclusion in all organisations, enables our local teams to exchange best practices and to interact with other companies and non-profit entities in this regard.

Moreover, in the United States, in 2019 we signed up to the Open to All campaign, an initiative encompassing more than 200 companies and charitable entities whose aim is to promote the idea that all people is welcome in public retail spaces, regardless of their race, ethnicity, nationality, gender, sexual orientation, gender identity and expression, migratory status, religion or disability, among others.

In terms of recognitions, in December 2023 Inditex was listed for the fifth year running in the Financial Times-Statista **2024 Diversity Leaders Index**, ranking in the top 50 (44 vs. 299 in the prior edition). Inditex is the top Spanish company in the index and the second highest ranking in the retail sector.

More information in section *3.3. Recognitions* of this Report.

Pillars to promote diversity and inclusion

Our people are at the heart of our commitment to diversity and inclusion, which is why our work revolves around the following four global priorities that are the drive belts of our culture of inclusion and respect, and that also allow us to launch plans that include local initiatives in our subsidiaries:

/ Gender equality.

/ LGBT+ inclusion.

/ Socio-ethnic inclusion.

/ Disability inclusion.

7.1.2.1. Gender equality

Ensuring equal treatment and opportunities for men and women at the workplace has always been a part of our core at Inditex. We nurture diverse and inclusive workplaces in which women, who represent 74% of our workforce, feel empowered in their professional development and free of any discriminatory practices. By empowering women and men alike, our aim is to strengthen our growth and the success of the Company and society as a whole.

To guarantee equality, we promote the transversality of our training and development tools (Tra!n, LEAP&Co and Talks), as well as the transparency of our internal promotion tool (InTalent), which enable us to ensure availability and objectivity in the Company's promotion processes.

Cultivating **women's talent** has enabled us to make solid progress in regard to their leadership within the Group: in 2023, **78% of the Company's management positions were filled by women** (80% in 2022). The distribution of our people by gender and job classification in 2023 is thus as follows:

Distribution by gender and job classification

	2023								
	Women		Men		Non-binary		Other / Unspecified		Total
Management	7,691	78%	2,120	22%	0	0%	0	0%	9,811
Supervisor	10,381	69%	4,593	31%	2	0.01%	0	0%	14,976
Specialist	100,853	74%	35,596	26%	23	0.02%	22	0.02%	136,494
Total	**118,925**	**74%**	**42,309**	**26%**	**25**	**0.02%**	**22**	**0.01%**	**161,281**

	2022				
	Women		Men		Total
Management	8,553	80%	2,139	20%	10,692
Supervisor	10,364	70%	4,390	30%	14,754
Specialist	104,284	75%	35,267	25%	139,551
Total	**123,201**	**75%**	**41,796**	**25%**	**164,997**

Furthermore, in the last few years the **representation of women on the Board of Directors** has also improved notably, reaching 50% in 2023 (+28 percentage points since 2016). In this regard, not only did we manage to amply exceed our target of 40% female representation on the Board by 2022, in compliance with the recommendations of the Spanish Code of Good Governance, but for the first time the Board of Directors has a parity composition.

ⓘ More information in section *5.1.1. Good Corporate Governance* of this Report.

To achieve our equality objectives, at Inditex:

Ensure fair access to opportunities for professional development

In Spain, Inditex equality plans include measures that affect different areas of labour relations, such as selection, recruitment, promotion, training, occupational health, remuneration and work-life balance. This work is further underpinned by the committees that monitor the plans, which meet regularly to verify their compliance and effectiveness. There are also action protocols designed to prevent sexual and/or gender-based harassment. In April 2023, the Group signed its Equality Plan in Spain. The Plan applies to all brands for store and central services staff, unifying the measures in place under previous plans. The Plan comprises more than a hundred measures aimed at promoting workforce training and professional development, nurturing work-life balance and co-responsibility, reducing bias, and protecting victims of gender-based violence. This Plan coexists with the equality plans already in place at all our logistics centres and factories.

Likewise, in 2019 we launched an inclusive language guide to help our teams communicate more equally in the workplace, and in 2023 training was given to promote the use of inclusive language among our teams to avoid communication that perpetuates gender stereotypes.

Furthermore, since 2020 we have been actively working to boost the professional careers of women in technological areas so as to promote the value of diversity and inclusion and have an impact on the Company and society. Thanks to the internal initiative **Women in Tech,** our work is grounded on two pillars: the need to influence society, supporting actions that encourage girls to take an interest in science and technology; and the impact on women in the world of technology through actions that empower them. Internally, we conduct women's leadership programmes and our talent pool promotes fairness and diversity within the technology team. In this year's junior programmes, 50% of the new recruits were women, addressing our internal objective of increasing the proportion of women in technology and related positions.

Against this backdrop, in 2023 for the second consecutive year Inditex supported the Technovation Girls project, an entrepreneurship and innovation programme that invites girls and young people aged 8 to 18 to learn and develop skills for using technology to solve problems, with the aim of reducing the existing gender technology gap. This collaboration was carried out through the sponsorship of Power to Code, an ambassador organisation for this initiative in Spain, and the support for more than 20 projects presented.

Create safe spaces in which there is no harassment or violence against women

As a company that **rejects any kind of discrimination**, at Inditex we strive to prevent sexual harassment, abuse and sexual violence at the workplace by means of internal policies that prevent these behaviours. The **Global Anti-Harassment Policy**, approved in March 2022, enhanced the information and training for the entire workforce in this connection. Amended in 2023, its areas of action were reinforced and it focuses on protecting everyone at work from any situation of harassment, in any of its manifestations or forms. Prevention, care and support and response to victims are the main axes of this Policy.

In this regard, in 2013 Inditex signed an agreement with the then *Ministerio de Sanidad, Servicios Sociales e Igualdad* of Spain to raise awareness and promote the integration of victims into the workplace. It was further endorsed in 2022 through renewal of the agreement with the *Ministerio de Igualdad* in the framework of the 'Businesses for a gender-violence-free society' initiative. To continue raising awareness of gender-based violence, all the human resources teams in Spain constitute an internal 'Punto Violeta' , receiving specific training from the Red Cross on how to tackle gender-based violence.

Likewise, once again this year we highlight our commitment to stop gender-based violence through various information campaigns that we conduct every 25 November, the International Day for the Elimination of Violence against Women, a key date on our diversity and inclusion calendar that strengthens our commitment to raising visibility regarding this social problem and to helping victims.

ⓘ More information on the Global Anti-Harassment Policy.

Foster wage parity

With regard to other equality-related labour measures, at Inditex we are committed to equal pay for women and men. This commitment rests on a remuneration policy established in accordance with the value that each person contributes from their professional experience, dedication and responsibility, with no discrimination on the grounds of gender, age, culture, religion, race or any other characteristic. Accordingly, and in keeping with previous years, the pay gap analysis in 2023 shows wage parity between women and men in our workforce.

ⓘ More information in section *7.1.3. Equal pay and remuneration policy* of this Report.

Moreover, in 2023, within the framework of the Equality Plan, and considering the workforce in Spain, the wage audit carried out in 2022 was reviewed by external suppliers, obtaining a verification on the basis of the revised International Standard on Assurance Engagements (ISAE) 3000. This verification guarantees the integrity of the Remuneration Register and Wage Audit carried out by the Company, the findings of which establish that there is no gender-based pay discrimination in work of equal value.

Audit our policies and best practices

Likewise, in 2023 we have also continued to implement work plans and monitoring and assessment systems to foster gender equality and women empowerment in our workplaces. And we have continued to pursue our **GEEIS (Gender Equality European and International Standard)** certification strategy across our various subsidiaries. GEEIS recognises those companies and workplaces that are actively engaged in building a fairer society, based on equality between men and women and on diversity and inclusion as the pivotal values of their policies. Between 2018 and 2023, the global corporate Group and 9 of our subsidiaries worldwide (Belgium, France, Italy, the Nordic hub, Germany, Ukraine, Bulgaria, Romania and the United States) –in addition to the Russian subsidiary before its closure– were awarded this certification, audited by Bureau Veritas. This certification plan, which will continue to advance in the next few years, is enabling us to consistently and continuously deploy our gender equality policies in our various markets.

Apply our principles across the value chain

We also foster equality, diversity and inclusion among the workers in our supply chain. In this regard, we implement our Workers at the Centre 2023-2025 strategy, which focuses especially on the most vulnerable groups and fosters respectful environments, free from discrimination, abuse or harassment.

ⓘ More information in section *7.2. Workers in the supply chain* of this Report.

In recognition of our efforts to implement initiatives that foster gender equality globally, in January 2023, Inditex was included for the fourth year running in **2023 Bloomberg's Gender-Equality Index**, which features the companies that are most committed in this respect. Similarly, the **Equileap** ranking, an analysis of nearly 4,000 companies based on 19 gender equality criteria, highlights Inditex in its 2023 report as the only Spanish company that carries out gender audits.

Review our work-life balance policies to ensure that they support our goal of fair access to opportunities for development

Work-life balance is paramount for Inditex, as, when viewed from the perspective of **co-responsibility,** it helps ensure the well-being of our people and underpins equality of opportunities within the Company. Accordingly, Inditex ensures that work-life balance measures are implemented in all its markets. In Spain, these measures are included in the Equality Plans, while at the international level work is ongoing to improve the rights guaranteed by local legislation, with the emphasis on those markets where legislation is not especially favourable. Among our priorities in 2023 was to continue promoting and broadening measures to improve work-life balance such as flexible working hours, efficient organisation of teams, extending leave for caring for children and/or dependants and granting financial assistance to help cover the cost of childcare or other care.

ⓘ More information in section *7.1.6. Work-life balance* of this Report.

7.1.2.2. Inclusion of the LGBT+ community

At Inditex we are fully committed to the highest level of diversity and inclusion, and therefore every member of our teams plays a valuable role in promoting the utmost respect for our customers and everyone in the Group. Mindful as we are that the greater the diversity in societies and in businesses, the more creative, productive and innovative they are, at Inditex we see the inclusion of the LGBT+ community as crucial to create safe spaces in which no-one feels invisible, inhibited or mistreated because of their sexual orientation or their gender identity and expression.

In 2018 we signed up to the UN Standards of Conduct for Business: Tackling Discrimination against Lesbian, Gay, Bi, Trans, & Intersex People, promoted by the UN and based on the UN Guiding Principles on Business and Human Rights, and including contributions from hundreds of companies from a range of sectors.

In 2023, to prevent all discrimination against transgender and non-binary people, we continued to strengthen our internal non-discrimination policies. On the one hand, we are adapting our systems so that our people can express their gender identity within a spectrum of options ranging from binary ('Male' and 'Female') to 'Non-Binary' and 'Other/Unspecified'. Furthermore, we have also added a field to our systems that allows people to enter their 'social name' (or the name by which a trans or non-binary person is identified and socially recognised) in order to protect members of this community from potentially vulnerable situations in their daily lives, while ensuring that their legal name can still be used when necessary. These adaptations to our systems are compliant with current legislation and aim not only to uphold the laws in our markets but also to guarantee the safety and privacy of our LGBT+ people.

Through our corporate project 'I AM PROUD', we nurture environments where everyone is welcome and where prejudice, gender stereotypes and discrimination based on gender identity and sexual orientation are tackled. In 2023, on the occasion of International LGBT+ Pride Day, many of our subsidiaries actively participated in various celebrations, talks and 'good morning meetings' to reflect on the importance of allies in creating more inclusive work environments.

Furthermore, in the United States we held the third edition of the IN Pride program to help transgender and non-binary people access employment, focused on creating job opportunities at our stores in conjunction with two New York organisations: The Door and The Ali Forney Center. In addition, the 2022 edition of the Salta project in logistics centres in Spain incorporated the IN Pride philosophy as a first step to growing this project.

In terms of recognitions, the United States and Mexico subsidiaries were listed in the Corporate Equality Index 2023 compiled by **Human Rights Campaign Foundation,** which selects the companies with the best practices in LGBT+ inclusion. They obtained scores of 90 over 100 and 70 over 100, respectively.

7.1.2.3. Socio-ethnic inclusion

At Inditex we firmly work to provide safe spaces, free of any expression of racism or discrimination, both for our employees and customers. As a company comprising people of 174 nationalities, diversity is at our core, and that is why we place equality, respect for human rights and the fight against racism at the heart of what we do.

Our determination to promote these values is not just a simple statement. Rather, our **Diversity and Inclusion Policy** and **Global Anti-Harassment Policy**, establishes a framework of action for preventing and eliminating any conduct that constitutes any form of harassment or discrimination. In addition, our Ethics Line allows us to monitor any potential incidents of racism that may arise.

Through awareness and training plans on diversity, equality and inclusion, we offer country-specific training programmes, opening people's minds to the impact of unconscious bias and microaggressions in managing people and underscoring the need to combat all forms of discrimination and racism.

At Inditex we also know that migrants and refugees are the people most vulnerable to discrimination and racism at work. To promote the integration of these groups and reduce inequalities, we have employability programmes, most notably the Salta programme, focusing on the socio-occupational inclusion of vulnerable groups. Salta is aimed at generating employment opportunities in our stores, logistics centres and factories for persons or groups in special circumstances that make their employability more complex. In Salta we work with various NGOs that support us in the process of selection, training and follow-up of the participants. Created in France in 2008, the programme is now present in 18 markets in 2023 (France, Spain, Italy, Portugal, Poland, Brazil, the United States, the United Kingdom, Germany, Mexico, Greece, South Korea, Türkiye, Romania, India, Kazakhstan and, for the first time, Canada and Croatia). As a result of this initiative, since 2008 more than 1,800 people have joined our teams in stores, logistics platforms and factories, and more than 3,800 people have taken part in this project as trainers or tutors.

Internationally, since 2018, Inditex collaborates with the ENAR Foundation (European Network Against Racism), a European organisation based in Brussels that fights all forms of racism and discrimination. In the United States, we signed the Mitigate Racial Bias in Retail charter in 2022, calling for actions to eliminate racial bias in shopping experiences, and we once again contributed to the NAACP Legal Defense & Educational Fund, an organisation that actively fights racism, discrimination and injustice, particularly within African-American communities.

Lastly, it is worth mentioning that in most markets, and especially in Europe, the privacy and personal data protection regulations do not allow companies to compile data containing ethnic or racial criteria. However, in markets like the United States and South Africa, the legislation on equality and non-discrimination places the emphasis on knowing the individual's ethnic and racial identity so as to ensure equal opportunities and rights.

Breakdown by ethnic or racial group[52]

United States	**2023**	**2022**
Ethnic or racial group	**%**	**%**
Hispanic or Latino	48.6%	48.2%
Black or African American	18.9%	20.8%
White	14.9%	14.1%
Asian	9.4%	8.7%
Two or More Races	4.8%	5.0%
American Indian/Alaska Native	0.2%	0.4%
Native Hawaiian/Pacific Islander	0.3%	0.1%
Not Specified	2.9%	2.7%
Total	**100%**	**100%**

South Africa	**2023**	**2022**
Ethnic or racial group	**%**	**%**
Black South Africans	89.0%	87.9%
Coloured South Africans	6.9%	7.2%
Indian/Asian South Africans	1.8%	1.7%
White South Africans	0.9%	1.1%
Foreign Nationals	1.4%	2.1%
Total	**100%**	**100%**

7.1.2.4. Inclusion of people with disabilities

It is a priority for Inditex to help people with disabilities to overcome the barriers they face, both in access to the labour market and in their daily lives. The Group's disability inclusion strategy is based on three priority areas:

/ Employability, direct recruitment and professional development.

/ Disability awareness and training for our people.

/ Accessibility and inclusive shopping experience.

Employability, direct recruitment and professional development

Our commitment to the inclusion of people with disabilities in the workplace is founded upon the basic principles of dignity and independence, availing them of the opportunities and resources to play an active and equal role in society.

At the end of 2023, in Inditex we directly employed 2,041 persons with a disability (1,698 in 2022). Moreover, since 2022 in Spain, alternative measures (collaboration with special employment centres, donations and sponsorships to conduct employment insertion activities for people with disabilities) are no longer used, culminating the process of

[52] The official nomenclature of the recognised racial and ethnic groups in these countries has been maintained in their original language.

prioritising direct hiring as an integration measure. There are different regulatory frameworks in the various markets where we operate, so regulations are not always comparable to the ones in force in Spain, whether due to the absence of minimum recruitment quotas or out of respect for the privacy of individuals, with the right of citizens not to disclose their disability prevailing. As a result, in some cases we have no measured data available.

As part of our ambition to boost direct hiring of people with disabilities, we hired 598 people since the publication of our public commitment in January 2023, when there were 1,443 people with disabilities in our teams. This represents 41% progress against our target of doubling the number of people with disabilities in our Company. Our aim is to foster the inclusion of these professionals in our network of stores, logistics centres, warehouses and offices worldwide. This new commitment was announced by Inditex's CEO in a meeting with the Director-General of the International Labour Organization (ILO), Gilbert F. Houngbo. The announcement was made after the Company joined the ILO Global Business and Disability Network, a global network of companies and organisations that seeks to promote the workplace inclusion of people with disabilities.

The **INCLUYE** programme, created in 2021, drives the socio-occupational integration of people with disabilities. Since 2022, all Inditex's direct employability projects worldwide were grouped together and consolidated under the umbrella of the INCLUYE programme, which has thus broadened to ensure the sustainable and lasting inclusion of people with disabilities. Based on supported employment methodology, the programme involves local organisations that work to achieve the occupational integration of people with disabilities, and accompany them in their integration as a key factor for successful employability.

In Spain we have a partnership with Plena Inclusión, a federation of organisations working towards the inclusion of people with intellectual disabilities. Thanks to this partnership, since 2019 around 300 people have joined our Pull&Bear, Stradivarius, Zara, Oysho, Massimo Dutti and Zara Home stores. Furthermore, the programme continued at our logistics centres, also collaborating with local entities such as Fundación Prodis and the associations for people with mental disabilities of Aragón (ATADES) and Alicante (APSA). As a result, in 2023, 12 people with intellectual disabilities joined the Zara logistics platforms in Meco (Madrid) and Zaragoza and the Tempe platform in Alicante. In total, thanks to this programme and other partnerships with various entities, in 2023, 235 people with intellectual, physical or sensory disabilities have been recruited in Spain.

Moreover, one of our most important occupational integration projects is **for&from**, a network of stores from our different brands, managed by charitable entities and staffed by people with various types of disabilities, offering fashion from previous seasons at reduced prices. This initiative currently covers 16 stores in Spain, Italy and Portugal, and has created job opportunities for more than 750 people with different disabilities. All these stores' proceeds, which amount to more than 8 million euros, are reinvested in community projects run by the partner organisations. As a novelty, in 2023 Zara Home opened its first for&from store in Portugal, located in the Freeport Lisboa Fashion Outlet, and Tempe started the refurbishment of the for&from establishment in San Sebastián de los Reyes (Madrid).

Disability awareness and training

With the aim of promoting the full inclusion of people with disabilities in our teams, in October 2023, for the fourth consecutive year, we held the Impact Week worldwide, focusing on disability inclusion. The purpose of this initiative is to raise awareness and mobilise our workforce to continue to promote accessibility projects, customer and employee experience for people with disabilities, thereby helping to break down barriers and foster equal opportunities.

In addition, several of our subsidiaries implement training plans to help them achieve their recruitment targets and improve their inclusion of people with disabilities. This is the case in Germany, where we collaborate closely with the Federal Employment Agency; France, with the Accord Handicap company agreement on disability; Italy, which has implemented the ALL IN project for the occupational integration of people with intellectual disabilities in Milan and Verona; Portugal, with its Eu Incluo project; Japan, which holds regular meetings with partner associations and staff with disabilities; or Romania, which provides internal training to its teams and recruitment with the support of different NGOs and the Department for Social Assistance.

Accessibility and inclusive shopping experience

One of our priorities is to comply with the principles of universal accessibility, especially in respect of any members of our staff and customers who may have any kind of disability. Thus, we strive to ensure that all our workplaces meet the functional and dimensional requirements that allow an independent use by people with disabilities or people with impaired mobility.

Furthermore, it is also important for Inditex to provide equal opportunities for access to our websites and apps to people with different disabilities, to offer inclusive shopping experiences. Based on the principles of dignity, accessibility and independence, both our jobs portal Inditex Careers, and our internal promotion and development tool InTalent, as well as the websites and applications of our commercial brands allow access to the whole range of content through functionalities adapted for people with various kinds of disability. Our aim in the online environment is to always provide accessible services to the broadest possible audience and to ensure that any person with any kind of disability may access our content.

7.1.3. Equal pay and remuneration policy

GRI 2-19; 2-20; 2-21; 3-3; 405-2; AF32

Inditex remunerates its team in accordance with the Group's values, guaranteeing non-discrimination for reasons of gender, age, culture, religion, race or any other circumstance. Our remuneration policy is therefore determined by the value that each person contributes from their professional experience, dedication and responsibility.

As a Group with a strong international presence, we strive to ensure that our remuneration policy is adapted to the specific circumstances of each of the 57 markets in which people from our team are located, aligning the standard remuneration with the benchmark practices in each of these markets in their local currency.

Inditex's remuneration comprises a **fixed component and a variable component.** Experience, dedication and responsibility within the Company are the factors that determine fixed remuneration. Variable remuneration depends on predefined, quantifiable and measurable indicators, linked both to Company's results and the fulfillment of the sustainability targets of office staff, thus reinforcing the commitment of our people in this area.

Based on this criterion, variable remuneration depends solely on objective parameters, and not on a discretionary assessment of the person's individual performance. Our purpose: to eliminate any room for discrimination. In this regard, **variable remuneration is one of the key components of Inditex's remuneration policy and applies to employees in all areas of the Company's activity.**

In our stores, the most widely used variable remuneration system is that of the monthly sales commission scheme. This is a way to reward the engagement of store employees in key issues as sales results, feedback on products and store coordination and organisation. In addition, in the last few years, we have been implementing a transparent and simple system of variable remuneration that guides our people towards sales and guarantees pay equity, taking into account the changing environment.

Gender pay gap

Inditex is committed to equal pay. For quantification purposes, the gender pay gap is the indicator that most reliably represents the real difference in pay between women and men.

The gender pay gap is calculated based upon the median salary in each market (considering total salary: fixed plus variable, consisting of commission and bonus), weighted according to each area of activity of the Group (store, central services, logistics and factories). This median is in turn weighted according to each market's weighting over the aggregate number of Inditex employees. As a result, a global reliable indicator of pay gap between male and female workers in the Group is obtained.

The outcome of the analysis carried out in 2023[53] shows wage parity between men and women in Inditex. In total salary, women have been paid 0.5% more than men. If we break down the gap by professional classification, in 2023 it was 1% in the category of specialists (1% in 2022), -4% among supervisors (-3% in 2022) and -5% among management (-8% in 2022), representing 85%, 9% y 6% of our people in 2023. The global gender pay gap has varied slightly with respect to previous years (in 2022, women were paid 0.4% more than men), which is explained by staff turnover in the period.

The pay gap by geographic area is detailed below[54]:

Gender pay gap	2023	2022
Spain	0.3%	-1.1%
Europe excluding Spain	0.5%	1.1%
Americas	0.7%	0.5%
Asia and rest of the world	0.8%	1.6%
Total	**0.5%**	**0.4%**

Global average remuneration

Average remuneration is defined as the average wages in the Group (considering the total salary: fixed plus variable, consisting of commission and bonus), translated into euros, using the average exchange rate in 2023. Based on this calculation, global average remuneration in this period at Inditex amounted to 28,726 euros gross annually (26,294 euros in 2022).

With regard to this figure, it should be highlighted that the number of employees in Spain, our home market, only represents 30% of the headcount, as a significant part of the remaining 70% staff are based in markets where wages translated into euros give rise to lower average remuneration (28% and 72% of workforce in 2022).

By gender, the average remuneration of women in 2023 amounted to an annual gross figure of 27,831 euros, and that of men came to 31,196 euros (women: 25,387 euros in 2022; men: 28,827 euros in 2022). These two figures are not representative in terms of equal pay: the pay gap between men and women is due to a higher presence of women in a significant number of markets where average remuneration is lower on account of the exchange rate effect. As explained above, the indicator that provides the most transparency in terms of equal pay for men and women is the pay gap, which in 2023 was 0.5% in favour of women.

[53] The gender pay gap analysis and average remuneration does not include the Russian and Ukrainian markets (in 2023 they represent 0.5% of the workforce).
[54] The geographic areas included in the breakdown correspond to the areas where Inditex has significant operations.

Based on these premises, the average remuneration by age and by job classification is provided below:

Aggregate remuneration in €	2023	2022
Job classification		
Management	70,567	66,446
Supervisor	43,336	39,470
Specialist	25,132	22,964
Age		
Under 30 years old	21,631	19,597
30 to 40 years old	33,459	30,541
Over 40 years old	46,668	44,044

7.1.4. Labour Relations

GRI 2-30; 3-3; AF5; AF24; AF26; AF29

At Inditex, we are **strongly committed to respecting our employees' labour rights** worldwide and, in particular, their **right to participation,** as a key element for the sustainable development of the business model.

This commitment is enshrined in the Group's Code of Conduct, approved in 2012 and amended in 2024, and which is applied globally to all the persons in the Group. In its section on Adequate Working Conditions, Inditex guarantees **the right of all workers to join, associate with and/or create the trade union of their choice**, as well as **the right to collective bargaining to determine their labour conditions.** The Group reinforces its message by including in the Code its commitment to respecting employees' right to have trade unions and workers' representatives represent them and negotiate their working conditions collectively.

Not only that, but Inditex also plays an active part in the social dialogue through its relationship with UNI Global Union (UNI). UNI is a network of trade unions in the trade and retail sector which represents more than 20 million workers across 150 countries. In 2009, Inditex and UNI signed a Global Agreement for implementation of fundamental labour rights and decent work, which covers 100% of the Group's workforce and remains in force.

This Agreement between UNI and Inditex includes specific provisions regarding a number of issues governed pursuant to the principles established by the International Labour Organization (ILO):

/ Among other rights, special mention is made therein to the enforcement of ILO Conventions 87 and 98 about **freedom of association and the right to collective bargaining.** In this regard, the Agreement states that 'Inditex recognises the right of trade unions to represent the workers and to regulate through collective bargaining the terms and conditions of their employment'.

/ **The freedom to join any trade unions and non-discrimination** on account of membership to a trade union as part of labour relations is also ensured. Additionally, pursuant to ILO Conventions 100 and 111, and based upon non-discrimination on employment, equal opportunities and equal treatment for all people and non-discrimination in terms of remuneration for equal jobs are upheld. Inditex is committed to complying with applicable national laws and/or conventions, in furtherance of ILO Conventions 1 and 47 and of ILO Recommendation 116 concerning the working week and hours of work.

As for the objective scope of application of the Agreement with UNI, in addition to the reference to the protection and promotion of fundamental rights, the Group is committed to meeting the requirements laid down in national laws and in national collective bargaining agreements regarding working hours, protection of a safe, healthy and sustainable working environment, and promotion of best practices for occupational health and safety with the appropriate equipment and training. The Agreement between Inditex and UNI covers minimum rights for the staff of the various companies within the Group, given that in any event, such provisions, whether statutory, contractual or included in a collective bargaining agreement which confers higher rights, will always be respected.

Further to the above referred Agreement between Inditex and UNI, United Food and Commercial Workers International Union ("UFCW"), a US trade union and member of UNI, was interested in reaching a specific agreement with the Company for the stores in the USA covering the terms of the above referred 2009 Agreement. In response to this demand, an agreement was signed in 2015 with UNI, UFCW, Inditex and Zara USA, which led to the approval of a collective agreement that currently extends to 29 stores in the states of New York, New Jersey, Connecticut and Massachusetts (25 stores in 2022).

Likewise, in 2019, the Inditex Group formally established the Company's European Works Council (EWC), devised as a body for assurance and effectiveness of information and consultation of employees on transnational issues. Since its creation, the EWC has played a crucial role on several occasions, whether as a natural liaison for the Company during the global health emergency, or in its role as guarantor of the Group's digital transformation process which, in the case of Spain, was enshrined in the Digital Transformation Plan Agreement, which expired on 31 January 2023.

During 2023, the EWC met twice. In April, the five-member Select Committee met in Lisbon with UNI Global Union to prepare the renewal process of the EWC representatives whose mandate expired in June, after a four-year term. Once the local process of selection or ratification of members had been completed, the constituent plenary meeting was held in September with the participation of the eight member countries that already served on the representative body: Spain, France, Italy, Portugal, Germany, Belgium, Luxembourg and Austria. Once again, the Group's Arteixo headquarters hosted the members and alternates for a three-day meeting in which they received updated training on the EWC's competencies, were informed by the Company of its financial results and discussed other matters on the agenda, such as the global footprint in water consumption or diversity and inclusion in the image campaigns. In addition, a new working group was set up to analyse the situation of older people in the Company and a statement on gender violence and workplace harassment, drafted by the equality working group, was issued.

In order to preserve the health of social dialogue at the local level at Inditex subsidiaries, training is provided to human resources teams and store managers concerning trade union rights and cooperation with our workforce's legal representatives. The works councils and management of our subsidiaries meet periodically to inform, consult and listen to the union representatives and reach agreements to improve people's working conditions and quality of life. In this regard, agreements of various kinds were reached in 2023, such as the subsidiary in Italy, which signed a company agreement for store staff on 8 March 2023; Portugal, which agreed to a wage increase for all its store workers; Belgium, which updated its employee regulations in August 2023 with some improvements in social benefits, or Chile, which signed a new company agreement in August. Other markets implement alternative formulas for people to engage in their work environment. In South Korea, for example, there is a collegiate body of three members who represent the rest of the employees in regular monitoring meetings and in the agreements reached with the Company regarding working conditions. Well-being Committees were also established in Brazil during the year.

ⓘ More information on the well-being committees in section *7.1.7. Health and safety* of this Report.

Overall, the measures implemented this year in terms of social relations mean that, globally, the percentage of employees covered by local collective bargaining agreements is 59% (61% in 2022) while, in Europe, the percentage is 71% (70% in 2022). In Spain, 100% of the workforce is covered by collective bargaining agreements.

In Spain, a significant agreement on working conditions for store staff was also reached. In February, the leading national trade unions in Spain and the commercial brands of the Inditex Group signed the State Collective Agreement for the Improvement and Standardisation of the Remuneration and Social Conditions of the Group's Employees. Moreover, in April 2023, the Group signed its first Equality Plan in Spain. The key aspect of this new Plan is that it encompasses all store concepts and central services, thus unifying the measures in place under previous plans.

The plan comprises more than a hundred measures aimed at promoting workforce training and professional development, nurturing work-life balance, reducing bias, and protecting victims of gender violence.

/ With regard to professional development, training will always take place during working hours and a system for detecting the workforce's training needs will be rolled out, as will a system whereby human resources can guide staff wishing to obtain promotion within the Company.

/ As for working conditions, the plan provides improvements in schedules, rest periods and a commitment to set up working groups to reduce the part-time ratio.

ⓘ More information on the measures established in the area of work-life balance following the signing of the Group's Equality Plan in section *7.1.6. Work-life balance* of this Report.

Work organisation

The Inditex Group Code of Conduct assumes as part of its internal regulation the content of applicable legislation and agreements and conventions, both national and international, of which the Company is a party, and commits itself to comply with them.

Regarding work organisation, the Code specifically regulates respect for the time limits set by the applicable laws in each country in terms of weekly working hours and overtime.

This commitment to compliance with working hours is addressed in the Global Agreement with UNI, which includes a section on the guidelines provided in ILO Conventions 1 and 47 regarding eight-hour days and 40-hour weeks, respectively, and in Recommendation 116 regarding reduction of normal working hours established as a minimum standard for each country.

In practice, laws and collective bargaining agreements applicable to Inditex establish maximum annual working hours for employees, based upon which work schedules are agreed. Inditex has in place a working time control system, in accordance with the applicable legislation in each market.

7.1.5. Developing talent and training

GRI 2-4; 3-3; 404-1; 404-2; AF5

At Inditex, one of our priorities is to place **the best talent at the service of our customers.** To achieve this, from the talent management standpoint we focus on:

/ **Attracting the best talent** to work with us.

/ Providing our people with **opportunities for professional development and growth** primarily through internal promotion and mobility.

/ Providing our workforce with opportunities for **continuous learning.**

/ Creating a safe and motivating working environment that enable us **to retain talented professionals and strengthen their commitment.**

7.1.5.1. Talent attraction

We want working at Inditex to be more than just a job for our teams, and we make it easier for them not only to secure professional goals and opportunities, but also to find inspiration, innovation and creativity. Our value proposition as an employer is what sparks our candidates' interest in joining our teams at the Group's various brands and work areas in all the markets where we are present. The Company's jobs portal, **Inditex Careers,** is our main source of selection, receiving more than 6.2 visits from more than 200 markets in 2023.

A **candidate's experience** continued to be the priority in our selection processes in 2023. We create interesting, flexible and sustainable experiences, in which our potential employees can get to know Inditex, our purpose, values and opportunities, and we can find the perfect match between each candidate and each vacancy.

Along these lines, to attract **talent for our stores** this year we opted to connect with candidates through differentiating actions. One such example is the training and internship programme that Zara has developed in collaboration with the London-based Fashion Retail Academy, and the Zara Talent Fashion Day, an exclusive recruitment event for the opening of Zara in Duque (Seville).

Our relationships with the top universities and schools remain key to attract talent in all creative, management and technological areas.

In our programme targeting **creative talent** we seek people for our product teams, with expertise in design, trends, graphic design, styling, art direction, photography and editing. In 2023 we reached out to more than 30 international fashion schools, complementing the selection process with talks and workshops involving our sustainability teams to share our approach to this strategic aspect in the creation of our products.

Zara Business Graduates is our **junior talent** programme aimed at final year university students, through which we seek management profiles to join our teams in positions, such as buyers, product managers, controllers, logistics and finance.

Within the sphere of **technological talent**, we highlight the following actions:

/ **University Colab** allows students to complete their end-of-degree theses with Inditex, taking part in real projects under the mentorship of our teams. Through **Zara Boost** we reached students whom, having completed their degree, wish to commence their professional career in the development of software, data and cybersecurity. For this purpose, we use in-person events and online challenges to detect talent, among which this year we highlight the collaboration with Google Cloud at a digital workshop in Madrid. We also continued to conduct Tech Talks at universities, led by our technology team, in which we discuss our technical challenges and how we integrate technology into our business.

/ Likewise, through the **Tech Summer Camp** we identify and develop talent in STEM programmes (Science, Technology, Engineering and Mathematics) from the second year of studies onwards through a programme of summer scholarships, in which students from all over the world come to Inditex and fully enter the world of technology. Our collaboration with Stanford University's ICME (Institute for Computational & Mathematical Engineering) enables us to be in contact with one of the world's foremost spaces for technological talent.

With regard to our efforts as an **employer brand**, Inditex has topped the last 12 editions of the Merco Talento ranking, which analyses the best companies to work for. Also in Spain, in Universum's annual study, university students chose Inditex as one of the best companies in which to develop professionally. Globally, Zara has been included for the third time in Universum World's Most Attractive Employers ranking, which studies 10 significant international markets in terms of talent attraction to identify the most attractive companies for students.

7.1.5.2. Developing talent

Offering growth opportunities to our people has been at our core from the outset. Accordingly, we cultivate **internal promotion** and **mobility** so that our teams can grow and at the same time help us to continue evolving as a company.

In 2023, **72% of the Group's vacancies were filled internally** (68% in 2022), with the result that **more than 12,760 people were promoted** over the course of the year (more than 10,500 in 2022)[55]. By gender, 74% of the promotions were for women, 26% for men and 0.01% for non-binary people, figures in line with the gender distribution of our workforce. This commitment to generating opportunities for internal development results, in our office teams, in more than 900 promotions and more than 1,600 changes of functions, department, retail format or market.

InTalent, our marketplace for in-house opportunities, is essential to structure the path of internal promotion for our staff. In 2023 we expanded this platform to include central offices so as not only to facilitate internal growth but also to allow the movement of talent between different areas, brands and markets. InTalent gives all Inditex's teams the chance to find opportunities for professional development, while allowing our talent teams to identify people interested in growing at the Company. Our teams can also leave a recommendation for their colleagues on their InTalent profile. In 2023 more than 6,200 career growth opportunities were posted (more than 6,000 opportunities in 2022) and more than 1,200 people applied.

Another fundamental tool for identifying and developing talent in our store teams is **LEAP&Co.** This year we have improved the functionalities of this programme, thoroughly reviewing the content across all areas (product, processes, people, customer experience and diversity and inclusion) to adapt it to the new ways of information consumption and to improve the pedagogy. This platform operates at Zara stores in more than 53 markets across Europe, America and Asia, and at Zara Home in 33 markets. It has 51,000 active employees and has recorded more than 572,000 training hours this year.

Every year we look for new initiatives that enrich our people's experience. In 2023, we focused on a key group for our business: those responsible for the visual presentation of our products in Zara stores. Under the name of **Visual Commercial to the Spotlight,** we gave a voice to more than 2,000 people and worked on various initiatives. These included the Capsule Design Collection, an international competition in which more than 120 Visual Commercials from our Zara stores in Europe became designers and made their own collections. The three finalist teams, from Austria, the Netherlands and Germany, worked with our design and pattern teams in A Coruña to bring their designs to life in a capsule collection, on sale in our stores in the autumn/winter season.

Furthermore, with **Opening Support,** more than 300 store image specialists applied for a selection process to collaborate in a store opening or refurbishment in another country. Working abroad for a few weeks, learning the highest standards of product display to surprise our customers, collaborating with colleagues from a range of backgrounds and sharing best practices were highly valued experiences, presenting an opportunity not only for development, but to identify in-house talent, which typically results in a high percentage of internal promotions.

Lastly, the cornerstone for fostering a climate of continuous growth is to be aware of our people's development concerns and to exchange feedback on a daily basis. This is the purpose of **Talks** (as they are known at most of our brands), regular and individual conversations regarding development between our store managers and every member of their team. In 2023, around 39,000 assessments were conducted of more than 32,000 people.

7.1.5.3. Training

We believe in our teams' development and we strive unceasingly to foster environments that encourage continuous learning. Our aim is to provide training experiences that help our people to respond optimally to the challenges they face daily. We are convinced that not only do these experiences build the wealth of skills of our teams, but they are also a key pillar for the Company's sustainable success.

Accordingly, we provide learning experiences that address two needs: on the one hand, the business, offering initiatives to improve performance (individual or collective) and help our teams to do their work better. On the other hand, we create opportunities for our people to learn beyond their current role, to be inspired and encouraged to explore new horizons.

Our model is based on in-house training and is eminently practical. Training is mostly delivered by in-house trainers or developed in collaboration with top external entities when the required knowledge or expertise is not available in-house.

Our Tra!n learning platform offers a wide range of digital content tailored to each individual, and enables their in-person training to be recorded too. Fashion and product, Sustainability, Customer Experience, Operations, Skills or Digital are some of the subjects most demanded by our people when it comes to training in the platform. Tra!n is available in all markets where we operate except for Mainland China, where our employees have access to Grow, a local platform on which we offer content aligned with that of Tra!n.

From 1 February 2023 to 31 January 2024, around 2.8 million training hours were imparted to almost 2.3 million participants[56] (more than 2.6 million hours and more than 1.3 million participants in 2022).

[55] Figures for the number of promotions and the percentage of internal vacancies coverage reported in 2022 have been restated.

[56] The increase in participants is explained by the launch in 2023 of a mandatory training plan involving all group employees in diversity and inclusion, compliance, store operations and information security, among other subjects.

Details of the training indicators are as follows:

Distribution by job classification:

2023			
	Training Hours	Participants	Hours per person
Management	270,884	208,045	27.6
Supervisor	291,368	222,865	19.4
Specialist	2,220,578	1,834,077	16.2
Total	**2,782,830**	**2,264,987**	**17.2**

2022			
	Training Hours	Participants	Hours per person
Management	247,412	148,520	23.1
Supervisor	201,995	132,837	13.7
Specialist	2,200,172	1,054,414	15.8
Total	**2,649,580**	**1,335,771**	**16.1**

Distribution by gender(1):

2023				
	Unique people trained	Training Hours	Participants	Hours per person
Men	55,183	735,802	566,206	17.4
Women	158,324	2,045,403	1,696,018	17.1
Non-binary	46	776	637	30.9
Other/Unspecified	634	849	2,126	38.3
Total	**214,187**	**2,782,830**	**2,264,987**	**17.2**

2022				
	Unique people trained	Training Hours	Participants	Hours per person
Men	47,459	690,124	326,690	16.5
Women	139,858	1,959,456	1,009,081	15.9
Total	**187,317**	**2,649,580**	**1,335,771**	**16.1**

(1) One person can attend more than one training course. In the indicator unique people trained, those people who have attended more than one course are counted only once. With regard to this indicator, the only available breakdown is by gender.

Distribution by geographic area:

	2023			2022		
	Training hours	Participants	Hours per person	Training hours	Participants	Hours per person
Spain	456,833	488,312	9.6	491,421	326,414	10.6
Europe (ex-Spain)	1,419,197	1,143,593	18.2	1,444,644	655,476	17.3
Americas	507,350	380,695	24.8	329,191	213,470	15.7
Asia & Rest of the world	399,450	252,387	25.7	384,323	140,411	26.6
Total	**2,782,830**	**2,264,987**	**17.2**	**2,649,580**	**1,335,771**	**16.1**

Distribution by content:

	2023		2022	
	Training Hours	Participants	Training Hours	Participants
Corporate (About us)	1,360,243	1,009,867	1,208,769	682,883
Customers	87,305	123,719	64,871	110,008
Fashion and Product	153,927	428,895	119,360	203,527
Languages	26,487	23,640	43,266	24,161
Processes, Techniques and Tools	920,811	550,640	962,047	223,823
Skills	234,057	128,226	251,267	91,369
Total	**2,782,830**	**2,264,987**	**2,649,580**	**1,335,771**

Main training initiatives in 2023

Corporate training on our culture and values

/ ***Compliance***: at Inditex we share a solid commitment to a corporate ethical and compliance culture, grounded on principles of integrity, honesty, transparency and responsibility. Compliance encompasses strict adherence to the external and internal applicable regulations, and how each person applies them to their daily activities. Implementation of the Compliance Training Framework Plan, which began in 2022 and is coordinated and managed by the Compliance function, continued over the course of 2023. The corporate areas adhered to the Plan have published their mandatory training courses in a dedicated area of Tra!n, our learning platform. The courses were specifically tailored to the profile of the various groups at Inditex so as to obtain customised training based in keeping with the risks to which each person is exposed daily.

ⓘ More information in section *8.1.2. Global Compliance Model and Criminal Risk Prevention Model* of this Report.

/ **Diversity and inclusion:** training our teams in diversity and inclusion is essential to create an inclusive culture and make spaces free of any kind of discrimination. In 2023, more than 156,000 people from all over the world accessed training in this connection, accounting for around 73,000 training hours. During this past year, we developed a long-term, global training plan with the aim of raising awareness among our entire workforce. This training is conducted through the D&I Channel within Tra!n, and it is structured in various levels: from basic level for all our people, available for the vast majority of markets this year, to more advanced levels focused on raising awareness among different positions and functions within the Company. Our 'We design opportunities for all' course is mandatory and establishes the Company's framework and commitment to diversity and inclusion. We also launched the pilot edition of the 'Disability Inclusion' course, raising our teams' awareness of the importance of fully integrating people with disabilities, which will be implemented in all our markets by 2024. In 2023, for the purpose of learning how to communicate in our daily lives in a way that does not discriminate against a particular sex, social gender or gender identity, and does not perpetuate gender stereotypes, training has been conducted in Spain to promote the use of inclusive language among our teams. This training aims to raise awareness and provide tools to transform our communication and make sure it is inclusive and not sexist. In 2023, our training included various in-person courses, notably 'The Right Leader @ Inditex is Inclusive', 'Unconscious Bias' and 'Mitigating Racial Bias in the Retail Environment', among others.

ⓘ More information in section *7.1.2. Our approach to diversity* of this Report.

#BoostYourPower

At Inditex we are convinced that fostering a culture of sustainability in all areas of our Company is key to making constant progress and, ultimately, to achieving results on this front. For us, sustainability is a way of working, a way of thinking, an approach to everything we do: it is an attitude that is at the very heart of our culture. Thus, a few years ago we launched **#BoostYourPower**. Since 2021 we have focused on two key areas due to their impact: buying teams, with their purchasing offices, due to their involvement in the creation of our products; and our store staff, as our direct contact with customers. Two initiatives emerged from this vision: **The Sustainable Fashion School and Changemakers**.

In 2023, as part of our space dedicated to sustainability training and innovation, **The Sustainable Fashion School** (SFS), we completed the first and second editions of the Foundations of Textile Manufacturing Master's programme, devised in collaboration with the University of Leeds. More than 1,200 people from all the concepts have completed the course and taken part in the graduation ceremonies held at various headquarters.

To supplement this theoretical training and as part of The Sustainable Fashion School, SFS Bootcamps were launched. These are immersions in textile factories giving participants hands-on experience of the main processes that our products go through (spinning, weaving, dyeing, printing, sewing, etc.) and enabling them to share technical and sustainability concerns with professionals from the sector. Anyone completing the training programme can sign up for these Bootcamps, an initiative that will remain open throughout 2024.

Furthermore, **Changemakers** is the community leading this cultural transformation from the heart of our business, our stores. Changemakers are people with a curious nature and a genuine interest in sustainability, diversity and inclusion, who dedicate part of their working day to staying abreast of developments, training store teams and devising and implementing proposals that make sustainability tangible. The Changemakers network interacts with the teams from central offices to carry out their proposals, working together to achieve the Company's sustainability goals.

At the end of 2023, this project has been implemented at all the stores in all markets in which Zara is present. We have also rolled it out in Zara Home, Massimo Dutti, Bershka, Stradivarius, Oysho and Pull&Bear, and adapted the model for our office teams in Tempe. As a result, Inditex now has more than 2,200 Changemakers. In 2024 we will establish the Changemaker community in all stores in all the Group's markets.

Language training

/ **Busuu** is an app for mobile devices that offers employees the opportunity to learn up to 14 languages. We offer everyone access to its premium version which includes the option to obtain official certificates (more than 1,100 this year), with English and Spanish the most widely studied languages. Overall, in 2023 our staff devoted more than 13,900 hours to improving their language skills using Busuu.

In-store training

/ **Zara Campus** is a project designed to respond to the need for training and development among new promotions and people in management positions in stores. This training is conducted in our Campus stores, which are Zara stores used as a practical scenario for training our managers in three areas (management, sales and operations). We also provide training aimed at the development of certain groups, such as the Zara Masters (tutors for the on-boarding training of our new recruits) and leadership training for managers.

/ **Customer experience:** to share Zara's customer-centric commercial approach, we continue to work with the stores in accordance with their various needs. Store managers lead the change, analyse the feedback they receive from their customers (over 250,000 reviews so far) and develop their teams to help deliver the desired experience. Customer Experience (CX) is implemented at 800 Zara stores in 50 markets, and more than 35,000 of our people have a CX profile and are working to improve their customer service skills.

/ ***Zara Camp and Inditex Camp:*** Zara Camp was launched in 2022 as a digital training space within Tra!n, accessible to all Zara teams worldwide, in which our own people outline the Zara business model and show the various areas and departments where they work. New content was added in 2023, bringing the total number of modules to 34, and the initiative has been expanded to include Inditex's corporate services. Inditex Camp introduces our office teams to the way corporate services areas such as Finance, Communication, the General Counsel's Office, Audit and Sustainability, among others work, giving them an insight into the day-to-day routine of the teams that support them.

7.1.5.4. Connection and engagement with our people

The fourth objective of our talent management strategy is to provide safe and motivating work environments that help us retain talent, connect with our people and boost their commitment to the Group. To achieve this, **INET**, our tool and main internal communication channel, plays a key role in keeping everyone in the Group connected.

Available in online and app format in all the markets where we have employees, INET allows us not only to communicate and announce the latest news within the Group in real time, but also to simplify and digitalise many of the daily tasks that our people need to carry out wherever they are. Consulting pay checks, seeing which benefits the company offers, requesting leave or even taking part in a charity initiative with a single click are examples of the possibilities it offers us.

In addition, having our own digital environment strengthens the connection between everyone at the Group, fostering a greater sense of community and belonging, and thus establishing a direct, two-way connection that is key to developing our talent strategy. INET received more than 34 million visits in 2023 (more than 25 million in 2022).

Furthermore, to provide daily commercial and customer information to our store teams, and to establish a direct connection between them and our design teams, we have continued to develop **brand-specific spaces for internal communication.** In addition to those previously launched (Zara has Dear Team; Zara Home, *#tengoalgoquecontarte*; Massimo Dutti, MD Journal and Stradivarius, StradiPeople), in 2023 the Oysho News space was launched for Oysho. As well as allowing the same message to be shared and highlighted daily in all our stores worldwide, these channels help store managers to enliven the team meetings that take place before opening.

In 2023 we also continued to roll out **InStories,** our internal social network, which we implemented in several new markets: Hungary, the Adriatic countries, Kazakhstan, the Czech Republic, Slovakia, South Africa and Austria. This brings to 34 the number of markets in which InStories is now available. In this space, which works much like social media, we can connect with profiles of people in the Group from anywhere in the world, follow our favourite hashtags and participate in the challenges and campaigns that are trending at any given time, thus enhancing the interaction with our teams, who themselves become content creators. As of the end of 2023, the InStories community has shared more than 550,000 posts.

Finally, in order to keep tabs on our stores and ascertain our people's perception of what it is like to work with us, we developed **'Your opinion matters to us'**, a completely anonymous survey that we send to store employees when they leave Inditex. Launched in 2016 and available in all our markets with own stores, it allows us to obtain their feedback on various aspects of their day-to-day life, such as the relationship with their colleagues or managers, the training they receive, their salary or how well their working hours suits their availability. Over the course of 2023, we received more than 30,000 responses, which implies 31% of participation. In addition, the question 'Would you recommend Inditex as a place to work?' is used to measure our people engagement. In 2023, this question obtained an average of 71% positive responses (70% in 2022), obtaining 93% positive responses in Spain (91% in 2022).

7.1.6. Work-life balance

GRI 2-4; 2-23; 2-24; 3-3; 401-3; AF5; AF23; AF27

7.1.6.1. Work-life balance

Promoting our employees' well-being is paramount for the Inditex Group. Consequently, we promote measures that seek to facilitate work-life balance, advocating especially for **co-responsibility**. We consider the latter to be both a right and a duty, as we aim to reflect in our equality plans. Furthermore, our equality plans contain other balance measures such as the possibility of splitting up leave periods for hospital stays or care of relatives up to second degree of kinship, flexible working hours for adaptation periods at nursery or infant schools, or the extension of leave with job guarantee for personal matters, studies, international adoption or care of dependent family members.

Likewise, when it signed the Equality Plan in the first half of 2023, the Group introduced balancing measures for reasons of study, medical needs or care of children and/or family members.

With regard to childcare, a number of improvements were introduced over and above the ordinary legal requirements. With regard to the period for breastfeeding, it has been extended to 12 months, up to 45 calendar days if working hours total less than 30 and 32 calendar days if working hours exceed 30. Paid leave is established for school adaptation periods and the reduction of working hours may apply for employees with children beyond the age of 12 whose birthday falls in the first half of the year.

Internationally, at Inditex Group we strive to improve the rights guaranteed by the local legislation of each country through work-life balance policies, prioritising those markets in which the legislation is not especially protective.

/ In the United States, the paid parental leave policy has been applied since 2019 to all of our people who meet minimum requirements, regardless of their gender. In 2023, this leave has been increased to 16 weeks, covering time spent caring for newborns and adopted or foster children alike. The subsidiary also provides care services for children and adults with special needs, both in care centres and at home, through an external company whose services are available to the entire workforce. It also covers assistance programmes for our people in areas such as emotional support and well-being, financial and health advice, transport subsidies, and tuition fee subsidies or reimbursement.

/ We promote measures to broaden the rights enshrined in local legislation or that help improve work-life balance by means of flexible working hours, efficient organisation of teams, extending leave for caring for children and/or dependants and even financial assistance to help cover the cost of childcare or other care. Markets where such measures are applied include Greece, the United States, the United Kingdom, Italy, Germany or France, among others. In addition, office staff in many of our subsidiaries have flexible entry and exit times.

/ An increasing number of markets are opting to improve conditions for their staff by extending health coverage, either as a social benefit paid for by the subsidiary itself or by negotiating more favourable health insurance conditions. In addition to Spain, through its flexible remuneration plan, markets such as Brazil (with its Baby on Board Programme), Canada, Mexico, Greece, Romania and Mainland China already offer this type of benefit.

As in previous years, in 2023 100% of our employees in Spain (47,761 people: 34,607 women and 13,154 men) were entitled to parental leave in connection with birth or placement for adoption or foster care. A total of 2,005 people took leave for birth, adoption or foster care placement (1,437 women and 568 men), almost all of whom returned to work: 1,986 people (1,424 women and 562 men). In addition, 13% of the employees in Spain work part-time for childcare reasons.

Below is a breakdown of maternity and paternity leave in Spain and the rest of the world:

Parental leave - Spain	**2023**	**2022**
Total figures for parental leave	**2,005**	**2,107**
Women	1,437	1,527
Men	568	580
People that returned to work after parental leave ended	**1,986**	**2,072**
Women	1,424	1,505
Men	562	567
Return-to-work rate	**99%**	**98%**
Women	99%	99%
Men	99%	98%
People who continued working at the Group 12 months after returning from leave	**1,990**	**1,963**
Women	1,448	1,451
Men	542	512
Retention rate	**94%**	**91%**
Women	95%	88%
Men	93%	98%

Parental leave - World (ex-Spain)	2023	2022
Total figures for parental leave	**7,576**	**8,039**
Women	7,133	7,623
Men	443	416
Return to work rate	**95%**	**92%**
Women	95%	92%
Men	99%	98%
People who continued working at the Group 12 months after returning from leave (1)	**5,763**	**—**
Women	5,450	—
Men	313	—
Retention rate	**72%**	**—**
Women	71%	—
Men	75%	—

(1) Indicator first reported in 2023; historical data for previous years is not available.

7.1.6.2. Work disconnection policies

The Inditex Group is also committed to promoting an internal policy that guarantees the **right to digital disconnection in the workplace**, pursuant to Spain's Data Protection Act (Organic Law 3/2018, of 5 December, on the Protection of Personal Data and Guarantee of Digital Rights). Thus, staff are encouraged to adopt habits such as resting between working days and during holidays, and promoting direct interaction with their colleagues.

Notwithstanding the commitment acquired at the corporate level, negotiations with workers' representatives have also resulted in other measures on this front, which are included both in the latest equality plans of logistics companies and in the new Group Equality Plan, applicable in Spain.

Internationally, France has included the right to disconnect as a measure to improve work-life balance in the company agreement on quality of life at work.In other markets where there is no legislation in force requiring digital disconnection from the workplace, the Group's brands have implemented an initiative aimed at ensuring that employees do not receive communications from the Company during their days off and at eliminating instant messaging applications as a work tool.

In general, both the IT systems and human resources teams at our subsidiaries are working to promote and implement healthy work habits, regardless of whether there is legislation in place, either through information, training and awareness, or by adopting specific measures applied to our corporate systems, such as e-mail.

7.1.7. Health and safety

GRI 2-4; 3-3; 403-1; 403-10; 403-2; 403-3; 403-4; 403-5; 403-6; 403-7; 403-8; 403-9; 413-1; AF5; AF31

In 2023, at the Inditex Group we continue to advance in our firm commitment to the health, safety and well-being of our people, whom we see as fundamental pillars. We endeavour to lead through the application of international standards that ensure health and safety, guaranteeing compliance with the most stringent standards. Training and information for our staff are priorities in our unyielding quest for opportunities for continuous improvement.

The **Occupational Health and Safety Policy**, updated and ratified by the Board of Directors in December 2022, reflects our firm commitment to occupational safety, health and well-being, which we see as paramount for all our activities.

We endeavour to implement proactive measures to identify and mitigate potential risks, as well as to nurture a culture of safety, health and well-being that fosters individual and collective responsibility

We set targets for continuous improvement, and we are constantly on the lookout for opportunities to improve our health and safety practices, which are established and assessed annually as part of the ISO 45001:2018 management system. By means of feedback from our employees, periodic risk assessments and analysis of incidents, we undertake to identify areas for improvement and to implement corrective measures in a timely and effective manner. ISO 45001:2018 management system targets for health and safety compliance in the markets are as follows:

/ Obtaining 85% of positive outcomes from monitoring safety conditions at work centres.

/ Reducing incidents by 10% year-on-year.

/ Obtaining 75% rate of participation by workers in activities to promote health.

/ Increasing by 10% the training time for addressing emergencies and providing first aid.

We ensure that all employees receive the necessary training and skills to carry out their work in a safe and healthy way. This includes induction programmes for new employees, specific training for handling machinery and equipment, and periodic refresher sessions on safety and emergency procedures.

We acknowledge the importance of people's comprehensive well-being, and accordingly we undertake to promote a healthy lifestyle through health and well-being programmes that include physical exercise, nutrition education and psychological support activities.

We foster the active engagement of employees in the identification and solution of problems linked to occupational health and safety. We value their ideas and suggestions, and we nurture an inclusive working environment in which everyone feels listened to and respected.

A fundamental aspect in the quality of implementation of a management system is the availability of mechanisms for employee engagement, communication and consultation. In Spain, this can be exercised through the specific area of APPInet for health and safety information.

At the distribution centres employees have the opportunity to take part through various communication mechanisms in prevention and other continuous improvement programmes for the safety of individuals, such as the Meco Logistics Platform's *Ideas Azules*: this is a physical suggestion box in which people can leave all kinds of messages on health and safety, incidents, complaints and areas for improvement. Another example is Massimo Dutti Logística, which has the *Ideas* Platform Ideas project for submitting proposals for improvement in various spheres: sustainability, operations, health and safety. This is done through the INET-Requests- Platform Ideas, and if the proposal is implemented the person suggesting it is rewarded with a day's paid leave.

We undertake to comply with all rules and regulations in connection with occupational health and safety established by the competent authorities in each of the markets where the Group is present.

We strictly monitor legal requirements and make every effort to exceed them, establishing even higher standards of safety and well-being for our employees.

7.1.7.1. Health and safety protection

In connection with health and safety protection, since 2014 we have been implementing the **ISO 45001:2018 management system**, which is internationally recognised for its ability to control risks and improve occupational health and safety performance.

This year our Hungarian trade and design activity has been certified to this standard, which is considered to be the highest health and safety standard, which joins the 26 markets where it was already implemented. Furthermore, we have maintained and audited under ISO 45001 standards the manufacturing and logistics companies in Spain and Mexico. In the last year we have audited the Management System in a total of 242 workplaces.

A total of 74% of the company's own employees who work in Inditex Group's activities, companies and markets,do so in areas where the highest standard in the occupational health, safety and well-being management system is implemented, in keeping with the maximum requirements of the ISO 45001 standard and in a process of continuous improvement. In 2024, we plan to obtain this certification in Kazakhstan, Australia, France and Brazil.

As for the execution of refurbishment and construction works in Europe, carried out by GOA INVEST, S.A., we maintain the ISO 45001 certification.

Worker health and safety training

Continuous health and safety training remains vital both for reducing accidents and empowering our workers.

We provide training programmes tailored to a variety of tasks and positions, with objectives ranging from the initial training for in-store functions to the essential training needed to work safely. Occupational health and safety skills and qualifications form a specialised body of knowledge that ensures that our employees are properly equipped to understand and prevent risks in their working environment.

Participants in training/Market[57]

Europe (ex-Spain)	2023	2022
Albania	33	434
Germany	760	1,008
Austria	222	118
Belgium	436	614
Belarus	226	96
Bosnia-Herzegovina	49	91
Bulgaria	621	241
Croatia	210	567
Denmark	248	321
Slovakia	132	134
Slovenia	74	30
Finland	77	51
France	2,129	1,930
Greece	2,224	1,093
Hungary	414	88
Ireland	2,230	1,400
Italy	2,940	2,670
Luxembourg	16	12
North Macedonia	340	148
Montenegro	63	79
Norway	144	260
Netherlands	1,077	457
Poland	6,748	6,208
Portugal	17,246	4,592
United Kingdom	20,077	16,652
Czech Republic	310	182
Romania	2,389	4,709
Serbia	254	567
Sweden	340	278
Switzerland	1,794	2,980
Türkiye	12,743	3,388
Ukraine	173	454

Asia and rest of the world	2023	2022
Australia	608	206
South Korea	14,396	13,854
India	574	663
Japan	3,626	24
Kazakhstan	1,497	1,104
New Zealand	112	7
South Africa	226	17
Mainland China	3,152	4,756
Taiwan, China	1,190	1,738
Hong Kong SAR	1,210	162
Macao SAR	57	16

Spain	2023	2022
Spain	58,108	48,465

Americas	2023	2022
Argentina	8,924	3,974
Brazil	1,395	237
Canada	830	1,705
Chile	4	13
United States	12,571	14,041
Mexico	3,766	4,311
Uruguay	5,246	2,679

[57] One person can attend more than one training. Taking this into account and in contrast to previous years, this exercise shows participants per market instead of unique people trained. The data for 2022 have been restated in the same terms to make the year-on-year development comparable. In relation to scope, there are no participants in markets where we only have buying offices. These markets are: Bangladesh, Cambodia, Morocco, Pakistan, Singapore and Vietnam. Additionally, the number of participants from Monaco is included within France.

7.1.7.2. Promoting well-being

Inditex, healthy organisation

As part of our ongoing commitment to promoting and caring for the safety, health and well-being of our community, Inditex has strengthened its position as a Healthy Organisation. This annual recognition as a Healthy Company underscores our comprehensive management approach, addressing both physical and psychosocial aspects, allocating significant resources to our employees' well-being and fostering their active engagement in the community. Based on the World Health Organization model, this certificate is audited biannually.

In the course of 2023, Inditex companies in Spain, Italy, the United Kingdom, Ireland, Japan, Portugal, Greece, Argentina, Mexico, Uruguay, Germany, Poland, Türkiye, Chile, Mainland China, Luxembourg, Canada, Bulgaria, Croatia and Romania renewed their certification as Healthy Organisation. The Indian market was also added. The goal for 2024 is to obtain certification for the Group's companies in Poland, Brazil, Serbia and Slovenia.

Well-being committees

We maintain our focus on creating Well-being Committees and in 2023 more of these committees were set up in markets like Brazil, and are now present in a total of 19 markets. In 2024 these Committees are set to be created in Slovenia, Serbia, the United States and the Netherlands. In Spain, new committees were set up at the companies Massimo Dutti Logística, Plataforma Logística León, Bershka Logística, Lefties, Stradivarius Logística and Tempe. These transversal committees coordinate various initiatives related to diversity, equality, promoting health, inclusion, work-life balance, mental health, working hours, food, ergonomics, workspaces, sports, employee mobility and participation in social events and actions.

Promoting health

With the aim of promoting health and healthy habits among our employees, Inditex presents the InHealth portal. This platform, available in 25 markets, features news, actions and challenges adapted to the workplace, cultivating a balance between body, mind and emotions. In 2023 we implemented InHealth in South Africa, Australia and New Zealand. Next year we plan to deploy it in another five markets: Belgium, Luxembourg, Brazil, Montenegro and Slovenia.

Furthermore, as part of our commitment to employee health care, in 2023 we made the Open Salud platform available to more than 27,000 employees at the stores of all the Group's brands in Spain, allowing them to consult with specialists in Internal Medicine, Dermatology, Trauma Medicine, Psychology and Nutrition. In 2023 there were 3,334 online consultations and 1,796 workers requested some kind of subsidised health service through the Opensaludpass platform

A variety of health promotion initiatives have been carried out, including the opening of a new gym at the Pull&Bear central services in Narón, serving a total of 450 people; the celebration of Wellness Week in Tempe, involving 240 people; and a Healthy Cooking course at Zara Home distribution centre, in which 448 people took part.

Specific Workplace Well-being Programmes were also conducted in different markets over 2023:

- / **France:** The In Harmonie programme identifies those aspects that help to have a better healthy life, reaching 10,305 people.
- / **Poland:** The I'm healthy here programme promotes mental, physical and nutritional health and reached a total of 8,982 people.

- / **United Kingdom:** The Welfare and well-being programme provides comprehensive support for general medical and psychological assistance, providing social support for employees, and introducing the figure of the Wellbeing Warrior at workplaces for a total of 5,000 people.
- / **Germany:** Energizer is a programme to designate well-being ambassadors. Health initiatives and other employee benefits are channelled through the people designated in each store.
- / **Portugal:** Mental health In is a mental healthcare programme in collaboration with the Red Cross that has reached 6,185 people.

Health services

In keeping with our commitment to provide additional health services, all our logistics and manufacturing centres are equipped with medical services for regular check-ups, health screening tests and vaccination drives. Furthermore, our head offices, distribution centres and factories in Spain are equipped with breastfeeding rooms and female store workers have access to them as needed. There are also other medical services provided through additional health insurance and placing particular care on mental health.

In 2023 more than 50,000 people in the Inditex Group working at our own subsidiaries received a medical check-up.

Prevention of musculoskeletal injuries

In the prevention of musculoskeletal injuries, we continually assess the ergonomic conditions at our workplaces and provide onboarding training in this connection for all employees on the following matters:

Ergonomics in designing work spaces: Designing work areas that promote ergonomic posture to reduce the physical strain on employees. This includes the proper positioning of shelves and storage areas to minimise the need to lift heavy loads or adopt uncomfortable positions.

Training and skill-building: We provide regular training on the adequate techniques for handling loads and promote the use of aids such as forklift trucks, transport trolleys or platforms to help reduce the risk of injuries from lifting heavy objects.

Task rotation: Encouraging employees to rotate tasks can help to fairly distribute the physical load and prevent muscle fatigue caused by repetitive movements.

Rests and active breaks: Promoting the importance of taking regular rests and active breaks to stretch and relax muscles can help ease the tension accumulated during long periods of standing or repetitive work.

Safe working environment: Keeping a clean and tidy working environment can reduce the risk of trips and falls, which can also contribute to musculoskeletal injuries.

We encourage open communication: We urge people to report any discomfort or musculoskeletal pain early as this can help address problems before they develop into more serious injuries.

In 2023, more than 9,000 workers took part in initiatives such as the Back School and Preventive and Recovery Plans, at both logistics centres and stores.

At Indipunt we have implemented the Wellbeing Coach programme that recognises potential injury-causing movements, and promotes the proper execution of the various patterns of movement. In addition, at Massimo Dutti Logística, the Let's Move posture coach programme was carried out.

7.1.7.3. Health and safety indicators

In health and safety, during 2023 we compiled data on accident data at our own logistics, store, offices and manufacturing.

When analysing health and safety indicators, we consider an occupational accident to be any bodily injury to a worker during or as a consequence of the work performed as an employee, while an occupational disease is a disease whose onset is a result of the work performed as an employee in the activities and specified in the professional illnesses chart of the activity, according to local legislation. Such disease must be a result of the action of elements or substances indicated in said chart for each occupational disease.

We have implemented preventive measures focused on mitigating all risks, the most representative being those posed by journeys in and outside of work centres (21%), by equipment and machinery (22%), facilities (19%) and work centre tidying and cleaning (5%).

The most common type of accident are collisions and crashes (17%), trips or slips (16%), cuts or punctures (12%), or over-exertion in lifting loads (11%).

During 2023 and 2022, there were no fatalities resulting from occupational injuries or accidents in any of our markets.

Other accident rates[58]

Spain

	Incident rate		Frequency rate		Severity rate (1)	
	2023	2022	2023	2022	2023	2022
Own stores						
Women	15.76	17.99	12.94	14.81	0.29	0.38
Men	12.09	14.38	9.02	10.74	0.11	0.24
Logistics centres						
Women	87.50	96.27	64.32	71.28	1.50	2.43
Men	94.88	96.36	66.53	68.08	1.49	2.63
Own factories						
Women	36.95	5.03	13.43	2.61	0.14	0.09
Men	86.08	26.81	10.48	9.93	0.03	0.52
Central services						
Women	2.67	3.95	1.33	1.97	0.04	0.06
Men	1.85	2.82	0.92	1.40	0.01	0.09

Europe (2)

	Incident rate		Frequency rate		Severity rate (1)	
	2023	2022	2023	2022	2023	2022
Women	15.67	16.55	13.31	14.40	0.41	0.24
Men	11.67	13.95	8.73	10.40	0.29	0.22

Asia and rest of the world (3)

	Incident rate		Frequency rate		Severity rate (1)	
	2023	2022	2023	2022	2023	2022
Women	5.01	5.02	3.84	3.80	0.06	0.00
Men	4.34	2.84	2.98	1.83	0.06	0.00

Americas (4)

	Incident rate		Frequency rate		Severity rate (1)	
	2023	2022	2023	2022	2023	2022
Women	12.78	13.02	9.34	10.82	0.24	0.32
Men	13.74	8.69	9.15	6.69	0.18	0.30

(1) For the severity rate, absence days are not available for the following markets: Czech Republic; Hungary; Japan; Kazakhstan; Slovakia; Slovenia; South Korea; Taiwan, China; Macao SAR representing 1.5% of the total accidents in all markets (in 2022 information is only available for Spain; Bulgaria; Croatia; Greece; Italy; Portugal; Romania; Argentina; Chile; Mexico and Uruguay). This information is expected to be available in the 2024 report.

(2) Albania; Austria; Belgium; Belarus; Bosnia and Herzegovina; Bulgaria; Croatia; Czech Republic; Denmark; Finland; France; Germany; Greece; Hungary; Ireland; Italy; Luxembourg; Montenegro; Netherlands; Norway; Poland; Portugal; Republic of Northern Macedonia; Romania; Serbia; Slovakia; Slovenia; Sweden; Switzerland; Türkiye; United Kingdom.

(3) Australia; New Zealand; India; South Korea; Japan; Mainland China; Taiwan, China; Macao SAR; Hong Kong SAR; Kazakhstan and South Africa.

(4) Argentina, Brazil; Canada; Chile; United States; Mexico and Uruguay.

[58] Accident data are shown as ratios only, as they are a reliable representation of the Company's health and safety performance. The calculation formulae used are as follows:

- Incidence rate with sick leave = (No. of accidents with sick leave *1,000) / Average number of employees.
- Frequency rate = (No. of accidents with sick leave *1,000,000) / Hours worked
- Severity rate = (Days of sick leave *1,000,000) / Hours worked

Accidents with more than 180 days absence (1)

Spain

	Logistic centres		Own stores		Own factories		Central services	
	2023	2022	2023	2022	2023	2022	2023	2022
Women	8	2	10	6	0	0	1	0
Men	10	7	0	0	0	0	0	1

Rest (Europe, Americas, Asia and rest of the world) (2, 3, 4)

	Europe		Asia and rest of the world		Americas	
Women	19	42	1	1	6	6
Men	1	12	0	0	2	3

Occupational diseases

Spain

	Logistic centres		Own stores		Own factories		Central services	
	2023	2022	2023	2022	2023	2022	2023	2022
Women	4	13	0	0	0	0	0	0
Men	6	11	0	0	0	0	0	0

Rest (Europe, America and Asia and rest of the world) (2, 3, 4)

	Europe		Asia and rest of the world		Americas	
Women	11	21	0	2	4	3
Men	0	3	0	0	2	1

(1) For accidents with more than 180 days of absence, absence days are not available for the following markets: Czech Republic; Hungary; Japan; Kazakhstan; Slovakia; Slovenia; South Korea; Taiwan, China; Macao SAR representing 1.5% of the total accidents in all markets (in 2022 information is only available for Spain; Bulgaria; Croatia; Greece; Italy; Portugal; Romania; Argentina; Chile; Mexico and Uruguay). This information is expected to be available in the 2024 report.

(2) Albania; Austria; Belgium; Belarus; Bosnia and Herzegovina; Bulgaria; Croatia; Czech Republic; Denmark; Finland; France; Germany; Greece; Hungary; Ireland; Italy; Luxembourg; Montenegro; Netherlands; Norway; Poland; Portugal; Republic of Northern Macedonia; Romania; Serbia; Slovakia; Slovenia; Sweden; Switzerland; Türkiye; United Kingdom.

(3) Australia; New Zealand; India; South Korea; Japan; Mainland China; Taiwan, China; Macao SAR; Hong Kong SAR; Kazakhstan and South Africa.

(4) Argentina, Brazil; Canada; Chile; United States; Mexico and Uruguay.

In 2023, the total number of hours of absenteeism due to common illness, corresponding to 97.4%[59] of the Group's employees (including all logistics and store employees in the world and office employees in Spain), amounted to 12,810,222 hours (13,223,549 hours in 2022[60]).

The total number of hours worked in 2023, corresponding to 92.4% of Group's employees (including all logistics and store employees in the world), amounted to 182,712,729 hours (92.8% of employees and 177,342,180 hours in 2022).

Non-employee worker accidents

At Inditex we also look after the health and safety of people who, though not our own employees, carry out their activity in the Group's work centres under its supervision. In 2023 there were 22 accidents involving non-employee workers in Spain (in 2022 there were 7). As for the other markets[61] reporting non-employee workers, accidents occurred in 8: Italy (10), Brazil (3), Chile (3), United Kingdom (3), Uruguay (3), France (2), Austria (1) and Switzerland (1), giving a total of 26 accidents (0 accidents in the 3 markets reported in 2022).

Emergency management

So as to actively manage at all times the **risks that may arise in any workplace**, and in keeping with our philosophy of following the precautionary principle, we have designed, prepared and implemented **Emergency and Evacuation Plans and Self-Protection Plans** that establish the organisational and functional criteria in the different facilities. The objective is to prevent, control and provide an adequate response, from the outset, to potential emergency situations that may cause harm to people and/or their property.

[59] Information on the remaining 2.6% is not available.
[60] The absenteeism data reported in 2022 has been restated taking into account the improvement in the quality of the information reported.
[61] The following markets have no non-employee workers: Albania, Australia, Mainland China, Macao SAR, Slovenia, Greece, New Zealand, Portugal and South Africa.

Through these Plans, we comply with the regulatory requirements applicable to occupational risk prevention and occupational health and safety, as well as with the internal requirements established by the Group for the workplaces.

In short, these Emergency and Evacuation Plans and Self-Protection Plans include the necessary steps for prevention and control, as well as protection measures and other actions to be taken in the event of emergencies.

In the last two years, the following actions were taken:

	2023			2022[62]		
	Self- Protection Plan	Emergency and Evacuation Plan	Emergency and Evacuation Plan	Self- Protection Plan	Emergency and Evacuation Plan	Emergency and Evacuation Plan
Brand		**New**	**Updated**		**New**	**Updated**
Bershka	11	19	1	1	6	0
Massimo Dutti	3	6	5	3	9	5
Oysho	0	12	14	0	9	18
Pull&Bear	1	19	25	8	20	6
Stradivarius	5	38	22	5	22	11
Zara	22	45	4	25	79	57
Zara Home	5	19	0	2	13	6
Total	**47**	**158**	**71**	**44**	**158**	**103**

Emergency, Self-Protection and Evacuation Plans

Market	**2023**	**2022**
Spain	286	238
Albania	0	2
Germany	40	108
Argentina	12	12
Australia and New Zealand	2	18
Austria	0	1
Belarus	0	0
Belgium	10	3
Bosnia Herzegovina	0	0
Brazil	1	50
Bulgaria	4	5
Canada	0	0
Chile	13	14
Mainland China	2	5
South Korea	0	0
Croatia	10	40
Denmark	0	0
Slovakia	0	0
Slovenia	5	0
United States	103	2
Finland	0	0
France	11	12
Greece	7	0
Hungary	13	17
India	5	4
Ireland	3	0
Italy	218	271
Japan	7	6
Kazakhstan	2	0
Luxembourg	0	0
North Macedonia	0	0
Mexico	265	395
Montenegro	1	0
Norway	0	0
The Netherlands	2	3
Poland	213	44
Portugal	10	6
United Kingdom	6	0
Czech Republic	0	0
Romania	11	3
Serbia	4	21
South Africa	0	1
Sweden	0	0
Switzerland	4	20
Türkiye	1	84
Ukraine	0	0
Uruguay	4	4

[62] The data on the number of Zara's Self-Protection Plans and Emergency and Evacuation Plans reported in 2022 have been restated to take into account the improvement in the quality of the information reported.

Other emergency management activities are summarised in the tables below:

2023

Work centre	Description
Talent Center Madrid	Emergency and evacuation plan
Bershka Logística	25th Anniversary emergency plan
Zara Home Logística	Evacuation drill
Stradivarius Logística	Theoretical and practical training emergency teams
Pull&Bear España S.A.	Self-protection plan
Servicios Centrales Arteixo	Protocol for action in the event of an emergency
Massimo Dutti Logística	Self-protection plan
Tempe	Self-protection plan

2022

Work centre	Description
Indipunt	Emergency and evacuation plan
Tempe	Evacuation drill Elche
Tempe	Evacuation drill Culleredo
Inditex	Emergency and evacuation plan
Pull&Bear España, S.A.	Emergency and evacuation plan
Tempe	Fire safety training
Plataforma Meco	Platform evacuation drill
Zara Home Logística	Platform evacuation drill

7.2. Workers in the supply chain

Material topic: Fair working conditions; Diversity, equality and inclusion; Responsible supplier management and traceability; Health, safety and well-being

7.2.1. Workers at the Centre

GRI 2-23; 2-28; 3-3; 407-1; 413-1; AF2; AF5

ⓘ More information in the *Workers at the Centre* report, available on Inditex's corporate website.

Comprehensive and effective due diligence concerning human rights in a global supply chain entails robust policies, tools and practices designed to identify, prioritise and mitigate the impacts on people. Inditex has developed a socially sustainable management of its supply chain to ensure a rigorous compliance programme that includes audits, corrective action plans and training, among other measures, accompanied by a strategy that puts 'Workers at the Centre'. This strategy is based on respect for and promotion of human rights, as well as the creation of social value.

ⓘ More information in section *8.3. Supplier relations* of this Report.

The Workers at the Centre strategy launches its new 2023-2025 cycle. The lessons learned in recent years and the knowledge of the supply chain have allowed us to incorporate best practices in this new stage with the aim of moving towards transformation both in the lives of the people who form part of the supply chain and their communities, and in the industry as a whole.

To achieve this, we collaborate with stakeholders to address the shared challenges and we stand close to workers to understand their needs and provide them with the necessary tools for their empowerment, participation and well-being.

As part of the evolution of this strategy from its previous 2019-2022 phase, we have strengthened the due diligence process. This is a continuous process to identify and prioritise potential impacts on human rights, the most notable of which are organised into Priority Impact Areas.

To achieve this we have harnessed a number of internal and external information sources, such as surveys, interviews with key partners such as IndustriALL or the International Labour Organization (ILO), information concerning the social audits of suppliers, analyses of legislation, reports on trends or risks in connection with human rights, etc. Above all, we have relied on our own work and relationships in each of the geographic areas where our suppliers operate. This process, carried out in accordance with the UN Guiding Principles on Business and Human Rights, involved all sustainability areas, teams present locally in our main production markets, which we call clusters, and other Company areas. The organisation Shift, a leading centre of expertise on human rights and business, has also been involved.

As a logical evolution in the year, a development of the Priority Impact Areas has been carried out by incorporating all the potential impacts identified and subsequently prioritised. For this new strategy, impacts related to the environment and climate change have been added more directly, ensuring respect for human rights from a holistic perspective, and incorporating aspects such as just transition and the future of work.

This version of the Workers at the Centre strategy identified notable impacts on human rights structured around **five Priority Impact Areas:** Social dialogue, Living wages, Respect, Health and Resilience.

The new phase of the strategy also aims to reinforce the focus on vulnerable groups, such as women, migrants, people with disabilities or workers involved in the production of raw materials, etc., ensuring transversality across all Priority Impact Areas.

This strategy is implemented through a network of partnerships, initiatives and interventions aimed at promoting systemic changes in the industry and communities.

To develop the strategy, on-the-ground collaboration and monitoring is very important. To support this monitoring, in 2023 alone, we conducted 821 monitoring visits (540 visits in 2022)[63].

Transformation and impact: how do we approach this?

/ **We continue to ascertain, evaluate and improve** working conditions in our supply chain while at the same time involving workers in the improvement process.

/ **We continue to foster close and strategic links with relevant stakeholders,** who will continue to present us with challenges and to support us in achieving shared goals.

/ **We involve our partners and suppliers,** also fostering solutions based on their own initiative.

/ **We work with the rest of the industry,** seeing sustainability as an issue common to all and as a priority for shared supply chains.

/ **We innovate** in the quest for new ways to listen to the supply chains and take part in active corrective measures led by stakeholders.

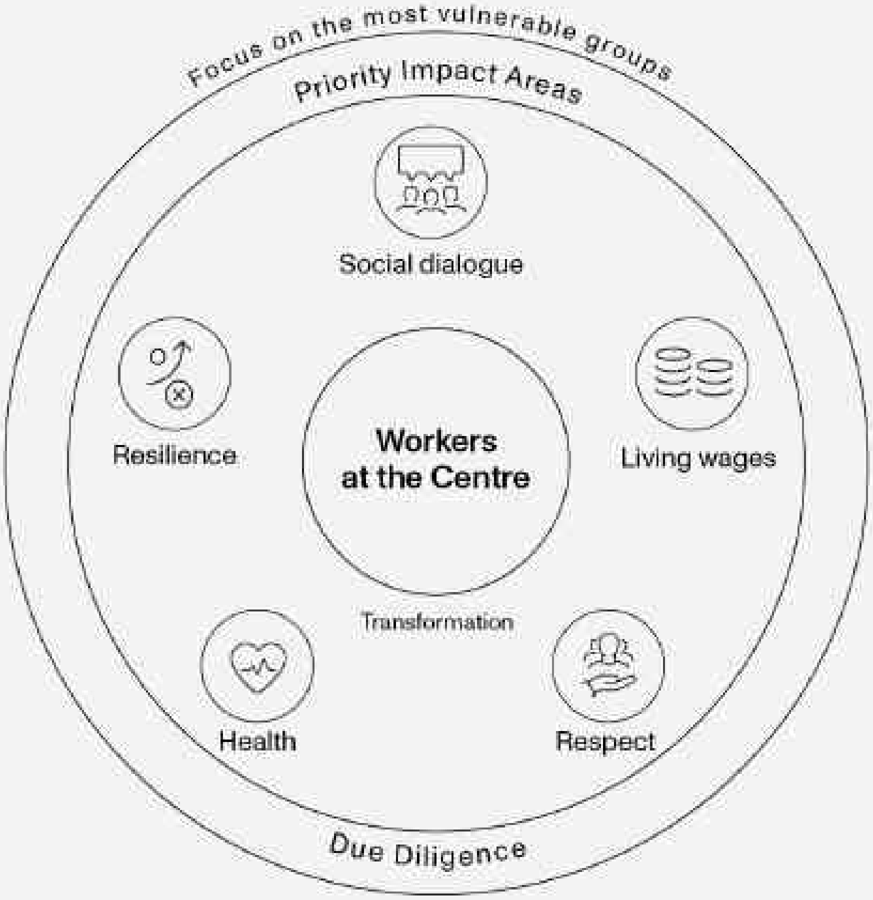
/ **We focus on transformation,** which includes creating prosperous and resilient communities around our supply chains.

/ **We address needs** by paying attention to what is happening around us, while also engaging our team of experts from all over the world.

[63] Previously reported as 'special audits'. In order to enhance transparency, this year we detail the topics and volume of the 'special audits' in the various sections of this Report.

Workers at the Centre

The Workers at the Centre 2023-2025 strategy is based on **respect for the human rights** of the workers in the supply chain. **Our goal is to reach three million people by 2025.**



Workers at the Centre 2023

1,461,255
People
reached by the strategy

1,719
Suppliers and factories
involved in the strategy

46
Initiatives and solutions
developed in factories and/or communities

100%
Suppliers
covered by the strategy

31
Organisations
we collaborate with

Priority Impact Areas

Social dialogue
Facilitating mature industrial relations as a vehicle for a more participative society.

Living wages

Setting the conditions for the achievement of Living Wages in the Inditex supply chain

Respect
Promoting safe and respectful environments, free from discrimination, abuse or harassment.

Health
Protecting the health and safety of workers in the supply chain, and improving their well-being.

Resilience
Contributing to create preventive, adaptive and transformative capacities for development.

Elements of the strategy

/ Due Diligence
A continuous process, based on the UN Guiding Principles on Business and Human Rights, allowing us to identify five Priority Impact Areas. These areas are synergetic and interconnected.

/ Transformation
Transformation is a slow process and requires the commitment and collaboration of various parties. Our Workers at the Centre strategy connects us to the present and the challenges it poses, without losing sight of our ultimate goal, which is to transform the industry and communities.

/ Equity as our focus
We make more visible and integrate the needs of the most vulnerable groups, including women, migrants and refugees.

/ Solutions

Priority Impact Areas develop, support and combine different types of solutions and interventions to pursue their objectives: partnerships, collaborations with different stakeholders, direct interventions with suppliers or community outreach, among others.

All the approaches complement each other and, at different paces and scales, contribute to and are part of implementing the strategy.

Key characteristics of the Workers at the Centre strategy

From compliance to commitment

In the journey towards socially sustainable supply chain management, embedded in our human rights strategy, we have gradually incorporated new elements to strengthen the protection of rights, evolving from a compliance-based model to the current strategy, which folds in the vision of transformation and impact.

Culture of collaboration

The challenges posed by a global supply chain are shared, so collaboration is required to have a leveraging and lasting impact. In particular, our sustainability goals for the supply chain are shared by suppliers, manufacturers, companies and brands, and other stakeholders such as NGOs, trade unions and local and international organisations.

Furthermore, at Inditex we take an open and collaborative approach with a range of bodies and we actively participate in the industry's global initiatives as the driving force for transformation, always with the aim of that the sector adopts widespread sustainable practices.

One of our most significant relationships is with the international trade union federation IndustriALL, with which Inditex signed a Global Framework Agreement in 2007. This Agreement is one of our most valuable tools for promoting worker participation, the respect for freedom of association and collective bargaining.

We also work with international organisations such as the United Nations Global Compact, the Ethical Trading Initiative and the International Labour Organization (ILO), through public-private partnerships, and the Better Work Initiative.

We highlight the importance of our collaboration with other brands through various initiatives, such as ACT (Action, Collaboration, Transformation), which works to achieve living wages in the supply chain through responsible purchasing practices and collective bargaining.

Focus on vulnerable groups

Although we design and implement global strategies for each of the Priority Impact Areas, we focus especially on the most vulnerable people. We want to make sure to listen to the people who are least represented and potentially most affected.

Women, migrants and refugees or people with disabilities are some of the key beneficiaries of this strategy, and we remain especially supportive of their needs.

Systemic perspective

Our due diligence process takes into account environmental and climate change impacts on people. Health and human and planet prosperity are interdependent and go hand in hand. All human beings depend on the environment in which we live, so having a safe, clean, healthy and sustainable environment is crucial for enjoying a wide range of human rights, including the rights to life, health, food, water and sanitation.

Combination of global and local approach and implementation

We have teams in the main production markets, in direct contact with suppliers, workers, trade unions, NGOs, local and national authorities, international organisations and academic institutions, among others. This way of working at the local level is what we call **'clusters'**. In 2023, Inditex had ten clusters in Spain, Portugal, Morocco, Türkiye, India, Bangladesh, Pakistan, Vietnam, China and Cambodia.

We pay special attention to the context in each of the regions where our suppliers operate.

Integration in the business model

At Inditex, we see sustainability as a **way of acting**, and as such it permeates the entire business model and each of the areas that develop it.

In particular, the involvement of the buying teams is essential. Among others, we have developed management systems that allow all our buying teams to know the performance of each supplier, encouraging **responsible purchasing practices** that allow them to make sustainability-focused business decisions.

Supporting our suppliers

Raising awareness and training of our suppliers enables us to address supply chain challenges as a shared responsibility. Our buying and sustainability teams have a very close relationship with suppliers. A prime example is the continuous and specialised training on issues such as gender equality, freedom of association, living wages or health and safety. In 2023, we provided training programmes to 911 suppliers.

7.2.2. Social dialogue

GRI 3-3; 407-1; AF5

Social dialogue

Goal
Facilitating mature industrial relations as a vehicle for a more participative society

Main lines of work

/ Worker participation

/ Ecosystems for dialogue

Related SDGs

Related human rights

/ Rights to freedom of opinion and expression

/ Right to freedom of assembly

/ Right to freedom of association and collective bargaining

/ Right to form or join trade unions and the right to strike

/ Right to work

Alliances and partnerships

/ ACT (Action, Collaboration, Transformation)

/ Better Work

/ Ethical Trading Initiative

/ *Foro Social de la Industria de la Moda de España*

/ IndustriALL Global Union

/ International Apparel Federation (IAF)

2023 Key indicators

/ 411,676 people reached

/ 218 suppliers and factories involved

/ Bangladesh, Cambodia, China, Egypt, Indonesia, Morocco, Pakistan, Türkiye, Tunisia, Vietnam

Worker participation, along with maintaining and developing the ecosystems for dialogue, are the two core premises for achieving mature industrial relations and, as a result, for promoting more engaged and equal societies. Our commitment and contribution to protecting the fundamental rights to freedom of association and bargaining aims to generate a positive impact on Inditex's supply chain.

a) Worker participation

Our Global Framework Agreement with IndustriALL Global Union is one of the most effective tools for safeguarding the respect of the rights to freedom of association and collective bargaining in our supply chain. Since 2007 we have been implementing this vision through the successive renewals of the Global Framework Agreement. The latest renewal, in 2019, involved the creation of the Global Union Committee, a representative body of IndustriALL set up to promote worker representative engagement and coordination between Inditex and IndustriALL Global Union and its local affiliates.

We have also been able to work on Dispute Resolution Mechanisms through the internal communication channel enabled under the Global Framework Agreement, as well as other mechanisms set up under different initiatives, such as the Interim Dispute Resolution Mechanism in Bangladesh (concerning freedom of association rights and the payment of wages and benefits for ACT workers) or the Dispute Resolution Mechanism of the International ACCORD.

Main initiatives in 2023

/ Implementation of the Global Framework Agreement with IndustriALL Global Union (global).
/ Training on the Global Framework Agreement (Morocco, Tunisia, Türkiye).
/ Training for local affiliates of IndustriALL concerning the mechanisms of the Global Framework Agreement (Cambodia, Morocco, Türkiye.

b) Ecosystems for dialogue

Empowering the representatives of workers and employers through social dialogue platforms at local or industry level is one of the best ways to generate impact at different stages of the supply chain.

We are actively working on representation mechanisms and raising awareness regarding industrial relations through initiatives such as ACT (Action, Collaboration, Transformation), Better Work, the Ethical Trading Initiative or the Foro Social de la Industria de la Moda de España. We are also working in other areas linked to occupational health and safety or equality through initiatives such as International ACCORD. Here, the contribution of Inditex along with other international brands and companies, IndustriALL Global Union and other key stakeholders has served to create opportunities for collaboration in various areas of common interest.

We also embarked on a new journey in terms of workers satisfaction through the analysis of our supply chain in Morocco. We now aim to transfer this experience to other markets to continue our in-depth analysis of workers' needs, which we see as paramount for their empowerment and satisfaction.

Main initiatives in 2023

/ Better Work programme (Bangladesh, Cambodia, Egypt, Indonesia, Pakistan, Vietnam).
/ Collaboration through the ACT initiative (Bangladesh, Cambodia, Türkiye).
/ Social dialogue programme by the Ethical Trading Initiative (ETI) (Bangladesh).
/ Training in industrial relations (China).

Framework agreement signed with the International Apparel Federation (IAF)

On 2 October 2023, Inditex and the International Apparel Federation (IAF)—an organisation that represents 100,000 manufacturers from more than 40 countries through its member associations—signed a framework agreement aimed at driving a meaningful transformation in the global garment industry. This agreement aims to develop a more people- and planet-friendly industry by improving circularity, traceability and worker well-being, paving the way for developing projects connected with these areas.

IAF and Inditex have identified key areas of focus within the agreement, including boosting industrial development in producer countries and transitioning to an industry that makes waste into new raw materials while aiming for net zero emissions, encouraging the adoption of renewable processes and energies with a lower impact on ecosystems. Furthermore, the agreement lays particular emphasis on improving working conditions and envisages collaborative actions on issues such as occupational health and safety, social protection, diversity and inclusion.

It also includes cross-cutting aspects such as the creation of a common framework to measure and verify the impacts of the textile industry and encourage resilience and the adoption of transparency-enhancing practices, such as digital labelling. In addition, it explores the interoperability of information systems and promotes the digitalisation and increased efficiency of global supply chains, among other issues.

7.2.3. Living wages

GRI 3-3; 407-1; AF5

Living wages

Goal
Setting the necessary conditions for the achievement of Living Wages in the Inditex supply chain

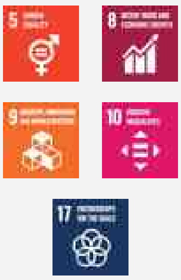
Main lines of work

/ Necessary conditions for collective bargaining

/ Responsible purchasing practices

/ Management systems and favourable practices

Related SDGs



Related human rights

/ Rights of protection of the family and the right to marry

/ Right to a family life

/ Right to enjoy just and favourable conditions of work

/ Right to an adequate standard of living

/ Right to health

/ Right to education

Alliances and partnerships

/ ACT (Action, Collaboration, Transformation)

/ Habitat Association (*Habitat Derneği)*

/ Better than Cash Alliance

/ BSR (Business for Social Responsibility)

/ East China University of Political Science and Law (ECUPL)

/ Faculty of Science and Technology, Tangier

/ IndustriALL Global Union

/ International Labour Organization (ILO)

/ RISE: Reimagining Industry to Support Equality

2023 Key indicators

/ 31,318 people reached

/ 47 suppliers and factories involved

/ Bangladesh, Cambodia, China, Egypt, Morocco, Türkiye, Vietnam

We believe that workers can only be guaranteed a living wage by means of effective, industry-wide collaboration between workers' representatives and employers with a view to fostering social dialogue and ongoing respect for freedom of association and collective bargaining rights, backed by continuous improvements in responsible purchasing practices.

Consequently, both our Framework Agreement with IndustriALL Global Union and our work with the ACT (Action, Collaboration, Transformation) initiative are essential pillars for progress. We also work in areas such as wage digitalisation, boosting productivity and financial education to foster optimised management systems and employee-friendly practices in wage payment.

a) Necessary conditions for collective bargaining

At Inditex, we believe that strengthening collective bargaining agreements at industry level, underpinned by improvements in responsible purchasing practices, are the right way to progress in achieving living wages. Accordingly, our approach is closely linked to our social dialogue strategy, and in particular to our relationship with one of our main stakeholders, IndustriALL Global Union.

Moreover, another primary tool is our active involvement in the ACT initiative, in which the 19 international member brands and IndustriALL Global Union work together to promote platforms for dialogue in the countries where the initiative is in place, to create a working environment between workers' representatives, employers and international brands with an onus on best purchasing practices and promoting conditions for collective bargaining between employers and workers' representatives.

Main initiatives in 2023

/ Collaboration through the ACT initiative (Bangladesh, Cambodia, Türkiye).

/ Implementation of the Global Framework Agreement (global).

b) Responsible purchasing practices

Responsible purchasing practices can help create an environment that is conducive to improving working conditions, wages and benefits for workers in the supply chain. Mindful of this, as ACT members since 2018 we have signed up to five commitments in relation to purchasing practices.

In 2023, we have again carried out ACT's purchasing practices surveys with our buying teams and suppliers. Since then, we have held meetings with buyers to map out improvements and key next steps. Suppliers are another important part of this process, and their feedback is also shared with the teams.

To implement these commitments and help our buying teams make responsible purchasing decisions, we train them to adopt best practices, developing and providing them with management systems that measure the sustainability performance of each supplier and factory.

We have also completed the first and second editions of the Foundations of Textile Manufacturing programme at the Inditex's Sustainable Fashion School, devised in collaboration with the University of Leeds, training 1,200 employees.

Main initiatives in 2023

/ Responsible purchasing practices with ACT

/ Training buyers at the Inditex Sustainable Fashion School

c) Management systems and favourable practices

To make headway on our path to achieving living wages, we must take a holistic approach and work on several fronts, including creating an ecosystem that fosters favourable conditions and lays a solid foundation for the payment of living wages to workers in Inditex's supply chain. With this in mind, we combine a compliance approach underpinned by audits and corrective plans, with programmes and interventions based on training and impact.

Enhanced skills, improved productivity, effective wage management systems, and financial literacy of the workers are some of these important favourable conditions that play a crucial role in improving workers' wages and benefits. In fact, there is a direct link between these matters and the payment of living wages.

Main initiatives in 2023

/ Lean Project (Bangladesh, China, Morocco).

/ RISE Financial Health project (Cambodia, China, Egypt, Vietnam).

/ SCORE Programme (China).

/ Wage digitalization capacity building (Vietnam).

/ Wage management project (China).

/ Look Through Another Window project (Türkiye).

7.2.4. Respect

GRI 3-3; 408-1; 409-1; AF5; AF24; AF27; AF32

Respect

Goal

Promoting safe and respectful environments, free from discrimination, abuse or harassment

Main lines of work

/ Respectful work environments free from any kind of violence and harassment

/ Fair recruitment and employment culture

Related SDGs

Related human rights

/ Right not to be subjected to slavery, servitude or forced labour

/ Right to freedom of movement

/ Rights to freedom of thought, conscience and religion

/ Rights of protection for the child

/ Right to a family life

/ Right to education

/ Right to equality before the law, equal protection of the law, and rights of non-discrimination

/ Right to non-discrimination in economic, social and cultural rights

/ The equal right of men and women to the enjoyment of all economic, social and cultural rights

/ Right to enjoy just and favourable conditions of work

Alliances and partnerships

/ *Anne Çocuk Eğitim Vakfi* (AÇEV)

/ *Associação Plano i*

/ RISE: Reimagining Industry to Support Equality

/ *Casal dels Infants*

/ Association for Solidarity with Asylum Seekers and Migrants (ASAM)

/ Ethical Trading Initiative (ETI)

/ International Labour Organization (ILO)

/ Network of Organizations Working for People with Disabilities Pakistan (NOWPDP)

/ Pratham

/ Refugee Support Center (MUDEM)

/ Social Awareness and Voluntary Education (SAVE)

/ Support to Life (STL)

/ United Work

2023 Key indicators

/ 64,929 people reached

/ 133 suppliers and factories involved

/ Bangladesh, China, India, Morocco, Pakistan, Portugal, Türkiye

Everyone must be treated with respect, fairness and dignity. At Inditex, through this Priority Impact Area, we defend the need to promote respectful and equal workplaces, and we apply an integrated framework based on zero tolerance policies and practices against abuse and inequalities, identifying the hazards and risks, addressing their underlying causes and developing the necessary solutions, with a focus on equality and a culture of collaboration. Ultimately, our goal is to guarantee workers a safe workplace, free from any kind of harassment, abuse and violence, and a climate of respect in the factories linked to Inditex.

At Inditex we believe that gender equality is not only a fundamental human right, but also an essential value for the sustainability of the supply chain and for development.

That is why, for some years, we have been working in the field of gender, diversity and inclusion, and this Priority Impact Area is one of the main catalysts for nurturing respect for the related ILO international standards.

Likewise, Inditex does not tolerate any form of modern slavery or human trafficking in its organisation or its supply chain, and engages actively in the promotion of and respect for human rights.

a) Respectful work environments free of all forms of violence and harassment

We carry out activities and solutions on an evidence-based approach, aimed at understanding the specific needs of target groups in both the workplace and the community to develop viable solutions to halt violence and harassment and thus foster a culture of respect as a preventive measure while reinforcing mitigation and remediation measures when required.

Main initiatives in 2023

/ EDUCARE project (Morocco)
/ ETI Gender Sensitive Workplace project (Bangladesh)
/ Cohesion support groups project (Türkiye)
/ LGBTI+ Awareness project (Portugal)
/ Migrant Parents project (China)
/ *Parwaaz* project - Disability management in the workplace (Pakistan)
/ Training for refugee workers (Türkiye)
/ RISE Respect project (Bangladesh, India)
/ Together Strong project (Türkiye)
/ Towards an Inclusive Workplace project (Türkiye)
/ Workplace Adaptation project (Türkiye)

b) Fair recruitment and employment culture

Having fair recruitment and employment practices is key to achieving decent working conditions. At Inditex we have a zero tolerance policy towards child labour and any kind of forced labour. These topics are discussed in our Code of Conduct for Manufacturers and Suppliers, which specifies that the employment of children and any form of forced or involuntary labour by our manufacturers and suppliers is strictly prohibited.

In order to improve and further develop these areas, we have a supply chain management system that includes aspects such as audits, corrective plans or awareness activities, among others, allowing us to identify and remedy potential breaches. Even so, our various initiatives under the Workers at the Centre strategy play a crucial role not only in preventing these situations in the first place, but also in taking the necessary action if any non-compliances are detected.

Main initiatives in 2023

/ *Sowbhagyam* project (India).
/ *Sankalp* project (India).
/ Remediation programme for migrant workers (Türkiye).

7.2.5. Health

GRI 3-3; 403-6; 403-7; 403-8; AF5

Health

Goal

Protecting the health and safety of workers in the supply chain, and improving their well-being

Main lines of work

/ Physical health

/ Workplace safety

/ Well-being

Related SDGs

Related human rights

/ Right to life

/ Right to health

/ Rights of protection of the family and the right to marry

/ Right to enjoy just and favourable conditions of work

/ Right to a family life

/ Right to a clean, healthy and sustainable environment

/ Right not to be subjected to torture, cruel, inhuman and/or degrading treatment or punishment

/ Right to an adequate standard of living

Alliances and partnerships

/ International Accord for Health and Safety in the Textile and Garment Industry

/ *Medicus Mundi Sur*

/ RISE: *Reimagining Industry to Support Equality*

/ RMG Sustainability Council (RSC)

/ St. Johns Medical College

/ University of Oxford

2023 Key indicators

/ 1,125,665 people reached

/ 1,337 suppliers and factories involved

/ Bangladesh, China, India, Morocco, Portugal, Sri Lanka, Vietnam

In 2022, the ILO declared that a safe and healthy working environment is a fundamental right and principle at work. For decades, Inditex has been committed to promoting these basic rights in our supply chain. In this connection, we have a framework of procedures in place to ensure compliance with the requirements through assessments and corrective activities, and we take a comprehensive and holistic approach by identifying best practices to address specific challenges and workers' needs. Working with expert organisations to identify areas for improvement allows us to better implement the solutions devised, through both immediate actions and long-term goals.

In 2023, by means of this Priority Impact Area, Inditex has developed several initiatives of its own or in collaboration with expert organizations recognized for their professionality in the field, to further strengthen our commitment to guaranteeing safe and healthy working environments for workers part of Inditex's supply chain. Our commitment to equality is always woven into the solutions we develop to ensure that the needs of all vulnerable groups.

a) Physical health

As part of this strategic line, we have continued our commitments and initiatives aimed at reinforcing the evaluation, support and improvement of compliance with our Code of Conduct for Manufacturers and Suppliers.

We have developed a global plan to strengthen occupational health and safety in our supply chain, launched in 2022, aiming to proactively engage with our key suppliers and manufacturers to improve, where necessary, their level of health and safety compliance.

Through this commitment, an individual improvement plan is developed for each supplier and factory based in different markets. A team with specific training in this area then continuously monitors the corrective action plans and regularly contacts with each supplier or manufacturer, providing advice, monitoring progress and verifying improvements to ensure greater compliance with our Code and related applicable legislation using an empirical approach.

Main initiatives in 2023

/ Project in collaboration with Medicus Mundi (Morocco).

/ OHS Corrective Action Plan (global).

b) Workplace safety

Workplace safety is a fundamental part of any working environment. Creating a safe environment to protect workers from accidents or occupational illnesses is paramount for Inditex. In this regard, we continuously implement due diligence processes in our supply chain to identify safety risks and hazards and to offer tailored solutions to prevent, remedy and improve the situation.

In this strategic line we focus on the commitment to have safe and suitable facilities and workplaces and to raise awareness as necessary to inform workers and management regarding effective workplace safety management.

For instance, as a signatory of the International Accord for Health and Safety in the Textile and Garment Industry, Inditex is committed to health and safety at textile factories. Through ongoing interaction we verify and oversee the effective implementation of corrective actions at our suppliers and manufacturers.

Main initiatives in 2023

/ Accord-CAP Remediation project (Bangladesh).

/ WISH: Workplace Improvement for Safety and Health project (China).

/ *Suraksha*: fire & electrical system assessment + thermography project (India).

/ Boiler Safety project (Morocco).

c) Well-being

The World Health Organization (WHO) defines well-being as a positive state experienced by individuals and societies. Similar to health, it is a resource for daily life and is determined by social, economic and environmental conditions. Well-being encompasses quality of life and the ability of people and societies to contribute to the world with a sense of meaning and purpose. Focusing on well-being supports the tracking of the equitable distribution of resources, overall thriving and sustainability.

At Inditex we firmly believe that these issues must be addressed in the supply chain by placing particular care on mental health and reducing the psychosocial risks workers are exposed to, creating and maintaining a workplace culture of well-being and promoting the dissemination of knowledge; means whereby ecosystems benefit workers, their families and the community.

Main initiatives in 2023

/ SAKHI Menstrual Rights project (India, Sri Lanka).

/ Project on mental health promotion (Portugal).

/ RISE Health project (Vietnam).

Renewal of the International Accord

In November 2023, brands—including Inditex—and trade unions renewed their commitments for another three years, and agreed an automatic renewal for a further three years after that, making it the longest Accord pledge to date. This enduring commitment reflects the conviction of the signatory brands and trade unions regarding the Accord's impact on workplace health and safety through independent factory inspections, remediation, safety training and an effective worker grievance mechanism.

7.2.6. Resilience

GRI 3-3; AF5

Resilience

Goal

Contributing to create preventive, adaptive and transformative capacities for development

Main lines of work

/ Social protection

/ Just transition and the future of work

/ Prosperous livelihoods

Related SDGs

Related human rights

/ Right to freedom of assembly

/ Rights of protection for the child

/ Right to equality before the law, equal protection of the law, and rights of non-discrimination

/ Right to social security, including social insurance

/ Right to a family life

/ Right to education

/ Right to a clean, healthy and sustainable environment

/ Right to health

Alliances and partnerships

/ ASA (Action for Social Advancement)

/ East China University of Political Science and Law (ECUPL)

/ International Labour Organization (ILO)

/ *İyi Pamuk Uygulamaları Derneği* – IPUD

/ RISE: *Reimagining Industry to Support Equality*

/ *Swasti*

2023 Key indicators

/ 20,492 people reached

/ 85 suppliers and factories involved

/ China, India, Pakistan, Türkiye, Uzbekistan, Vietnam

The global economic, social, climate and political context is dynamic, and the associated changes affect the resilience of the supply chain, including that of workers and communities that depend on it directly or indirectly. In this Priority Impact Area we analyse megatrends and work alongside suitable partners to create more resilient suppliers and communities. These commitments must be developed while also anticipating effects such as those arising from climate change or the impact of technology on the future of work, and without overlooking support for proper social security systems to ensure that no one is left behind. This would also involve exploring ways of securing prosperous livelihoods, including the production of raw materials.

a) Social protection

We are engaged in ensuring access to adequate and sufficient social security coverage in the supply chain, regularly evaluating the compliance levels of factories and suppliers and, where necessary, implementing and monitoring corrective action plans.

We also took part in the Covid-19: Action in the Global Garment Industry initiative, which emerged in 2020 as a joint response to the effects of covid-19, and which calls ‘to work together to establish sustainable systems of social protection for a more just and resilient garment industry’.

Main initiatives in 2023

/ Happiness for All (India).
/ Covid-19: Action in the Global Garment Industry (global).
/ Training on social security-related benefits (China).

b) Just transition and the future of work

We want to ensure that a human rights-based approach is systematically incorporated into Inditex’s climate commitments. Human rights experience and practice are combined with environmental plans and actions, thereby ensuring that the social impact is taken into account. We also endeavour to understand how jobs and skills are set to evolve.

Main initiatives in 2023

/ Rise Foundations project (China, Vietnam).

c) Prosperous livelihoods

In this line of action, we focus primarily on the livelihoods of people involved in the production of raw materials, including those in the agricultural sector.

While raw materials, both natural and man-made, are pivotal components in the creation of end products, their supply chain is highly complex and involves challenges linked to labour conditions, as well as development, prosperity and resilience. These challenges must be addressed both locally and globally, so a holistic approach is called for. This approach must encompass traceability, due diligence and a commitment to respect for and promotion of human and labour rights.

Main initiatives in 2023

/ Public-private partnership with the International Labour Organization (India, Pakistan, Uzbekistan).
/ Collaboration projects for promoting regenerative agricultural practices (India).
/ Child & Women Friendly Mobile Areas project (Türkiye).